



JAPAN

April 2026

2026 ARTICLE IV CONSULTATION—PRESS RELEASE; STAFF REPORT; AND STATEMENT BY THE EXECUTIVE DIRECTOR FOR JAPAN

Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. In the context of the 2026 Article IV consultation with Japan, the following documents have been released and are included in this package:

- A **Press Release** summarizing the views of the Executive Board as expressed during its March 27, 2026 consideration of the staff report that concluded the Article IV consultation with Japan.
- The **Staff Report** prepared by a staff team of the IMF for the Executive Board's consideration on March 27, 2026, following discussions that ended on February 5, 2026, with the officials of Japan on economic developments and policies. Based on information available at the time of these discussions, the staff report was completed on March 12, 2026.
- An **Informational Annex** prepared by the IMF staff.
- A **Staff Statement** updating information on recent developments.
- A **Statement by the Executive Director** for Japan.

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International Monetary Fund
Washington, D.C.



IMF Executive Board Concludes 2026 Article IV Consultation with Japan

FOR IMMEDIATE RELEASE

Washington, DC – April 3, 2026: The Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation¹ with Japan.

The Japanese economy has displayed impressive resilience in the face of global shocks and output is growing above potential. Domestic demand has been robust and unemployment remains low. After three decades of near-zero inflation, prices grew faster than the BOJ's target for over three and a half years before moderating in January. While nominal wages are rising at a historic pace, there are persistent concerns about the cost of living as high inflation erodes household purchasing power.

Growth is projected to remain strong in 2026, but to moderate to 0.8 percent due to weaker external demand and the impact from the conflict in the Middle East. Private investment and consumption are expected to remain strong, the latter supported by a gradual rise in real wages as inflation eases and labor shortages persist. From 1.3 percent y/y in February, inflation is expected to rise in 2026 before converging to the BOJ's target in 2027. Risks to the outlook and inflation are broadly balanced.

Recent fiscal performance has exceeded expectations, but the deficit is expected to widen in 2026 and spending on interest and health and long-term care for the aging population will continue to rise, eventually leading to an increase in the debt-to-GDP ratio from 2035. Fiscal prudence is needed, including a plan to keep debt-to-GDP on a firmly downward path. Monetary policy accommodation is appropriately being withdrawn, and gradual hikes should continue to move the policy rate toward a neutral setting.

Executive Board Assessment²

Executive Directors commended Japan's strong economic resilience in the face of global shocks. Directors concurred that the war in the Middle East poses significant new risks to the outlook. Going forward, they underscored the need to continue rebuilding fiscal buffers, proceed with monetary policy normalization, and advance labor market reforms to support sustained real wage gains.

Directors welcomed Japan's post-pandemic fiscal consolidation. They agreed that a more neutral fiscal stance in the near term and growth-friendly fiscal adjustments in the medium term, underpinned by a credible fiscal framework, are needed to place public debt firmly on a downward path and preserve market confidence, given the expected long-term spending

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

² At the conclusion of the discussion, the Managing Director, as Chair of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.IMF.org/external/np/sec/misc/qualifiers.htm>.

pressures from the interest bill as well as health and long-term care. Noting the authorities' discussions on temporarily suspending the consumption tax on food and beverage items while reforming the taxation system to improve social support, Directors emphasized that any measures should be targeted to vulnerable households and firms, temporary, and budget neutral. They also recommended improving expenditure efficiency and advancing durable revenue mobilization measures.

Directors agreed that the Bank of Japan (BOJ) is appropriately withdrawing monetary accommodation. They noted that as underlying inflation converges toward the BOJ's target, gradual rate hikes toward neutral should continue. Directors supported a flexible, well-communicated, and data-dependent approach, given heightened uncertainty about external conditions and the neutral rate. They commended the BOJ for the smooth implementation of its balance sheet reduction and encouraged continued monitoring of the Japanese Government Bond market functioning. Directors stressed the importance of maintaining a flexible exchange rate as a credible shock absorber.

Directors concurred that Japan's financial system remains broadly resilient. They encouraged continued vigilance given potential vulnerabilities, including from foreign exchange exposures, structural challenges in some regional banks, valuation risks in commercial real estate, and growing participation of non-bank financial institutions. Continued implementation of the 2024 Financial Sector Assessment Program's recommendations, particularly on the macroprudential framework, financial sector oversight, and systemic risk monitoring, is also important.

Directors encouraged reforms to enhance labor market flexibility and mobility, including through reskilling and upskilling to address AI-related labor displacement, and to remove distortions discouraging labor supply to sustain real wage growth. They welcomed Japan's continued support for IMF activities and commitment to multilateral economic cooperation, stressed the importance of pursuing deeper trade integration, and recommended that industrial policies be narrowly targeted, time-bound, and subject to cost-benefit analysis.

Table 1. Japan: Selected Economic Indicators, 2022–31

Nominal GDP: US\$ 4,190 Billion (2024) Population: 124 Million (2024)				GDP per capita: US\$ 33,820 (2024) Quota: SDR 30.8 billion (2024)						
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
				Est.	Proj.					
(In percent change)										
Growth										
Real GDP	1.3	0.7	-0.2	1.1	0.8	0.6	0.6	0.6	0.6	0.6
Domestic demand	1.8	0.0	-0.2	1.3	1.1	0.8	0.7	0.7	0.7	0.7
Private consumption	2.3	0.1	-0.6	1.4	1.1	0.7	0.6	0.6	0.6	0.6
Gross Private Fixed Investment	2.6	1.8	-0.3	0.8	1.1	0.7	0.6	0.6	0.6	0.7
Business investment	3.1	1.7	-0.2	1.5	1.1	0.8	0.7	0.7	0.7	0.8
Residential investment	0.4	2.1	-1.0	-2.5	1.3	0.4	0.1	0.1	0.1	0.1
Government consumption	1.6	-0.2	1.6	0.7	1.3	1.3	1.3	1.3	1.3	1.1
Public investment	-8.1	2.3	-1.8	-0.7	-0.5	-0.1	0.0	0.0	0.0	0.0
Stockbuilding	0.2	-0.4	-0.1	0.3	0.0	0.0	0.0	0.0	0.0	0.0
Net exports	-0.4	0.6	0.0	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1
Exports of goods and services	5.3	3.1	0.9	2.9	1.0	1.3	1.4	1.3	1.4	1.2
Imports of goods and services	8.0	-0.4	0.9	4.0	2.2	2.1	2.0	2.0	1.9	1.9
Output Gap	-0.6	0.0	0.0	0.3	0.5	0.2	0.0	0.0	0.0	0.0
(In percent change, period average)										
Inflation										
Headline CPI	2.5	3.2	2.7	3.2	1.9	2.1	2.0	2.0	2.0	2.0
Core CPI (ex. fresh food & energy)	1.1	3.9	2.4	3.0	2.4	2.1	2.0	2.0	2.0	2.0
(In percent of GDP)										
Government										
Revenue	36.0	35.4	35.6	35.8	35.5	35.5	35.4	35.3	35.3	35.3
Expenditure	40.2	37.8	37.3	36.9	37.3	37.8	38.3	38.6	39.0	39.5
Overall Balance	-4.2	-2.4	-1.7	-1.1	-1.8	-2.4	-2.9	-3.3	-3.7	-4.1
Primary balance	-3.8	-2.2	-1.6	-0.9	-1.5	-1.7	-1.9	-2.0	-2.2	-2.3
Structural primary balance	-3.9	-2.2	-1.5	-1.0	-1.7	-1.7	-1.9	-2.0	-2.2	-2.3
Public debt, gross	227.8	220.3	214.5	206.8	202.9	199.6	197.2	195.5	194.0	193.1
(In percent change, end-of-period)										
Macro-financial										
Base money	-5.6	6.4	-1.9	2.1	2.2	2.3	2.2	2.1	2.0	2.0
Broad money	2.3	2.1	0.1	2.4	2.4	2.4	2.3	2.3	2.2	2.2
Credit to the private sector	2.5	4.0	2.9	2.3	2.0	1.7	1.6	1.6	1.6	1.6
Non-financial corporate debt in percent of GDP	153.9	150.3	149.7	152.7	153.1	153.1	153.2	153.4	153.5	153.7
(In percent)										
Interest rate										
Overnight call rate, uncollateralized (end-of-period)	0.0	0.0	0.2	0.7	1.2	1.5	1.5	1.5	1.5	1.5
10-year JGB yield (end-of-period)	0.4	0.6	1.1	2.1	2.3	2.4	2.5	2.6	2.7	2.7
(In billions of USD)										
Balance of payments										
Current account balance	89.9	156.2	189.2	214.2	203.3	205.0	206.4	206.6	212.5	214.3
Percent of GDP	2.0	3.6	4.5	4.8	4.6	4.5	4.4	4.3	4.3	4.2
Trade balance	-115.8	-49.0	-24.5	-5.1	-15.8	-17.8	-19.8	-23.7	-23.8	-27.0
Percent of GDP	-2.6	-1.1	-0.6	-0.1	-0.4	-0.4	-0.4	-0.5	-0.5	-0.5
Exports of goods, f.o.b.	752.5	714.7	693.8	720.5	704.7	704.2	715.0	722.8	729.1	735.0
Imports of goods, f.o.b.	868.3	763.7	718.4	725.5	720.5	722.0	734.8	746.5	753.0	762.0
Energy imports	195.5	152.9	138.3	125.2	125.5	128.0	135.4	144.2	153.1	161.3
(In percent of GDP)										
FDI, net	2.8	4.0	4.4	3.9	3.8	3.6	3.7	3.7	3.6	3.6
Portfolio Investment	-3.2	4.5	2.2	-2.4	-0.7	-0.4	-0.2	-0.1	-0.1	0.0
(In billions of USD)										
Change in reserves	-47.4	29.8	-64.4	37.0	11.5	11.5	11.5	11.5	11.5	11.5
Total reserves minus gold (in billions of US\$)	1178.3	1238.5	1159.7	...	...	...	...	...	...	...
(In units, period average)										
Exchange rates										
Yen/dollar rate	131.5	140.5	151.4	149.7	...	...	...	...	...	...
Yen/euro rate	138.6	152.0	163.8	169.0	...	...	...	...	...	...
Real effective exchange rate (ULC-based, 2010=100)	62.4	56.7	52.8	52.4	...	...	...	...	...	...
Real effective exchange rate (CPI-based, 2010=100)	61.2	58.1	55.0	56.1	...	...	...	...	...	...
(In percent)										
Memorandum items:										
Real GDP per Capita Growth	1.7	1.2	0.2	1.6	1.3	1.2	1.2	1.2	1.2	1.2
Population Growth	-0.3	-0.5	-0.5	-0.5	-0.5	-0.5	-0.6	-0.6	-0.6	-0.6
Old-age dependency	48.8	48.9	49.2	49.7	50.1	50.5	50.9	51.4	52.0	53.1

Sources: Haver Analytics; OECD; Japanese authorities; and IMF staff estimates and projections.
Note: This table reflects information available as of March 2, 2026.



JAPAN

STAFF REPORT FOR THE 2026 ARTICLE IV CONSULTATION

March 12, 2026

KEY ISSUES

Context: The Japanese economy has displayed impressive resilience in the face of global shocks and output is growing above potential. Domestic demand has been robust and unemployment remains low. After three decades of near-zero inflation, prices grew faster than the BOJ's 2-percent target for over three and a half years before moderating in January. While nominal wages are rising at a historic pace, there are persistent concerns about the cost of living as high inflation erodes household purchasing power. Japan continues to face challenges from its aging population and high public debt.

Outlook and Risks. Growth is projected to remain strong in 2026, but to moderate to 0.8 percent due to weaker external demand. Private investment and consumption are expected to remain strong, the latter supported by a gradual rise in real wages as inflation eases and labor shortages persist. Inflation is expected to moderate further in 2026 before converging to the BOJ's target in 2027. Risks to the outlook and inflation are broadly balanced.

Policy lines. With the output gap positive, fiscal and monetary policies should be calibrated to sustain price and output stability, while rebuilding fiscal buffers.

- Recent fiscal performance has exceeded expectations, but the deficit is expected to widen in 2026 and spending on interest and health and long-term care for the aging population will continue to rise, eventually leading to an increase in the debt-to-GDP ratio from 2035. Fiscal prudence is needed, including a plan to keep debt-to-GDP on a firmly downward path.
- Monetary policy accommodation is appropriately being withdrawn, and gradual hikes should continue to move the policy rate toward a neutral setting.
- Japan's financial system remains broadly resilient and systemic risk has not materially changed from the 2025 Article IV consultation, though its sources have shifted. Continued follow-up on implementation of key recommendations from the 2024 FSAP would help strengthen resilience. Reforms to the labor market are needed to ensure that labor market tightness translates into sustained real wage gains.

Approved By
Nada Choueiri (APD)
and Daria Zakharova
(SPR)

Discussions with officials took place in Tokyo, Japan between January 22 and February 5, 2026. The staff team was led by Rahul Anand and comprised Yan Carrière-Swallow (deputy mission chief), Rahul Giri, Parisa Kamali, Shujaat Ali Khan, Akihiro Matsuura, Ken Teoh (all APD), Andrea Deghi (MCM), and Haruki Seitani (OAP). Jun Mizuguchi and Shuntaro Hara (OED) joined the policy discussions. Dan Katz (First Deputy Managing Director) and Matthew Jones (Senior Advisor to FDMD) joined meetings with Finance Minister Katayama and Bank of Japan Governor Ueda. Madelen Conde Panesso and Qin Lin (both APD) assisted in the preparation of this report. This report reflects data available as of March 2, 2026.

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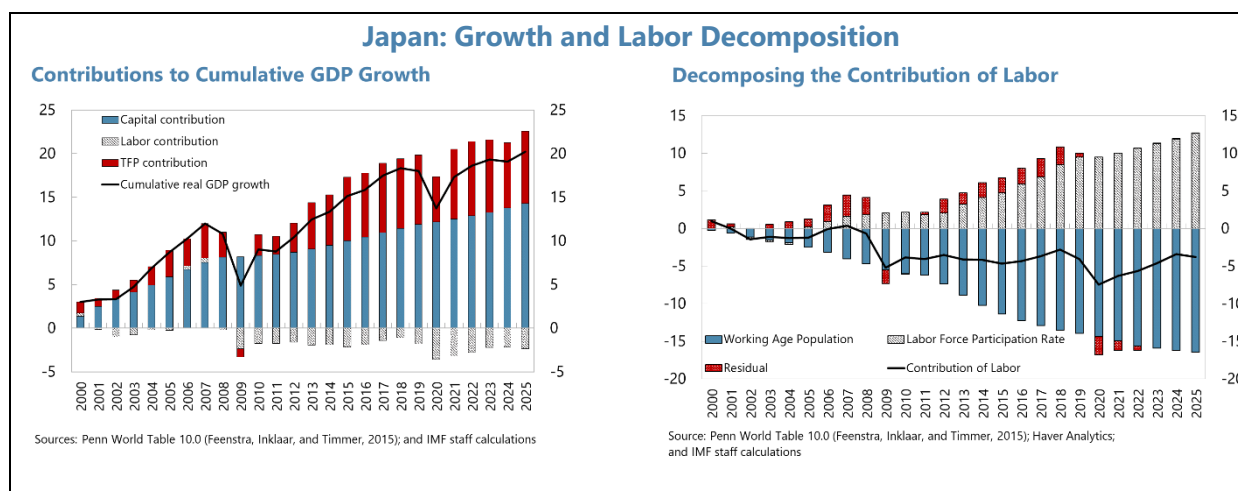
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CONTEXT

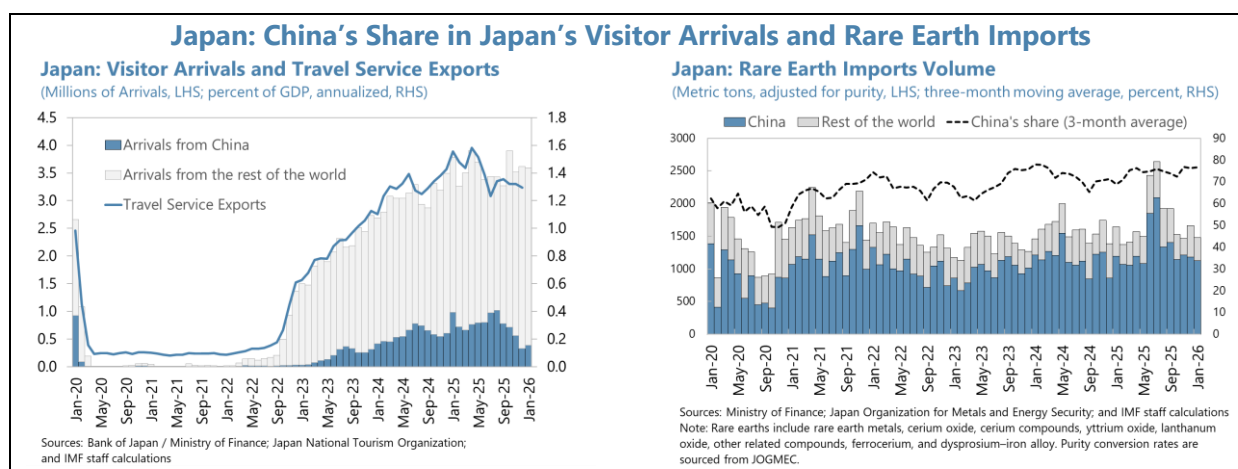
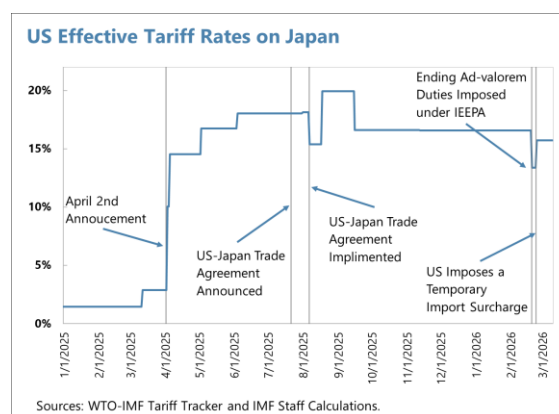
- 1. Japan has displayed impressive resilience in the face of global shocks and output is growing above potential.** After three decades of near-zero inflation, prices were growing faster than the BOJ's 2-percent target for more than three and a half years, before declining to 1.5 percent in January. Despite unexpected global trade shocks and elevated uncertainty, domestic demand has been robust and unemployment remains low.
- 2. While nominal wages are rising at a historic pace, there are growing concerns about the cost of living.** Nominal wages have been growing at multi-decade highs for the past few years, with successive collective bargaining rounds securing wage gains above the BOJ's inflation target. However, high inflation has contributed to a 6-percent fall in real wages since 2022, eroding household purchasing power.
- 3. The decisive outcome of recent elections put an end to political uncertainty and ensures policy continuity.** Following the ruling coalition's loss of a majority in both houses of parliament, the Liberal Democratic Party (LDP)'s newly-elected president, Sanae Takaichi, succeeded Shigeru Ishiba as prime minister in October 2025 and soon thereafter dissolved the lower house. In February, the LDP gained a supermajority in lower house elections. The Takaichi government prioritizes addressing the cost of living and strengthening the resilience and dynamism of the Japanese economy.
- 4. A shrinking and aging workforce has led to subdued GDP growth over the past two decades, but automation has supported labor productivity.** Japan's working age population (aged 15-64) peaked in 1995 and has been shrinking by approximately 0.6 percent per year since. Large gains in labor force participation—particularly among women and elderly individuals—have partially offset this drag on labor supply. Investment in labor-saving capital has also allowed for a steady boost to output since 2000.



RECENT DEVELOPMENTS

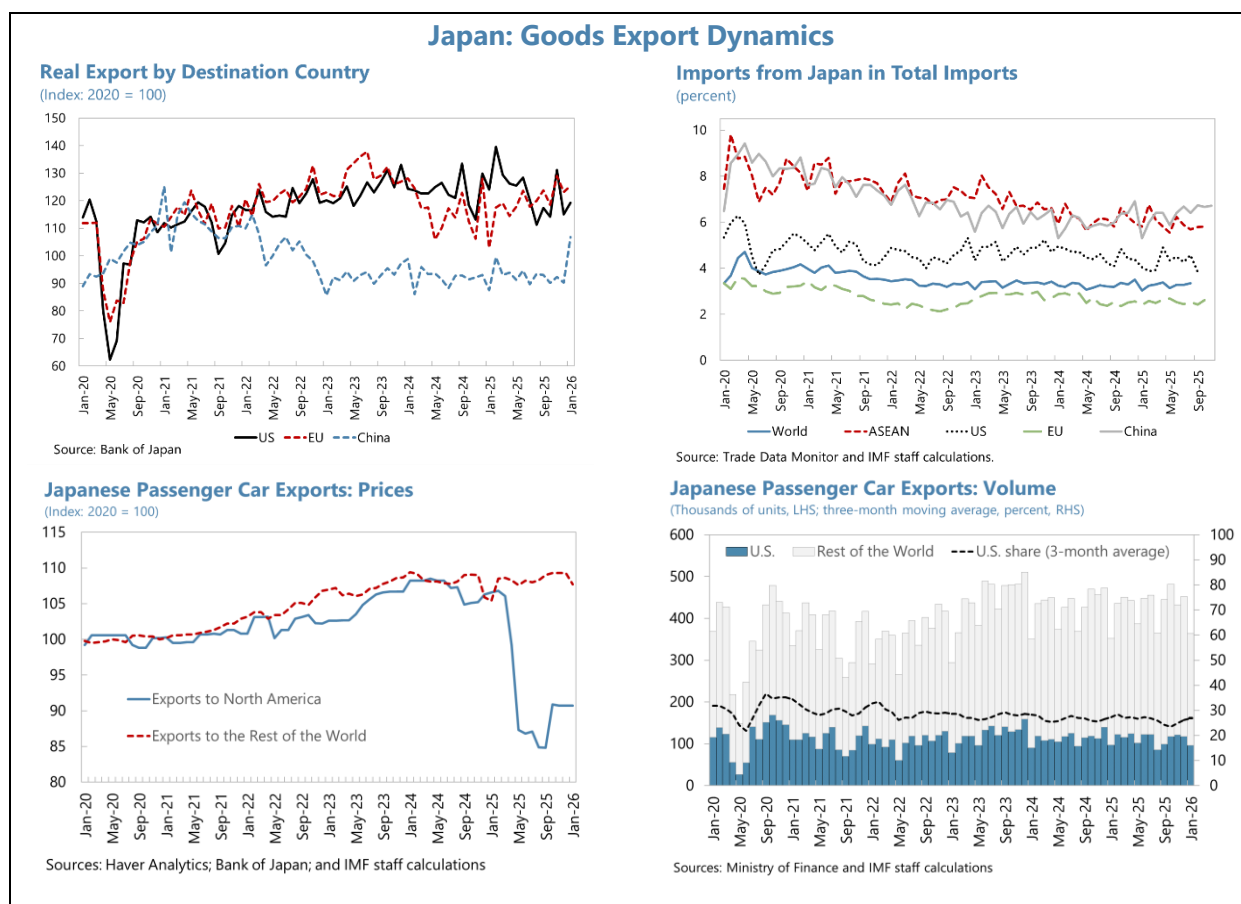
5. Growth has been resilient, recovering to exceed potential in the first half of 2025, but has started to moderate. Temporary supply disruptions in 2024H1 led to an output contraction of 0.2 percent in 2024, but growth firmed in the second half and rebounded in 2025H1. Despite elevated uncertainty, domestic demand has remained firm, with business investment and consumption strong, while the impact of higher US tariffs has been limited and largely confined to the auto sector. Following a contraction in Q3 and a modest rebound in Q4, growth reached 1.1 percent in 2025.

6. After spiking in April, trade tensions with the US eased following the bilateral agreement, while strains have since emerged with China. In July 2025, Japan became the first country in Asia to reach a bilateral trade and investment agreement with the United States, which helped avert a major escalation in tariffs. The deal capped most US tariffs on Japanese exports at a flat 15 percent, with the notable exception of steel and aluminum related exports, and included a substantial Japanese investment pledge of up to \$550 billion in key US sectors such as energy, semiconductors, and pharmaceuticals. While the agreement has reduced uncertainty and provided greater clarity for exporters, effective tariff rates remain significantly above 2024 levels.¹ In November, diplomatic tensions with China led to weaker Chinese tourist arrivals, de facto moratorium on exports of seafood to Japan's largest trade partner, and in February 2026, freezing of the flow of dual use materials to 20 Japanese companies, with another 20 companies put on a watch list. The full scope and implementation of these measures remain unclear.



¹ After the February 20 US Supreme Court ruling against tariffs under the International Emergency Economic Powers Act, the United States imposed import surcharges under an alternative legal basis. Staff preliminary estimates suggest these actions leave the US's effective tariff rate on Japanese exports largely unchanged.

7. External demand held up in early 2025, with exports to the US showing notable resilience despite higher tariffs. Auto export prices to North America were reduced starting in April as Japanese exporters absorbed tariffs by reducing their margins, helping sustain export volumes and market share. Exports were buoyant in early 2025, benefiting from resilient demand across export destinations, though momentum moderated since Q3. The improvement in the trade deficit was due to a fall in oil and gas imports as global prices fell, which more than offset lower export values after the imposition of US tariffs. Over the past five years, Japan's goods exports have maintained around 4 percent global market share and have held their position in the US and EU markets despite a gradual decline in ASEAN and China. So far, these medium-term trends have not been materially affected by recent trade tensions.



8. The labor market has remained tight, supporting nominal wage growth. The unemployment rate has hovered around 2.5 percent, near its historical low, while the labor force participation rate has continued to rise to almost 65 percent (ages 15 and over).² The number of foreign workers in Japan rose by 11.7 percent y/y through October 2025, though they still represent only 3.7 percent of the labor force. The proportion of firms in the Bank of Japan's Tankan survey of employment conditions reporting that they face labor shortages has risen to its highest level since

² The labor force participation rate was 82.6 percent for the population aged 15-64.

the early 1990s. Labor market tightness is supporting higher nominal wage growth than has been seen in decades, with scheduled earnings growing just above 2 percent in 2025 and the average minimum hourly wage rising 6.3 percent from a year earlier.

9. Inflation was stronger than expected in 2025, boosted by soaring rice prices, but has recently moderated. Headline inflation averaged 3.2 percent (y/y) in 2025, marking more than three and a half years above the BOJ's 2-percent target. Non-durable goods prices—driven primarily by food items such as rice—remain the main contributor. Services inflation has been more moderate, although services inflation excluding imputed rents has firmed around 2 percent. On average, food price inflation accounted for more than half of headline inflation in 2025, contributing roughly 1.8 percentage points to headline inflation. Rice prices rose by more than 100 percent in mid-2025 following a disappointing harvest and have stabilized following the release of strategic government stockpiles. While exchange rate pass-through has increased in recent years,³ yen depreciation has had a moderate impact on headline inflation, with import prices declining on average in 2025. Headline inflation moderated to 1.5 percent y/y in January 2026, as fresh food and energy prices fell sharply, the latter due to softer global commodity prices, an extension of government subsidies on energy prices and the removal of the provisional gasoline tax rate.

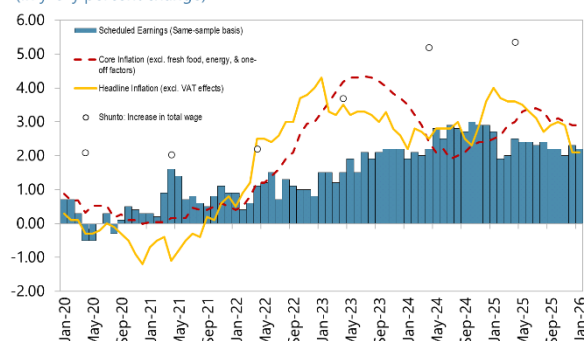
10. Inflationary pressures have broadened across products, while staff estimate that medium-term inflation expectations are gradually realigning with the BOJ's target. Both BOJ and Western core measures are higher when administered prices are excluded, indicating stronger price momentum in market-based components, while administered prices—mainly public utility charges excluding energy prices (electricity and gas charges)—have risen more moderately. At the same time, the share of CPI items with inflation above the 2 percent target remains high, while the share of items in deflation has declined, pointing to persistent and broad-based inflation dynamics. Nominal wage growth remains strong, but real wages have continued to contract as headline price increases outpace wage gains. Following several decades below the BOJ's target, medium-term inflation expectations have been rising gradually, and staff estimate that they are now realigning with the BOJ's target two years ahead (Box 1).

³ [IMF Country Report 25/82](#), Annex I.

Japan: Wage and Price Developments

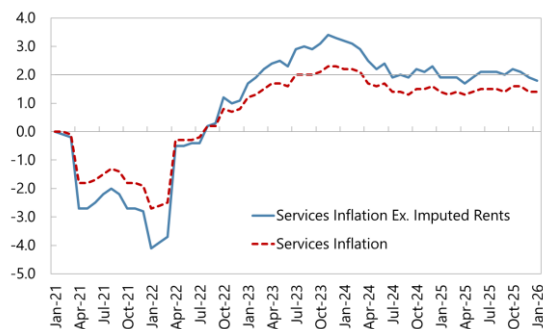
Base Wage Growth Strengthens

(In y-o-y percent change)



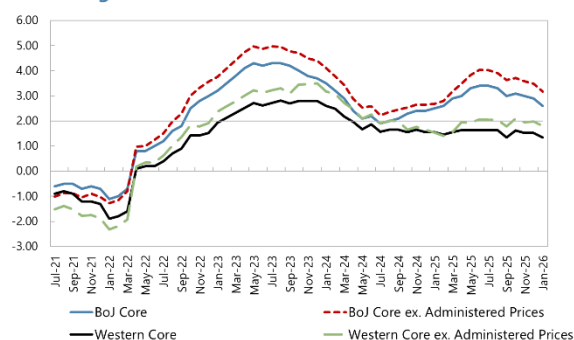
Sources: Haver Analytics and IMF staff estimates.

Services Inflation Ex. Imputed Rents



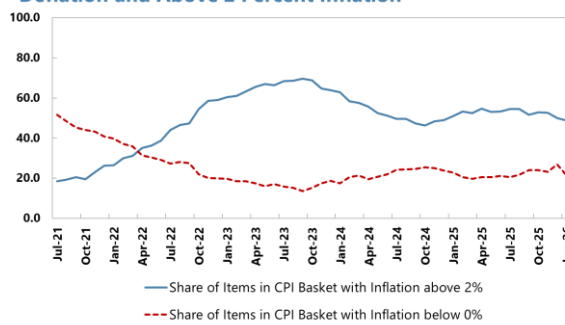
Sources: Haver Analytics and IMF Staff Calculations

Excluding Administered Prices from Core Inflation



Sources: Staff calculations based on data from the Ministry of Internal Affairs and Communications.
Note: For administered prices, components of public utilities charges excluding electricity and gas charges are used.

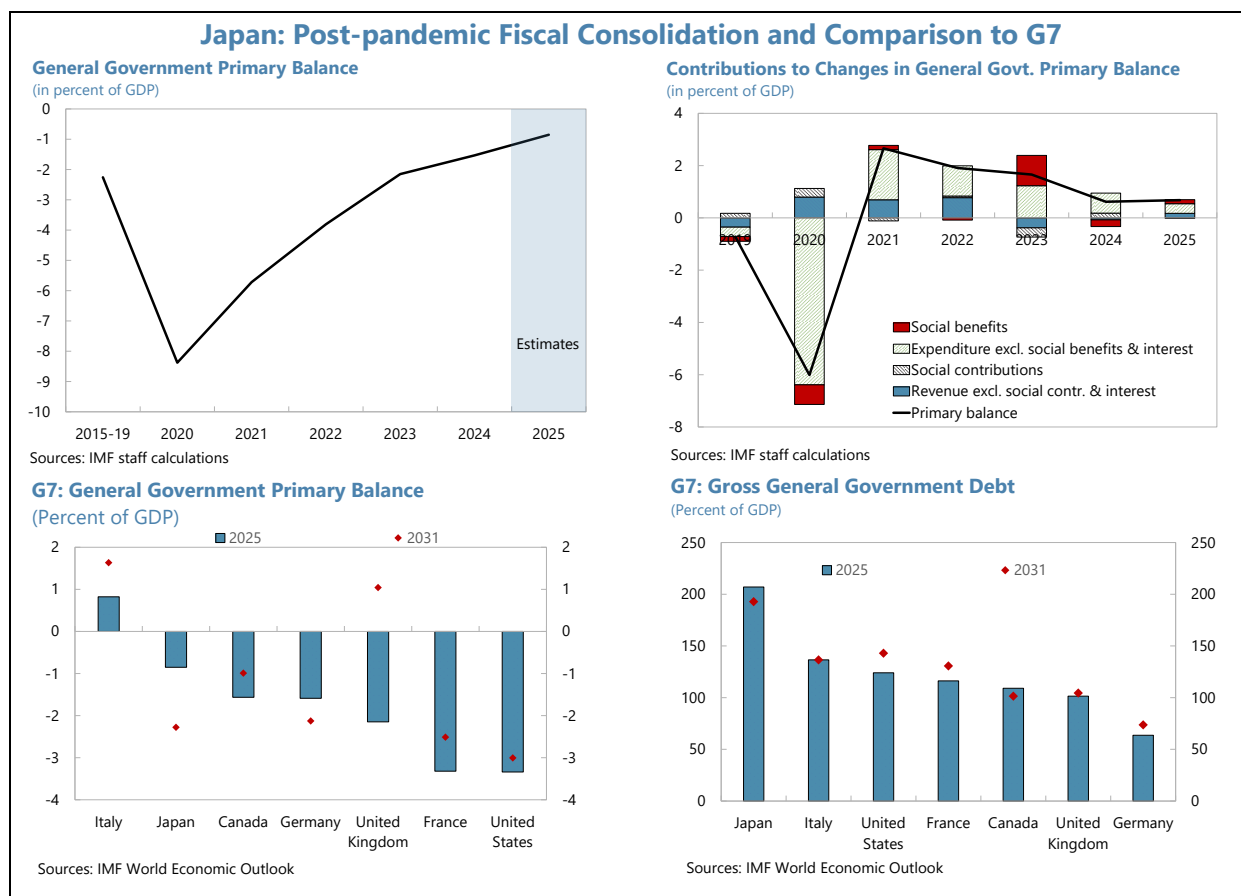
Diffusion Index: Share of CPI Items With Deflation and Above 2 Percent Inflation



Sources: Staff calculation based on data from the Ministry of Internal Affairs and Communications.

11. Japan's post-pandemic fiscal consolidation has been underpinned by strong revenue performance and, more importantly, spending restraint. After reaching a peak of 8.4 percent in 2020, the general government primary deficit narrowed to 1.6 percent of GDP in 2024 and is estimated to have declined to 0.9 percent of GDP in 2025. The primary deficit in 2025 is estimated to have been smaller than it was in 2019 before the pandemic, and is among the smallest in the G7. The improvement, also marked by overperformance relative to staff's projections, reflected a strengthening of non-interest revenue (+2.3 percent of GDP relative to the pre-pandemic average) that outpaced the increase in non-interest expenditure (+0.9 percent). Revenue strength was supported by buoyant tax collections amid elevated inflation, solid nominal wage gains, and strong corporate profitability. Expenditure growth remained moderate, constrained in part by supply bottlenecks in the construction sector but also thanks to the gradual withdrawal of pandemic-related support. The post-pandemic fiscal consolidation, supported by strong nominal GDP growth, has also contributed to a steady decline in Japan's gross debt ratio—from 229 percent

of GDP at the height of the pandemic to an estimated 207 percent of GDP as of 2025Q3.^{4, 5} In December 2025, the authorities approved a sizeable supplementary budget (¥119) containing several measures to address the rising cost of living, including extended electricity and gas subsidies (0.1 percent of GDP). For the same purpose, they also adopted tax measures, including an increase in basic income tax exemption (0.2 percent of GDP), and the abolition of the provisional gasoline tax rate (0.2 percent of GDP).



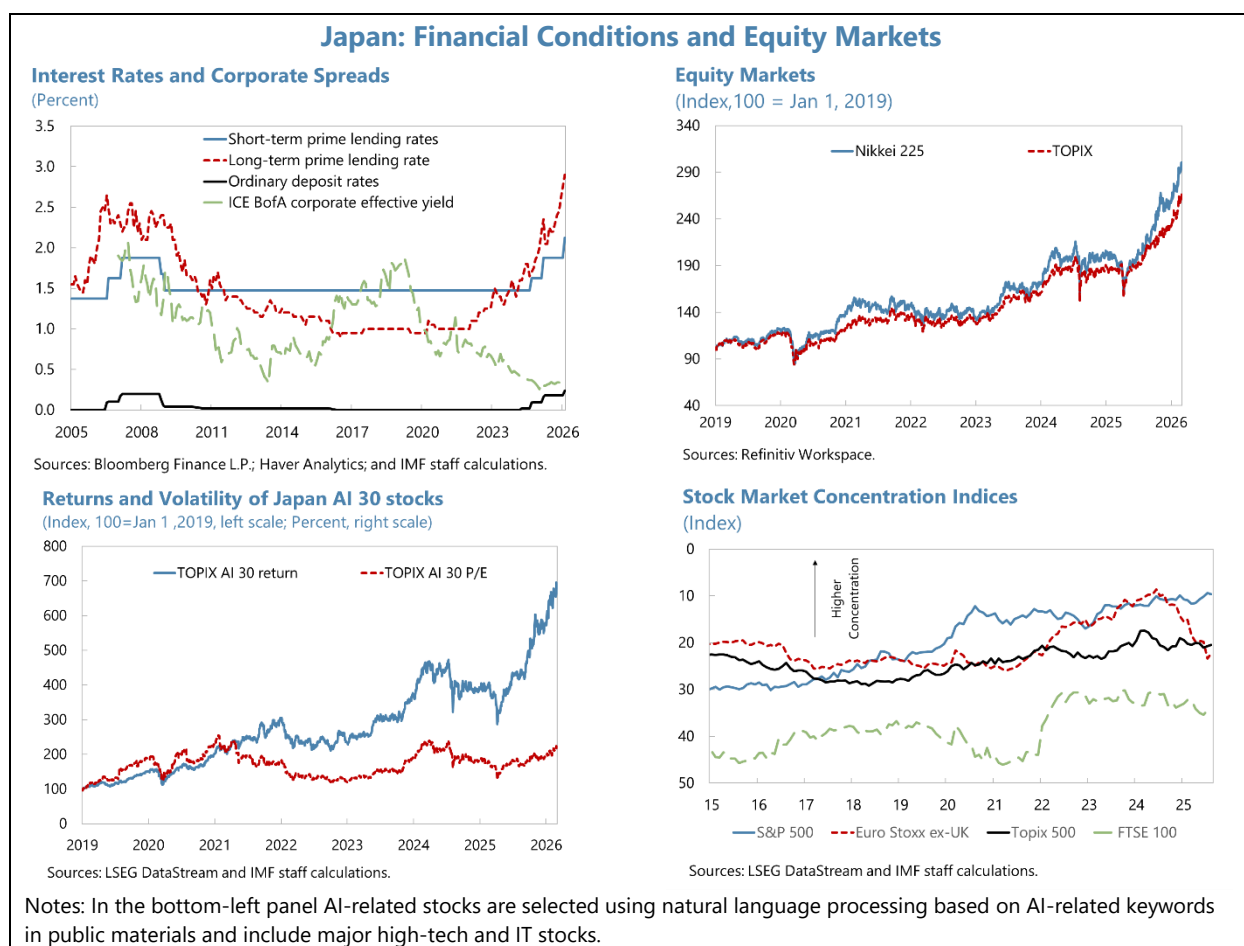
12. The BOJ has continued to gradually normalize monetary policy. Following the end of the negative interest rate and yield curve control policies in March 2024, the BOJ has been raising the policy rate gradually (currently 0.75 percent). The BOJ has also started reducing the size of its balance sheet, with its holdings of JGBs having fallen from 91 percent of GDP in June 2024 to about 80 percent of GDP in January 2026, which is also contributing to a contraction of the monetary base. In July 2025, the BOJ extended its JGB purchase plan, reducing gross JGB purchases from 3.3 trillion yen per month in December 2025 to 2.1 trillion yen per month by March 2027. In January 2026, the

⁴ To align with Public Sector Debt Statistics (PSDS) guidance and to improve cross-country comparability, the definition of general government gross debt used in this report has been revised, moving from a non-consolidated market-value basis to a consolidated nominal-value basis (Annex VII).

⁵ The rebasing of national accounts in December 2025 raised the level of nominal GDP by about 4 percent in recent years, mechanically lowering the debt-to-GDP ratio across the historical series.

BOJ started unwinding its ETF and J-REIT holdings at annual paces of 330 billion yen and 5 billion yen (based on book value), respectively.⁶

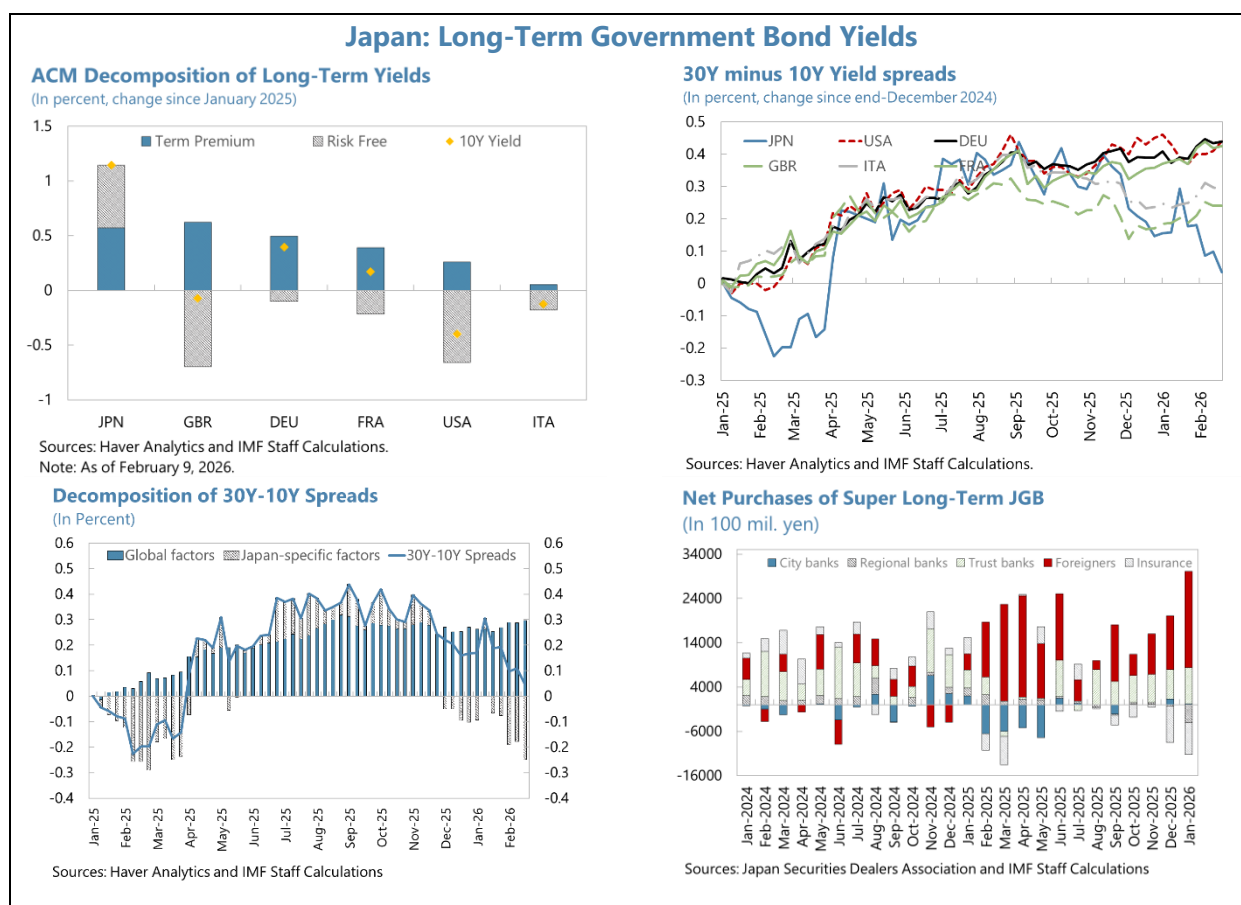
13. Financial conditions in Japan are broadly neutral, supported by still-ample liquidity, compressed credit spreads, and generally favorable market functioning. While rising policy rates are passing through to higher bank lending rates, real interest rates remain negative, and overall financial conditions benefit from stable credit spreads and low credit costs. Equity prices rose sharply in 2025, with the TOPIX up about 23 percent and the Nikkei 225 up 27 percent, on the back of strong corporate earnings and improved investor sentiment following successful corporate governance reforms. Japan's AI-related stocks—concentrated in semiconductor equipment and infrastructure—have performed particularly well, but their influence on overall market valuations is more contained than in the United States due to more modest concentration.



14. Sovereign bond yields have climbed rapidly, particularly at long maturities. The 10-year JGB yield increased by around 100 bps in 2025 to reach 2.1 percent by year-end, its highest level

⁶ These assets constitute around 5 percent and 0.1 percent, respectively, of BOJ total assets in book value. The BOJ emphasized that the pace of sales could be adjusted to avoid realizing losses and to minimize the risk of market disruption.

since 1999, and peaked at 2.3 percent in January 2026 before retracing. Rising yields through January 2026 have been driven by higher expected policy rates and higher term premia, with the latter reflecting heightened geopolitical tensions, perceptions of domestic political uncertainty and market perception of higher fiscal risk. Foreign investor participation in JGB auctions expanded substantially in 2025, helping to offset the structural decline in domestic investor demand, though their overall holdings remain low (142). Nonetheless, their growing participation may be making the bond market more sensitive to fiscal news and global developments. Much of the steepening of the yield curve at maturities beyond 10 years appears consistent with global yield co-movements observed across major advanced economies, consistent with larger global sovereign issuance and greater reliance on price-sensitive investors ([October 2025 GFSR](#)), and led the MOF to shift its issuance plan towards shorter maturities starting June 2025.

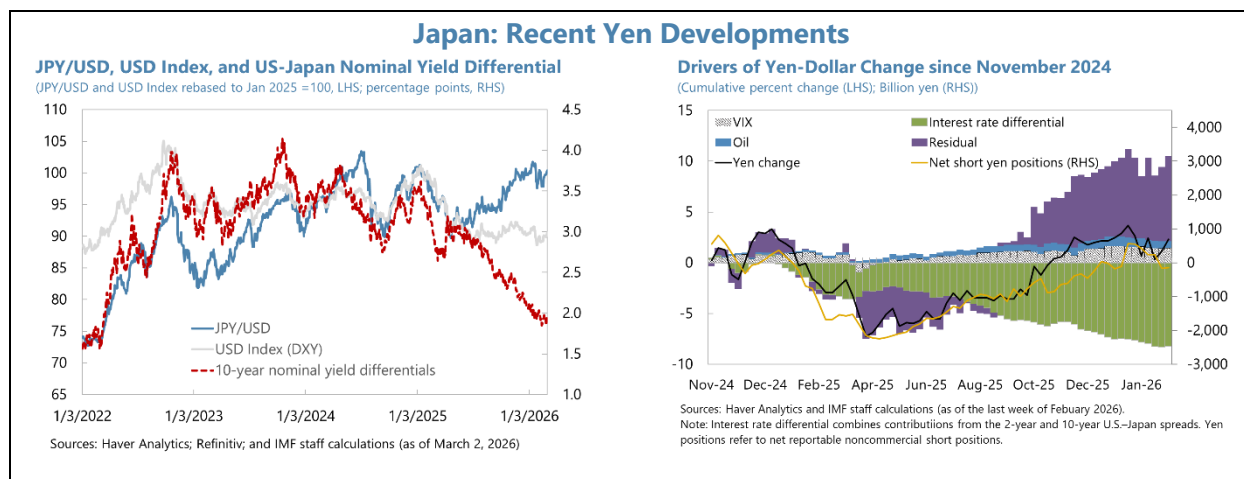


15. Developments in the JGB market can potentially spill over to global financial markets.

As the resilient Japanese economy allows the BOJ to continue normalizing its policy settings, JGB yields are becoming more market determined, which will enable more efficient allocation of capital in the medium term. Japan's open capital account, large stock of outstanding government debt securities, and sizable net international investment position create interlinkages with global financial markets. At the same time, foreign investors—including mutual funds and hedge funds—have been playing a growing role in the Japanese bond market. These characteristics provide transmission

channels for JGB market conditions to spill over to markets abroad, just as shocks emanating from the United States and Euro Area affect conditions in Japanese (and other) markets. For example, staff analysis finds that BOJ unconventional policy shocks affecting JGB yields have transmitted to global sovereign yields, and that the estimated spillovers were strongest to markets where Japanese investors have a larger participation.⁷

16. The yen-dollar exchange rate had generally tracked the US-Japan yield differential in recent years, but has consistently decoupled since mid-2025. From early 2025 through the end of June, the yen-dollar exchange rate appreciated by as much as 9 percent, reflecting broad dollar depreciation across major currencies. Since then, while other major currencies have broadly held their value against the dollar, the yen has steadily depreciated despite the 10-year yield differential narrowing by over 100 bps to its lowest level since early 2022. Staff analysis suggests that a large portion of yen movements since mid-2025 cannot be accounted for by yield differentials or other fundamentals such as global risk aversion or the oil price, while the unexplained component has co-moved with observed positions in the yen futures market. Over the recent period, the yen is also estimated to have become less responsive to narrowing differentials between US-Japan term premia, which would previously have been followed by yen appreciation. These developments have coincided with a greater role of market perceptions of fiscal risk in driving the term premium priced into JGB yields. The REER at end-2025 was 3.2 percent below its 2024 average and roughly 25 percent below its 2021 average.



17. On a preliminary basis, Japan's external position in 2025 is assessed as broadly in line with the level implied by medium-term fundamentals and desired policies (Annex I).⁸ The current account surplus rose to 4.8 percent of GDP in 2025, from 4.5 percent in 2024. This is largely driven by an income balance surplus, which is offset by a small trade deficit. The former is derived from Japan's large stock of net foreign assets (\$3.7 trillion as of 2025Q3), which have generated

⁷ See Carrière-Swallow, Kindberg-Hanlon, and Smirnov (2025).

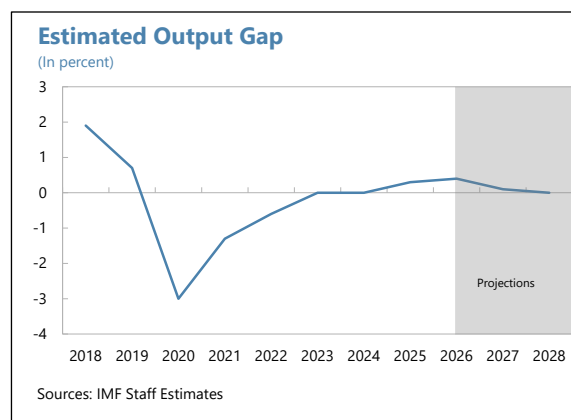
⁸ The final assessment will be provided in the IMF's 2026 External Sector Report.

strong rates of return in recent years, supported by strong performance of FDI following yen depreciation and strong portfolio investment returns from higher global interest rates.

OUTLOOK AND RISKS

18. Economic activity is projected to remain strong in 2026, but to moderate due to weaker external demand. Private investment is expected to strengthen, reflecting a rebound in

residential investment, despite gradual tightening of financial conditions. Private consumption is expected to remain firm in 2026, supported by a gradual rise in real wages as inflation eases, as well as an expansionary fiscal stance. Growth is projected at 0.8 percent in 2026 and to gradually converge to its potential of 0.6 percent over the medium term. With economic slack limited since 2023, above-potential growth in 2025 and 2026 will lead to a positive output gap that is projected to close gradually by end-2027 as monetary and fiscal policies become neutral.



19. The fiscal stance is expected to turn expansionary in 2026. Following five consecutive years of improvement, Japan's primary deficit is expected to rise from 0.9 percent in 2025 to 1.5 percent in 2026, reflecting a larger supplementary budget approved in December 2025 (exceeding the 2024 supplementary budget by roughly 1 percent of GDP) and staff's working assumption that past practice on supplementary budgets will continue in the baseline. Interest rates are projected to continue rising gradually, but a favorable maturity structure (average residual maturity of 9.5 years) will slow the pass-through to government interest payments. Nominal growth that exceeds the effective interest rate will help reduce the public debt-to-GDP ratio to 203 percent in 2026 and 193 percent in 2031. While the debt level is elevated, the overall risk of sovereign debt distress is assessed as moderate, reflecting a favorable maturity structure and the mitigating roles of the deep domestic investor base, the yen's reserve currency status, and the large stock of public sector financial assets (Annex III).

20. The current account surplus is expected to remain strong in 2026, reflecting primarily an income balance surplus earned on Japan's large stock of net foreign assets. It is expected to moderate somewhat over the medium-term as the rate of return on external assets normalizes, driven by slower growth among trading partners and lower interest rates in investment destinations. Japan's commitment to invest \$550 billion in the US economy is expected to boost outward investment in the United States and bilateral trade. While project approvals are expected to occur within three years, financing will likely be spread over longer construction phases. As the overall scale of outward investment to the United States expands, it may partially crowd out investments in other regions. Staff analysis based on historical data of Japanese outward FDI suggests that higher tariffs have encouraged FDI entry into large markets and increased investment, while policy

uncertainty has only dampened investment when it occurred in geopolitically distant destinations (Annex VIII).

21. Inflation is expected to continue moderating in 2026 before converging back to the BOJ's target in 2027. The projected decline reflects easing global food prices, alongside stabilization in domestic rice prices, and fiscal measures aimed at containing costs of living. In contrast, core inflation is expected to remain more persistent in 2026-27 than previously anticipated, partly reflecting a more accommodative fiscal policy. A tight labor market should support strong nominal wage growth—exceeding headline inflation as it converges to target—and broad-based price increases should converge to target as monetary accommodation is withdrawn.

22. Risks to the outlook are balanced (Annex II). An abrupt tightening of financial conditions could weaken confidence and domestic demand (Box 3). Major global shocks that lead to sustained movements in the yen could affect the income earned from Japan's large net foreign asset position, posing two-sided risks on corporate profitability and future wage negotiations. Deepening geoeconomic fragmentation, intensification of conflicts, and rising trade restrictions—including recent strains in Japan-China relations—could further disrupt supply chains and dampen business sentiment. Domestically, the main risk remains weak consumption if real wages fail to turn positive. Upside risks include stronger-than-expected wage growth or faster progress in regional economic integration, which could boost confidence and support domestic demand.

23. Risks to inflation are balanced. On the downside, a steeper decline in food and energy prices or weaker-than-expected wage growth could weigh on price momentum and revert recent gains in re-aligning inflation expectations with target. On the upside, higher oil prices triggered by intensification of conflicts could boost headline inflation, more expansionary fiscal policy could boost demand pressures and core inflation, and the inflationary process may be becoming more persistent. The recent increase in food prices could have a larger-than-envisaged second-round impact on core inflation, raising the risk of above-target inflation becoming entrenched.

Authorities' Views

24. The authorities broadly agreed with staff's assessment of the economic outlook and risks. They emphasized that growth in 2026 would be supported by firm private consumption as real wages rise with continued wage growth and easing headline inflation, as well as increased business investment, supported by the government's efforts to promote investments in strategic sectors. The authorities pointed out the risk that exchange rate depreciation could increase burdens on households and businesses through higher import prices, while noting that depreciation could support corporate revenue of the export sector. They acknowledged that a variety of domestic and global factors have been impacting JGB yields over the past year, with the contribution of each factor difficult to identify. The source of risks to the outlook was viewed as primarily external, including the export control measure targeting Japan that China announced in January and its global spillover effects. The authorities broadly concurred with staff's preliminary external sector assessment, and underscored the predominant role of the income balance in the current account surplus.

ECONOMIC POLICIES

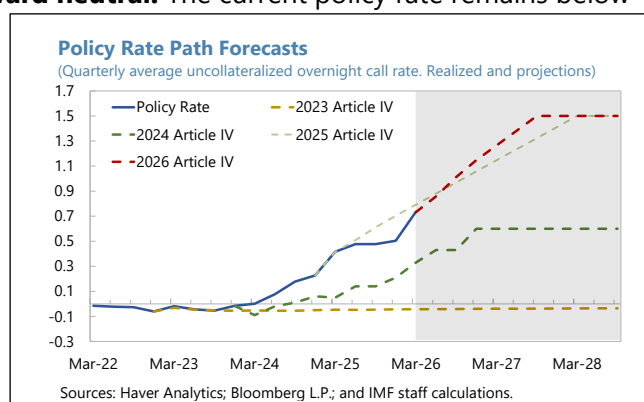
With the output gap positive and inflation expected to converge to target, fiscal and monetary policies should be calibrated to sustain price and output stability, while rebuilding fiscal buffers and safeguarding financial stability.

A. Monetary and FX Policies

25. The BOJ is appropriately withdrawing monetary accommodation, and gradual hikes should continue to move the policy rate toward neutral. The current policy rate remains below

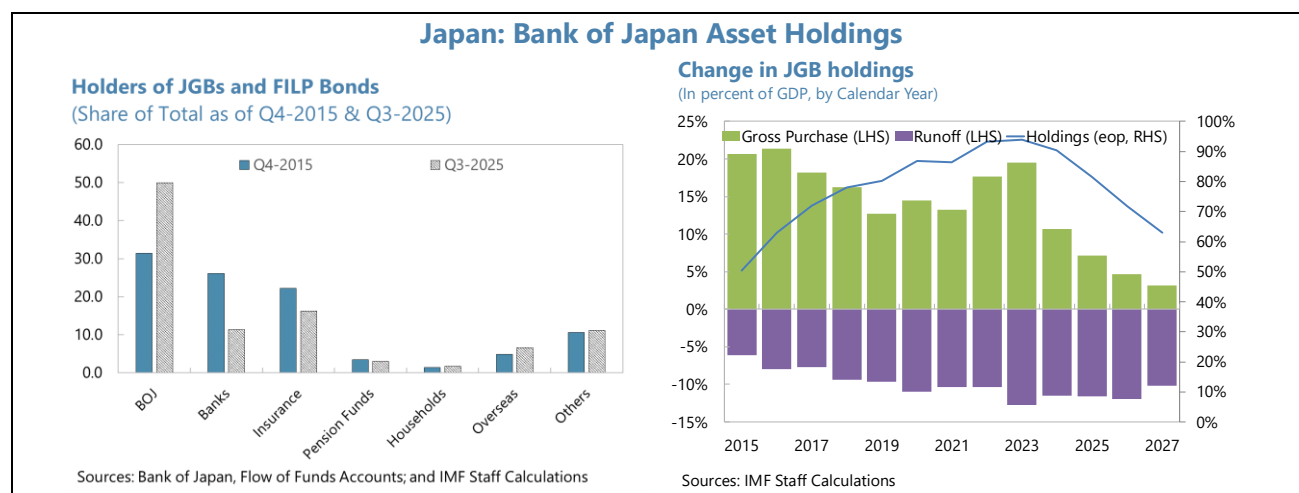
staff's updated estimate for the neutral nominal rate, which lies between 1.1 to 2.2 percent, subject to significant uncertainty given Japan's prolonged period of policy rates at or near the effective lower bound (Box 2). Staff welcome the BOJ's policy rate decisions over the past year, including pausing rate hikes as the impact of external shocks was ascertained, and resuming in December as the Japanese economy showed resilience. There is growing evidence that

inflation will stabilize at the BOJ's target: (i) a positive output gap and tight labor market are delivering continued momentum in nominal wage growth and services inflation (excluding imputed rents), (ii) a renewed broadening of price pressures across goods, and (iii) medium-term inflation expectations have risen gradually and are realigning with the target from below (Box 1). As the baseline projection continues to materialize, withdrawal of policy accommodation should continue so that the policy rate reaches a neutral stance in 2027, which will support the convergence of inflation toward the target. A gradual pace of normalization remains appropriate to support the re-anchoring of inflation expectations at target, since expectations are shaped by Japan's long history of low inflation.



26. A flexible and data-dependent approach remains appropriate, supported by clear communication. This approach recognizes heightened uncertainty about external conditions, the neutral rate, and the transmission of monetary policy. If external shocks weigh negatively on domestic activity—including in a scenario of tightening global financial conditions (Box 3)—a slower pace of rate increases could become appropriate. If, however, inflation continues to surprise on the upside, the BOJ may need to withdraw accommodation more quickly than assumed in staff's baseline to avoid inflationary pressures becoming entrenched and expectations rising above target. The BOJ's continued independence and credibility will help keep inflation expectations well anchored. A clearly communicated policy response function is helping to avoid the sudden repricing of the yield curve and mitigate spillovers to foreign asset markets.

27. BOJ balance sheet reduction continues to progress smoothly. Under the BOJ's extended JGB purchasing plan, the average pace of balance sheet reduction will increase from around 7 percent of GDP in 2025 to close to 9 percent of GDP in 2026. Staff estimate that the announced pace of balance sheet reduction will raise term premia on JGB yields by approximately 9 bps in 2026. By March 2027, the BOJ's JGB holdings will have cumulatively declined by around 22 percent of GDP to reach 69 percent of GDP. This pace of balance sheet adjustment strikes an appropriate balance between improved market functioning and mitigating the risks of disruption given the BOJ's outsized participation in the JGB market. In the context of its regular reviews, the BOJ should stand ready to modify the pace and maturity profile of its purchases if financial conditions become inconsistent with the desired monetary policy stance, taking note of the government's debt management strategy. Going forward, it will be important for the BOJ to articulate its approach for the long-run size and composition of its balance sheet, which would guide market expectations and help mitigate risks of disorderly repricing in the JGB market.



28. Exchange rate flexibility should continue to help absorb external shocks and support monetary policy's focus on price stability. The authorities remain committed to a flexible exchange rate regime. The use of foreign exchange intervention (FXI) should be limited to exceptional circumstances such as when economies are vulnerable to sharp currency fluctuations because of unhedged exposures, shallow markets, or because inflation expectations are at risk of de-anchoring. In such cases, FXI may be useful to mitigate the adverse effects of excessive exchange rate movements that pose significant risks to macroeconomic and financial stability, including if markets turn disorderly.

Authorities' Views

29. The BOJ emphasized that the conduct of monetary policy will remain data dependent, with future rate decisions guided by ongoing assessments of economic and financial developments. The BOJ cautioned against placing undue weight on point estimates of the neutral rate, stressing that estimates are subject to considerable uncertainty and a particular estimate should not be seen as determining future policy decisions. They expressed growing confidence that

underlying inflation and inflation expectations were on a rising trend, but noted that some measures remain somewhat below target. While the BOJ acknowledged the extensive interlinkages between Japan and global financial markets, they noted that it is inherently difficult to disentangle the source of movements in global bond yields.

30. The BOJ assessed the ongoing reduction in JGB holdings as proceeding smoothly, pointing to a gradual improvement in market functioning.

While seeking to maintain predictability and transparency in the implementation of their balance sheet strategy, the BOJ underscored the importance of retaining the flexibility to adjust the pace of reductions or to intervene temporarily if warranted by an exceptional situation where long-term interest rates rose rapidly in a manner that differed from normal market developments.

31. MOF expressed concerns about one-sided and rapid yen depreciation.

They emphasized the decoupling of the exchange rate from the narrowing US–Japan yield differential. They pointed out that, among other factors, speculative trading had contributed to rapid exchange rate moves. They reiterated that excessive exchange rate volatility can have adverse implications for households, firms, and the broader economy, while remaining committed to market-determined exchange rates.

B. Fiscal Policy

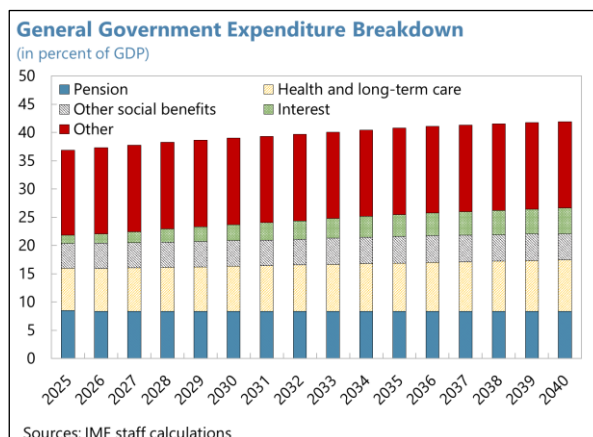
32. Near-term fiscal policy should refrain from further loosening, preserving recent gains in fiscal consolidation.

With the economy operating above potential, a more neutral fiscal stance is recommended in the near term to avoid reinforcing cyclical pressures. While Japan has some fiscal space, fiscal restraint is warranted to prevent the erosion of buffers and to preserve the capacity to respond to shocks—including from natural disasters—which would also contribute to stable JGB market conditions. The authorities should avoid reducing the consumption tax, an untargeted measure that would erode fiscal space and add to fiscal risks. Support for vulnerable households and firms most affected by rising costs of living or large external shocks should be budget neutral, temporary, and targeted to these groups. The authorities are discussing a two-year suspension of the consumption tax on food and beverages, along with sources of financing that would prevent the need for additional JGB issuance. Limiting the consumption tax cut to essential goods and ensuring it is temporary would help contain fiscal costs. Given scarce public resources, a system of refundable tax credits, which the authorities are discussing introducing after the two-year suspension, if well-designed, could provide better-targeted support to the most vulnerable Japanese households. In addition, targeted measures can also elicit a larger consumption response, reflecting the higher propensity to consume among vulnerable households (Annex IX).

33. Over the medium-to-long-term, the fiscal deficit is projected to grow as spending pressures build, leading to an increase in debt. These spending pressures reflect two main sources:

- *Interest payments* are projected to rise by about 0.3 percent of GDP per year as debt is rolled over at higher yields. From 1.5 percent of GDP in 2025, interest expenditure is projected to double by 2031 and exceed 4 percent of GDP by 2036.

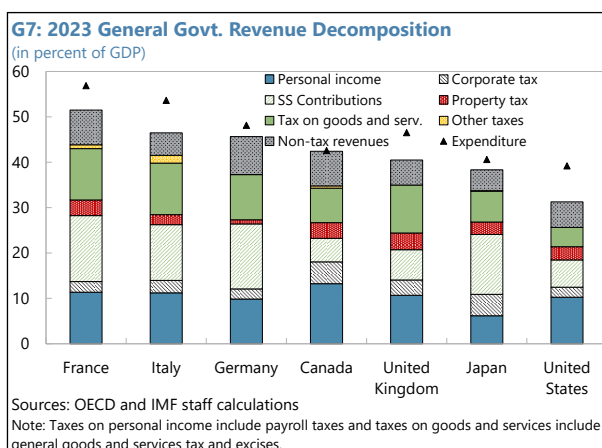
- *Health and long-term care spending is projected to rise.* With the government responsible for about 40 percent of this spending, public expenditure on health and long-term care is projected to increase by roughly 1.6 percent of GDP between 2025 and 2040. This increase reflects both excess cost growth—estimated to average about 0.4 percent per year—and demographic pressures from an aging population.



These spending pressures will lead to a worsening of the overall deficit by about 0.4 percent of GDP each year on average over the next decade. Favorable growth and real interest rate dynamics are expected to support a gradual decline in the debt ratio through 2034; however, gross debt will remain elevated—exceeding 190 percent of GDP, the highest among major economies—and is expected to rise starting in 2035 as spending pressures build. High and persistent debt levels, together with a deteriorating fiscal balance that hinders the rebuilding of fiscal buffers under the baseline, leave Japan's economy exposed to a range of shocks.

34. Growth-friendly fiscal adjustments, underpinned by a robust medium-term framework, are needed to ensure debt sustainability. To offset spending pressures, rebuild fiscal buffers, and keep debt on a firm downward path, staff recommend a fiscal adjustment amounting to +0.2 percent of GDP relative to the baseline each year in 2026 and 2027, and +0.3 percent of GDP each year from 2028 onwards. Under this recommended adjustment, public debt is projected to decline to about 176 percent of GDP by 2035, compared to 192 percent of GDP in the baseline. The adjustment should be anchored by a credible and robust medium-term fiscal framework, supported by durable revenue mobilization and expenditure rationalization that improves efficiency and preserves high-quality investments in human and physical capital.

- *Revenue mobilization:* Tax measures to offset higher defense and green transformation spending should be finalized and implemented swiftly. The authorities should avoid reducing the consumption tax, as this would weaken the revenue base. There is scope to unify and eventually increase the consumption tax rate, given that Japan's consumption tax revenue is among the



lowest in G7 countries.⁹ Additional revenue measures could include: strengthening financial income taxation for high-income earners; lowering exemptions and broadening the taxable valuation base under the property tax; and streamlining pension and employment income deduction while eliminating exemption for spouses.

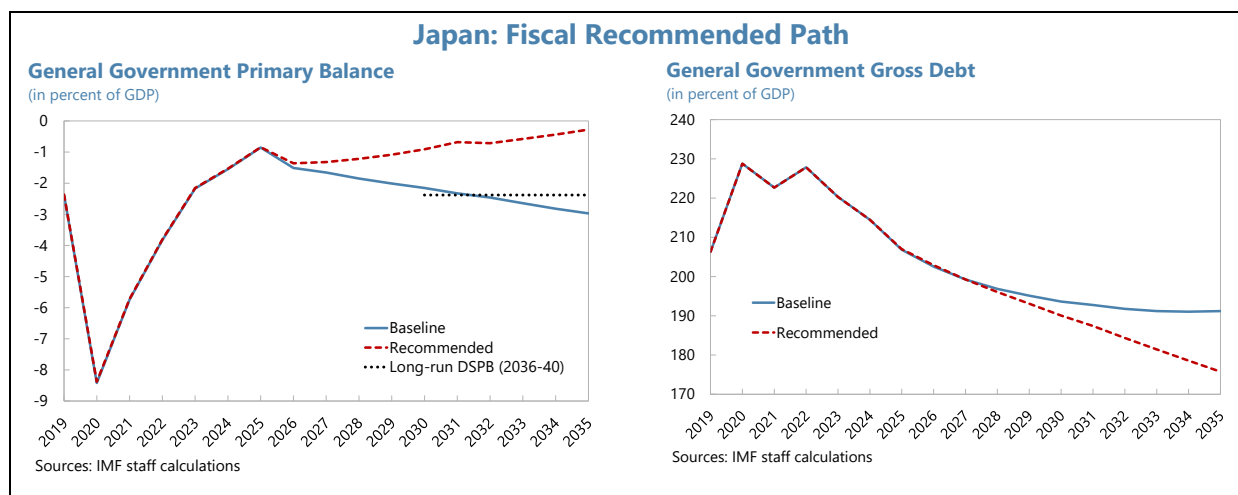
- *Expenditure rationalization*: Current spending remains elevated compared to pre-pandemic levels, highlighting the need to eliminate poorly targeted subsidies, including energy subsidies. Social benefit spending—accounting for more than half of total expenditure—is projected to rise further as the population ages. There is scope to enhance efficiency through healthcare reforms that contain costs while preserving quality and pension reforms, such as gradually increasing the eligibility age in line with rising life expectancy.¹⁰ At the same time, spending composition should shift toward high-quality, pro-growth investment, including in education, skills development, and innovation (¥150), which would significantly mitigate the growth impact of the recommended fiscal adjustment.¹¹ Improving the quality of public investment and strengthening human-capital spending would support long-term growth potential while reinforcing fiscal sustainability.
- *A credible medium-term fiscal framework* should include a clearly defined fiscal anchor and establish a strong link between annual budgets and medium-term planning, ensuring that fiscal decisions are guided by the anchor. The use of supplementary budgets should be restricted to responding to large, unexpected shocks that overwhelm automatic stabilizers, which would also avoid providing unwarranted stimulus in normal times and help avoid sharp JGB market movements. Enhancing fiscal transparency through regular strategy reports and independent evaluation would strengthen policy credibility.¹² Given high uncertainty surrounding long-term fiscal projections, the framework should also be robust to adverse scenarios, including those related to fertility, health-care costs, pensions, and potential macroeconomic shocks. These long-term fiscal projections should be systematically integrated into the policy process, informing the assessment of policy trade-offs in annual budget decisions, the design of medium-term adjustment paths, and the design of contingency plans to address material fiscal risks.

⁹ See [IMF Country Report No. 22/99](#). The 2022 Japan Selected Issues paper “[Options for Revenue Mobilization](#)” finds that unifying the reduced consumption tax rate on food, non-alcoholic beverages, and newspapers with the standard consumption tax rate could improve efficiency through alleviating administrative costs and distortions in consumers’ spending decisions. It also estimates that increasing the consumption tax rate to 15 percent could yield up to 2½ percent of GDP in additional revenues. The impact of these reforms on liquidity-constrained households could be offset through targeted transfers.

¹⁰ See [IMF Country Report No. 24/118](#), Nozaki and others (2017), and Kashiwase and others (2012).

¹¹ See [October 2025 Fiscal Monitor](#) for a detailed discussion on how governments can improve economic growth prospects by enhancing the efficiency and composition of public spending.

¹² See [IMF Country Report No. 16/267](#) for a discussion on the merits of establishing an independent fiscal council in Japan.



35. Strengthening public expenditure efficiency will be critical to managing rising spending pressures while supporting credible medium-term fiscal adjustment. Enhancing fiscal frameworks at the subnational level remains a priority, as local governments account for a large share of general government spending and play a key role in implementing discretionary fiscal measures. Improving the governance of state funds is also essential to safeguard expenditure control and budget discipline.¹³ Although these funds are financed through the annual budget process, many operate outside the national government’s regular budgetary controls, can be carried forward without review, and roughly one-third lack explicit termination points—features that weaken discipline, undermine medium-term fiscal planning, and risk inefficient spending. Establishing clear exit plans and stronger oversight would enhance accountability and better align fund use with fiscal priorities. Improving the targeting of spending measures will likewise be essential. While expansion of the “My Number” digital ID system has strengthened the foundation for targeted support, limited data sharing across government agencies continues to impair the ability to deliver well-targeted transfers to vulnerable households.¹⁴ International experience suggests that integrating tax, social security, and administrative data; enabling automatic eligibility verification; and developing unified beneficiary registries can substantially improve accuracy and reduce leakages (Bird and Hanedar, [2023](#)). Linking “My Number” more systematically to public-service delivery—supported by harmonized local IT systems—would allow targeted transfers to be deployed quickly and efficiently in response to shocks and help contain spending growth while ensuring support reaches those most in need.

Authorities’ Views

36. The authorities noted that the Cabinet Office’s latest outlook projects the primary balance to be broadly balanced in FY2026. They underscored that this would correspond to the smallest deficit since 2001, when the government adopted the primary balance target, and noted that a primary surplus is expected to be achieved in FY2027. While they strategically employ fiscal

¹³ [IMF Country Report No. 24/118](#).

¹⁴ [IMF Country Report No. 23/127](#)

policies to build a robust economy, they also concurred with the importance of ensuring fiscal discipline to ensure long-term debt sustainability and preserve the government's capacity to respond to future economic shocks and social needs. The authorities are discussing a two-year suspension of the consumption tax on food and beverages, along with sources of financing that would prevent the need for additional JGB issuance, followed by the introduction of a system of refundable tax credits. They noted that the fiscal framework is being reviewed to strengthen its credibility and predictability, including by reducing reliance on routine supplementary budgets and improving multi-year expenditure planning, while preserving flexibility to respond to shocks and support growth-enhancing investment.

C. Financial Policies

37. Japan's financial system remains broadly resilient, supported by robust capital and liquidity positions across the banking and insurance sectors. Gradual policy rate hikes have lifted net interest margins owing to a faster pass-through to lending rates, boosting profitability. Major banks are actively managing interest rate and FX exposures through portfolio rebalancing and funding diversification. For internationally active major banks, the total capital adequacy ratio rose to 17.1 percent as of March 2025 (from 16.5 percent a year earlier) and to 10.2 percent for domestically active regional banks. Banking system capital buffers remain robust, though updated stress test analysis indicates pockets of vulnerability.¹⁵ The insurance sector is similarly well capitalized and profitable, with higher domestic rates improving investment margins and valuation effects remaining in aggregate manageable despite market volatility.

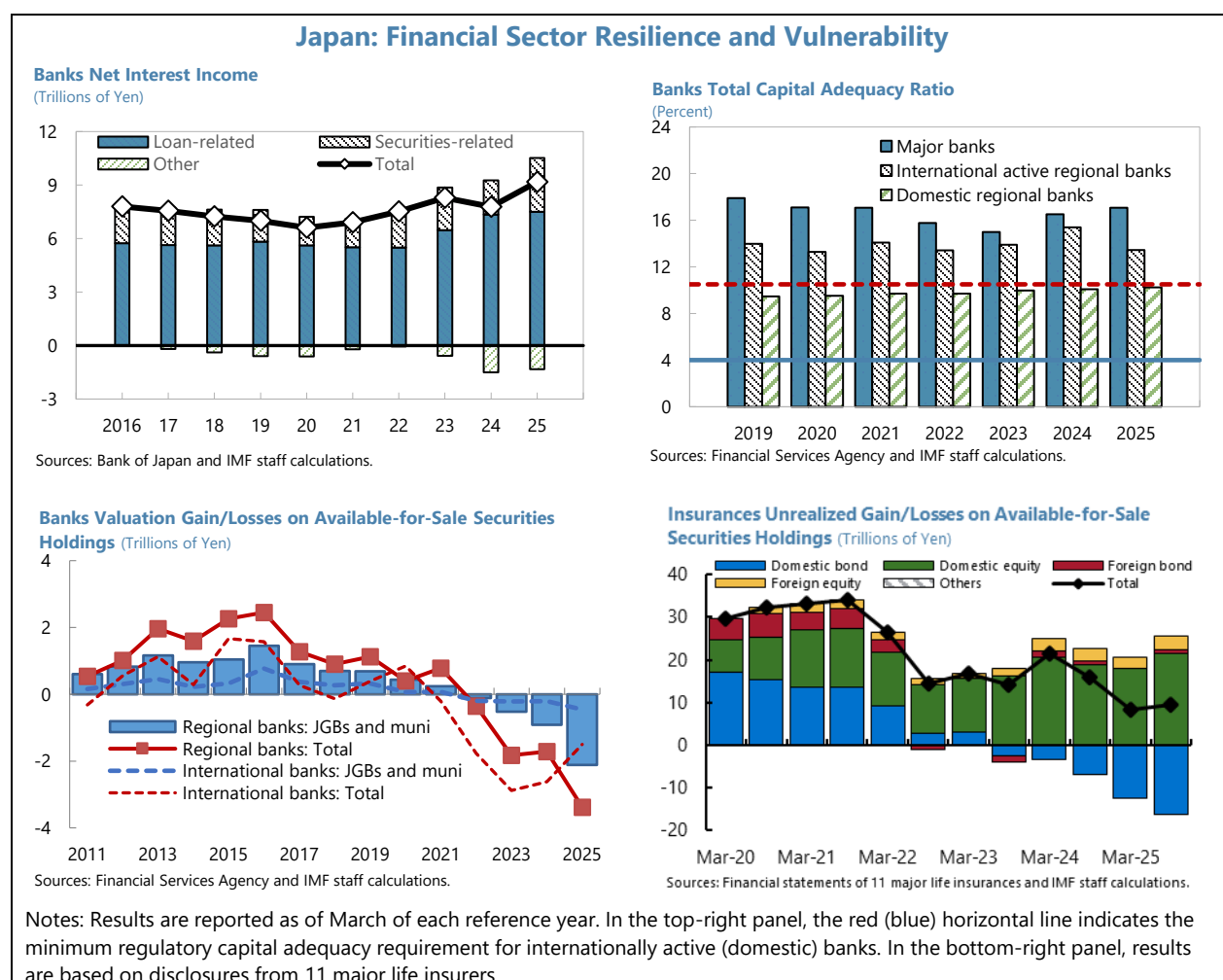
38. Overall systemic risk has not materially changed from the 2025 Article IV consultation, though its sources have shifted. A tightening in global financial conditions could trigger further increases in JGB yields or a correction in elevated asset prices, leading to valuation losses and higher funding costs that could strain some financial institutions and corporates. Structural vulnerabilities identified in the 2024 FSAP persist, including sizable mark-to-market securities across bank and insurer balance sheets, FX and cross-currency funding exposures, and pockets of vulnerability in commercial real estate. Regional banks remain broadly resilient but are more vulnerable than major banks, reflecting more limited shock-absorbing capacity, larger unrealized securities losses, structurally weak local credit demand, and demographic headwinds.¹⁶ Clear communication around monetary policy normalization facilitates orderly balance sheet adjustments; however, sustained vigilance and further strengthening of financial sector oversight remain essential as the risk environment evolves. While the FSA has made progress toward a more risk-based approach for

¹⁵ Staff stress-test analysis indicates that the Japanese banking system remains resilient, with systemwide Common Equity Tier 1 ratios staying in aggregate above regulatory requirements under a severe “stagflationary” scenario based on the October 2025 GFSR Global Stress Test. However, the results vary across institutions, with some banks—including both smaller regional banks and larger institutions—experiencing sizable capital impacts under the scenario. The stress scenario assumes a sharp, synchronized global downturn driven by renewed inflation pressures and faster-than-expected tightening in financial conditions.

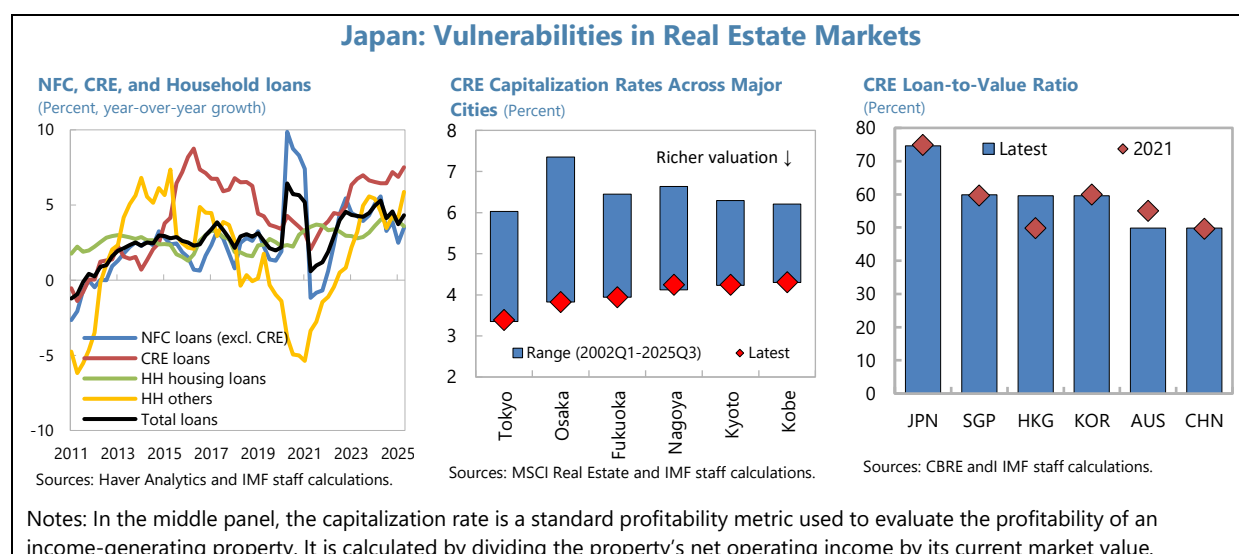
¹⁶ Business failures among smaller firms remain elevated and near multi-year highs amid rising operating costs, labor shortages, and heightened trade uncertainty. Defaults are concentrated among SMEs and firms with stagnant sales.

banking supervision, further action is needed to increase resources to monitor pockets of vulnerabilities among regional banks, provide the FSA with the power to adjust capital and liquidity requirements according to institutions' risk profiles, and strengthen risk-based supervision with more forward-looking metrics, especially for credit and liquidity risks (Annex V).

39. The transition to the new economic value-based solvency regime (ESR) in the insurance sector adds complexity and raises supervisory resource needs. Mark-to-market valuation of long-duration liabilities increases sensitivity to interest-rate volatility. While insurers are well capitalized and policy surrenders remain low—at around 6 percent, a faster-than-expected increase in yields could force insurers to realize valuation losses and face heightened liquidity needs, particularly if alternative savings options become more attractive. At the same time, greater reliance on offshore reinsurance—primarily with private capital-backed entities—and an increase in interest rate derivatives in some institutions to manage duration under the new regulatory regime could introduce additional counterparty and liquidity risks. Against this backdrop, expanding supervisory staffing and continuing efforts to build a more comprehensive, risk-based, and proactive framework for overseeing insurers' risk-management practices—including regular on-site inspections and enhanced off-site monitoring—should remain a priority.



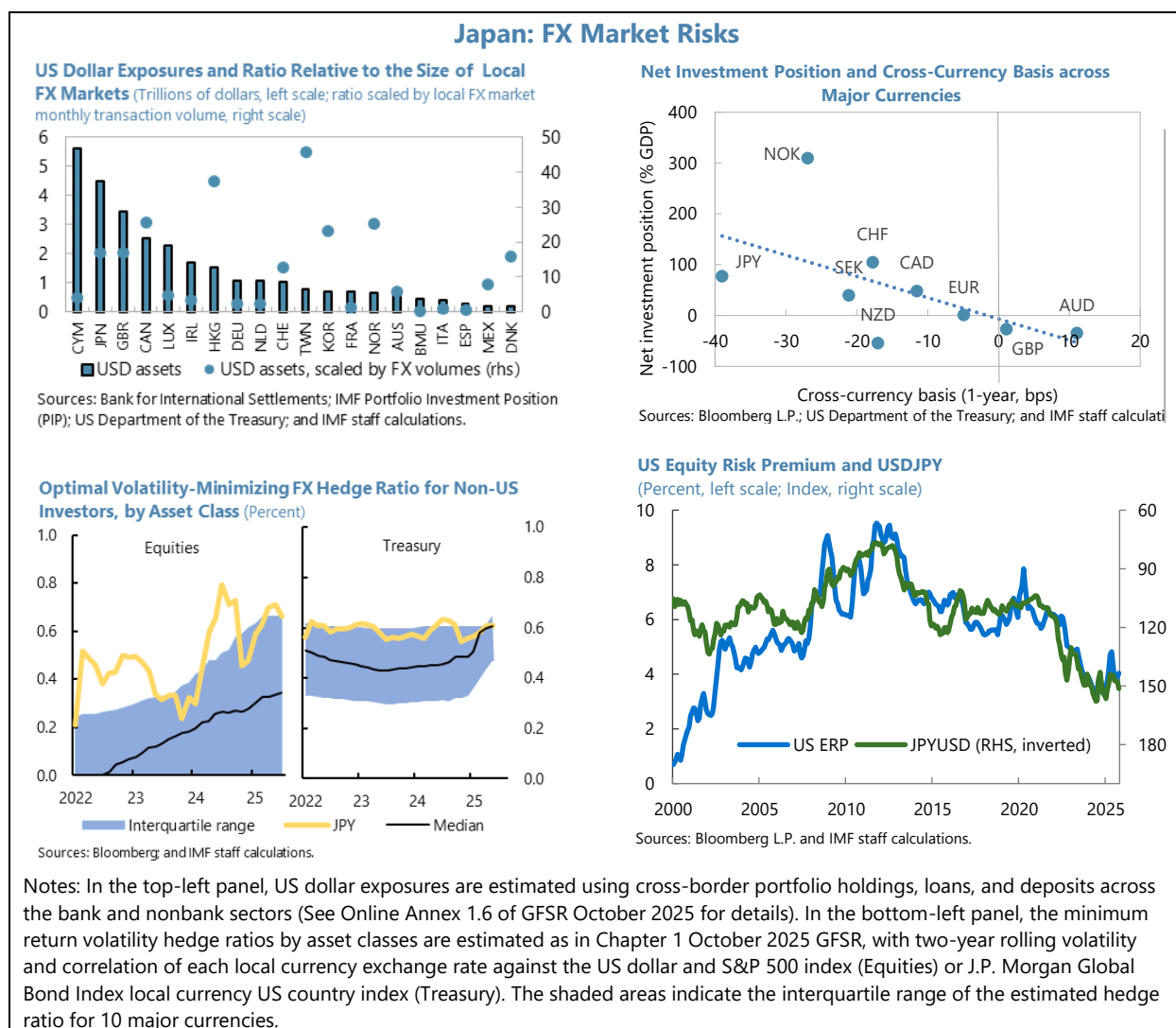
40. Recent market indicators continue to indicate pockets of vulnerability in Japan's real estate markets. CRE loans have continued to expand, while capitalization rates—the ratio of a property's income to its market value—in major cities have continued to compress toward historically low levels, reflecting sustained investor demand and limited high-quality supply. These richer valuations leave the sector more sensitive to interest-rate increases and shifts in sentiment.¹⁷ With loan-to-value ratios around 75 percent—among the highest in major economies—rising borrowing costs and strong credit growth heighten the need to monitor vulnerabilities in the CRE sector and the potential risks they pose to banks' balance sheets. To enhance transparency and accountability in macroprudential policy decision-making, the authorities should assign a formal mandate to the Council for Cooperative Financial System (CCFS). A well-defined macroprudential strategy would improve the timely assessment of systemic vulnerabilities and calibration of sectoral measures to build resilience.



41. FX-related risks remain an important source of vulnerability for Japan's financial system. US dollar exposures for Japanese banks and nonbanks remain large relative to the size of local FX markets, raising the potential for liquidity strains if global funding conditions tighten abruptly. Hedging costs have fallen from their 2022 peaks but remain high by historical standards, prompting institutional investors to reduce hedge ratios further below estimated optimal benchmarks. A risk-off episode in the United States can tighten offshore funding conditions for Japanese financial institutions, depress domestic equity prices, and weigh on corporate earnings—especially for exporters. These developments underscore the need to strengthen oversight of net open FX positions and improve data on derivative exposures. Authorities should closely monitor liquidity coverage ratios by significant currency and consider minimum LCR requirements for

¹⁷ See real estate sector analysis in [2024 FSAP](#).

domestic banks—also calibrated by significant currency—given sizable FX exposures and stronger correlations with foreign NBFi portfolios.



42. Close monitoring of JGB market liquidity and investor positioning is needed, given increased volatility in yields and a shifting demand across investors as the BOJ reduces the size of its balance sheet. Weak demand for super-long JGBs has steepened the yield curve and reflects (i) an unwinding of swap positions after the April US tariff announcement, and (ii) the structural decline in domestic investors' demand. With duration gaps largely narrowing in preparation for new solvency rules, life insurers have scaled back purchases of JGBs, with the market value of their domestic government securities holdings falling by more than 20 percent since 2022. Other domestic buyers' demand is also subdued, with banks remaining cautious toward long-duration JGBs amid higher interest-rate and term premia risks (¶14). Foreign investors—despite holding only about 13 percent of outstanding JGBs—now account for 20–30 percent of trading in medium- to super-long JGBs, contributing to better market functioning. However, their growing presence—especially among NBFIs including US-based mutual funds and investment managers—

presents new risks, as these investors may be more sensitive to fiscal news and global developments, and tend to retrench quickly during periods of stress.¹⁸

43. Given mounting pressures in JGB markets, safeguarding market functioning should remain a priority. The BOJ should closely monitor JGB and repo liquidity indicators and the distribution of funding across banks and dealers. If heightened volatility undermines market liquidity, the BOJ should be prepared to make exceptional targeted interventions—such as temporary JGB purchases—which should be clearly communicated to avoid weakening market functioning. Flexibility should be maintained to further rebalance JGB issuance toward shorter maturities if demand at the long end weakens further, supported by regular market consultation. Authorities should also continue expanding emergency liquidity assistance (ELA) eligibility to systemically important NBFIs and gradually broaden the resolution and recovery planning (RRP) framework to all banks that could be considered systemic at the point of failure, supported by clearer guidance to strengthen recovery capabilities and address impediments to resolvability.

44. The launch of regulated, fully asset-backed JPY-denominated stablecoins marks an important step in wholesale payment tokenization. The Payment Services Act was amended in June 2022 and June 2025 to establish a regulatory framework for stablecoins. This framework permits issuance of stablecoins only by banks, trust companies, trust banks, and licensed money transfer providers, supported by strict reserve, segregation, and redemption requirements.¹⁹ A Japanese fintech issued the first JPY-denominated stablecoin in October 2025, and a consortium of large banks plans to jointly issue another, targeting a pilot rollout in 2026. While in their infancy, these instruments could come to support both retail and large-value institutional transactions, including T-bill demand, as tokenized finance expands. If they were to achieve significant scale, however, stablecoin issuance within a fractional-reserve system could create liquidity risks—especially if redeemable liabilities are backed by newly created bank credit—warranting continued supervisory vigilance as the ecosystem evolves.

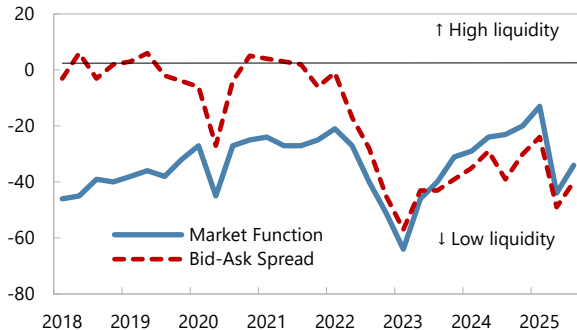
¹⁸ See Chapter 3 of [GFSR October 2022](#) and Chapter 2 of [GFSR October 2025](#).

¹⁹ Japan's framework shares core prudential features with EU, UK, and US regimes (see Adrian and others, [2025](#)), but adopts a more conservative, narrow-bank-oriented approach by limiting issuance to banks and a small group of licensed entities. Foreign-issued stablecoins are also allowed in Japan under strict conditions which place primary redemption responsibility on local intermediaries, resulting in higher balance-sheet burden. However, cross-jurisdictional fragmentation and inherent blockchain features—including pseudonymity and disintermediated custody—may leave supervisory gaps and heighten ML/TF risks (National Risk Assessment Follow Up Report, 2024). More broadly, the FSA should continue strengthening risk-based AML/CFT supervision by aligning oversight intensity with updated risk assessments and ensuring proportionate, dissuasive sanctions for non-compliance.

Japan: JGB Market and Related Risks

JGBs Liquidity: Diffusion Indices

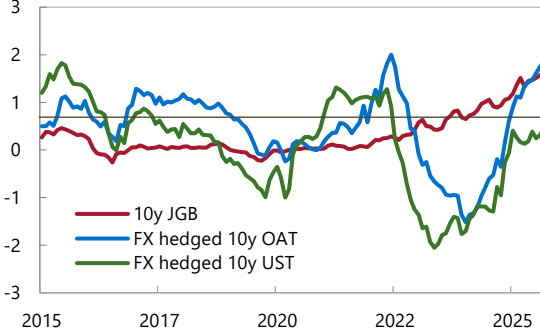
(Percent)



Sources: Bank of Japan; Haver Analytics; and IMF staff calculations.

Comparison of FX-Hedged Foreign Bonds vs JGBs

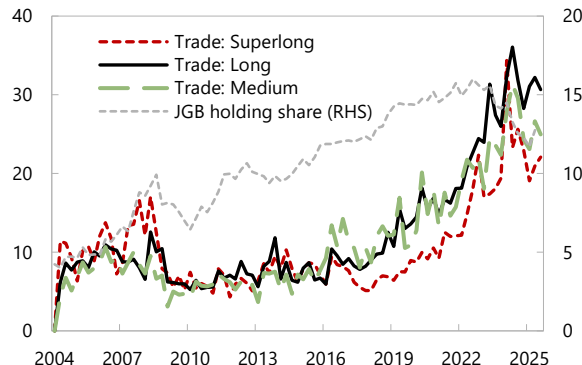
(Percent)



Sources: Bloomberg L.P. and IMF staff calculations.

Foreign Investor Share of JGB Market

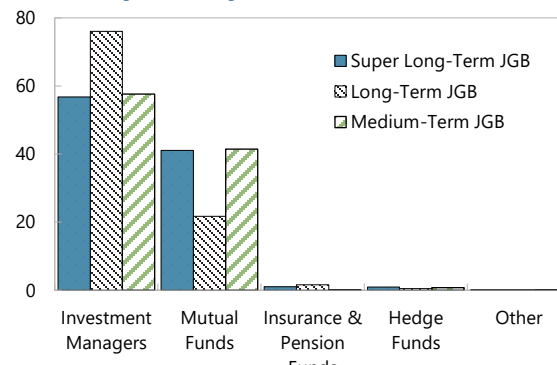
(Percent of total)



Sources: Japan Securities Dealers Association; Haver Analytics; and IMF staff calculations.

Foreign NBFIs' Holdings of JGBs Across Investors

(Percent of foreign NBFIs holdings)



Sources: Factset and IMF staff calculations.

Notes: In the top-right panel, the diffusion indices are composite survey-based indicators designed to assess bond market performance. The indices are calculated based on the proportion of responding institutions selecting specific options to reflect their assessment of the current state of bond market functioning and liquidity. In the OAT and UST refer to French and US treasuries, respectively. FX hedge costs are based on 3m FX forwards. In the bottom-right panel, data are based on reported holdings from FactSet and reflect the dataset's available coverage.

Authorities' Views

45. The authorities broadly concurred that systemic risk has not materially changed. BOJ and FSA highlighted the financial system's continued resilience, supported by strong capital and liquidity buffers and the positive impact of higher interest rates on bank profitability. Credit costs remain low, despite a higher number of bankruptcies than before the pandemic, which remain concentrated among structurally weaker and smaller firms. Banks' responses to the current environment were acknowledged as heterogeneous, with regional banks viewed as broadly resilient but more exposed to structural headwinds and gradual deposit pressures. In the insurance sector, the FSA highlighted that narrowing asset–liability duration gaps ahead of the new solvency framework has helped limit the solvency impact of rising interest rates, while sustaining JGB demand to match long-term liabilities. The BOJ and FSA concurred on the need for continued monitoring of asset valuations, vulnerabilities in parts of the real estate sector, and growing interconnectedness of foreign NBFIs with the Japanese financial system.

46. The authorities reiterated their commitment to advancing the implementation of FSAP recommendations, while maintaining reservations in certain areas in line with their views reported in the 2025 Article IV consultation. They reported further progress in areas such as systemic risk monitoring, fintech regulation, insurance and investment funds supervision (Annex V). The FSA also reiterated the important role of the financial sector in supporting sustainable economic growth.

D. Reforms to Boost Growth²⁰

47. Real wage growth, which is critical for supporting domestic consumption, has been elusive. Positive real wage growth is the key factor that underpins solid consumption growth over the medium-term in staff's baseline forecast. The post-pandemic period has seen nominal wage growth at the highest level in decades. And yet, repeated upside surprises to headline inflation have surpassed this nominal wage growth, leading to a continued fall in households' purchasing power despite tight labor market conditions. From 2022 to 2025, real wages (deflated by the CPI basket) have fallen by 6 percent.

48. Since 1996, the gap between productivity and wages has widened the most in Japan among G7 economies. Though high inflation has been the culprit recently, the stagnation of real wages is a longstanding structural problem in Japan that has spanned different macro policy environments. In contrast, labor productivity growth (output per hour worked) in Japan has kept up with other G7 economies, increasing by about 35 percent over that period. A falling labor share of income likely reflects strong investment in labor-saving automation by firms facing an aging workforce,²¹ and potentially limited worker bargaining power due to long-term employment contracts. This has happened while private savings shifted from households to corporates as profits have increased.²²

49. Stabilizing this divergence will require labor market reforms to increase worker mobility. The lifetime employment system for regular workers is an implicit long-term contract that discourages mobility due to seniority pay structures, the accumulation of firm-specific skills, and high firing costs. Low mobility results in a lack of competition among firms for skills, few outside options for workers, and hence lowers worker bargaining power. Shifting to job-based employment and to merit-based pay will help to improve mobility of labor, boost productivity, and thereby support robust wage growth. There is early evidence that labor mobility is starting to pick up in

²⁰ The authorities, as a volunteer country, continue to address risks of transnational aspects of corruption (see Annex IV).

²¹ Japan had one of the highest robot densities in manufacturing in 2022 (Asao, Seitani, Stepanyan, and Xu [2025](#)). In the context of aging, investment in labor-saving technologies reduce demand for labor, placing downward pressure on wages.

²² Firms used their savings to deleverage and accumulate cash and liquid assets (Kim, Lopez Murphy, and Xu [2023](#)).

recent years, with the rate of job switching rising most among younger cohorts and those working part-time jobs.²³

50. Active labor market policies will need to support workers' mobility to tackle job displacement from AI while leveraging AI's productivity potential. The introduction of AI is progressing in Japanese corporates. This has the potential to boost productivity, but may also result in significant displacement of workers to those occupations that are most complementary to the technology.²⁴ Efficient and inclusive mobility could be supported by subsidized training programs to reskill and upskill the workforce.

51. In the face of demographic headwinds, potential growth could be supported by removing policy distortions that limit labor supply. Increased participation as more women and senior citizens joined the labor force, as well as an uptick in foreign workers over the past few years have helped to offset the demographic drag on labor supply so far. But with participation rates among women and elderly individuals already high, slowing the decline of the labor supply will require the removal of policy distortions that disincentivize work. Part-time workers' hours worked have declined even as their hourly wages have risen. Given that labor supply tends to be inelastic with permanent wage increases, the declining hours suggest structural factors distorting supply. For instance, the income threshold for exemption from social security contributions leads dependent spouses to limit their hours worked to remain eligible. Eliminating these distortions could further raise female labor supply, boosting labor income as well as government revenues.²⁵ Furthermore, expanding Health Insurance and Employee Pension Insurance to those working 20 hours a week from the earlier 30 hours a week, along with an income threshold, could have had the unintended consequence of limiting part-time hours worked.²⁶ A new design that avoids thresholds in hours or income is needed to address this. Further progress on work-style reforms, including through teleworking and expansion of childcare resources would provide more flexible work arrangements, boost hours worked for those who are constrained to supply fewer hours, and improve the career prospects and incomes of women.²⁷

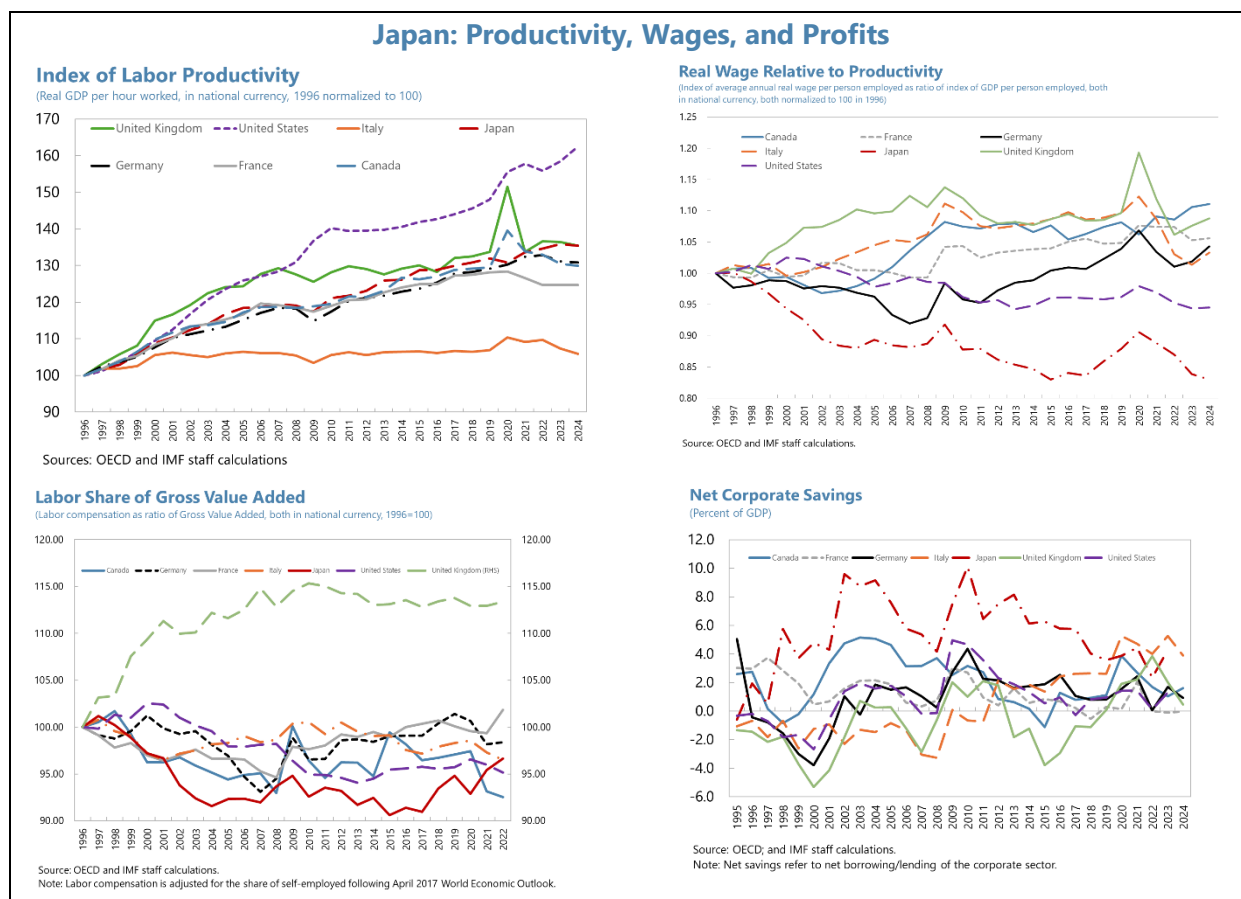
²³ See Xu and Chahande (2023) for labor market reforms and Ikeda and others (2025) for trends in labor mobility.

²⁴ See Asao, Seitani, Stepanyan, and Xu (2025) on AI's potential job displacement impact.

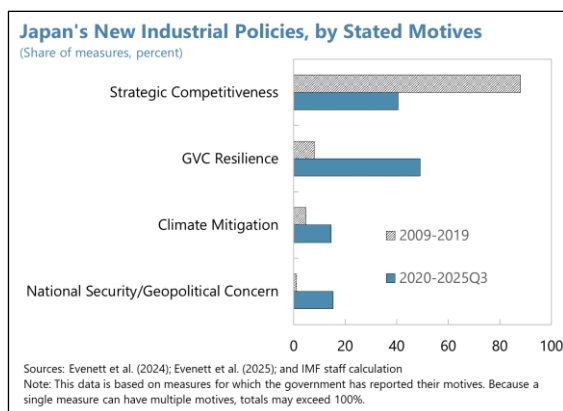
²⁵ See Xu and Chahande (2023) and Kitao and Mikoshiba (2022) for policy distortions limiting labor supply and effects from their removal. Exemption for spouses is another potential distortion, but the evidence on the effects of the policy is inconclusive and the impact of deduction for social security premiums is larger. Additionally, special exemptions for spouses avert the cliff effect from the income threshold for maximum exemption for spouses.

²⁶ The rising minimum wage interacts with the multiple income and hours thresholds to potentially exacerbate adverse impact on hours supplied.

²⁷ See Asao, Khera, and Vasishth (2024).



52. There has been a global resurgence of industrial policies (IP) and Japan has also stepped up their use (Annex X). IP measures have been motivated by concerns over the resilience of global value chains related to critical raw materials, climate mitigation efforts, and national security. For example, the authorities have extended fiscal support for domestic AI and semiconductor industries since FY2021, which is intended to strengthen the resilience of supply chains supporting the Japanese manufacturing sector while spurring innovation. In FY2025, the largest expenditure was allocated to clean energy and related industries, totaling 1.2 trillion yen (0.2 percent of GDP). This was followed by spending on AI and semiconductors of 0.6 trillion yen (0.1 percent of GDP), about half of which was pooled as state funds. Given Japan's limited fiscal space, the limited transparency of the governance of states funds, and the uncertain growth impact of past IPs, any use of such policies should be time-bound



with clear sunset clauses and subject to a thorough cost-benefit analysis.²⁸ To minimize distortions, IPs should remain narrowly targeted to specific objectives where externalities or market failures prevent effective market solutions.

53. Japan should continue to pursue deeper integration through trade agreements and continued multilateral economic cooperation. Recent efforts to strike trade agreements with the US and expand membership of CPTPP, including enhancing dialogue with the EU, demonstrate the authorities' commitment to finding common ground and establishing a more predictable environment for Japanese exporters. These efforts also reflect Japan's continued advocacy for a stable global trading system, pursuing deeper integration with other countries, and finding ways to resolve disagreements. Where trade or investment measures are taken for national or economic security reasons, they should be used judiciously and applied as narrowly as possible to limit negative spillovers.

Authorities' Views

54. The authorities broadly agreed with staff's assessment and recommendations to address key labor market challenges. They agreed with the importance of boosting labor market mobility to translate productivity growth into real wage growth. The authorities highlighted ongoing programs to boost labor force participation of women, encourage firms to improve working conditions of part-time workers, and retrain and reskill, including to meet skill demand for AI.

55. The authorities highlighted Japan's continued efforts to promote open, stable, and transparent trade policies and to avoid geoeconomic fragmentation. At the same time, they emphasized the need for policy measures to address geopolitical risks, including to build the resilience of the Japanese economy to withstand potential disruptions to global supply chains.

STAFF APPRAISAL

56. The Japanese economy is displaying impressive resilience in the face of global shocks. Domestic demand is expected to remain strong, particularly non-residential investment, which is building on Japan's long track-record of adopting labor-saving automation technologies. Despite the strongest nominal wage growth in a generation, repeated upside inflation surprises have eroded real wages over the past few years, leading to persistent concerns about the cost of living. Risks to growth and inflation are balanced. On a preliminary basis, Japan's external balance position in 2025 is assessed as broadly in line with the level implied by medium-term fundamentals and desired policies.

57. The economy is expected to be in broad balance from 2027. After running high for three and a half years, inflation is moderating and is expected to moderate further in 2026, falling below

²⁸ More robust cost-benefit analysis would be supported by the collection of granular data on the implementation of IPs. Chapter 3 of the World Economic Outlook, [October 2025](#) provides analysis on the trade-offs and risks of industrial policies, and includes country examples.

the BOJ's 2-percent target, before converging back to target next year. A positive output gap is expected to close as monetary and fiscal policies become neutral in 2027.

58. With the output gap positive and inflation expected to converge to target, fiscal and monetary policies should be calibrated to sustain price and output stability, while rebuilding fiscal buffers. Continued clear communication can mitigate the risks of disruptive outward spillovers or adverse asset price reactions.

59. As underlying inflation converges towards the BOJ's target, monetary policy accommodation is being appropriately withdrawn. The ongoing realignment of medium-term inflation expectations with the BOJ's target for the first time since the adoption of the inflation targeting regime underscores the significant progress that has been made in breaking from the deflationary equilibrium that characterized the two decades before the pandemic. These developments have allowed for the steady normalization of the BOJ's policy framework, including a significant reduction in the BOJ's footprint in the JGB market that is improving price discovery and market functioning. If the baseline materializes, the policy rate should continue to rise gradually towards neutral territory.

60. Continued fiscal prudence and growth-friendly fiscal adjustment is needed to meet significant spending pressures while preserving fiscal sustainability. Fiscal performance in recent years has been better than expected, but the debt-to-GDP ratio remains very high. In the long term, debt is expected to rise as spending increases on health and long-term care and the interest bill. Yields are becoming more volatile and are increasingly driven by perceptions of fiscal risk. Fiscal restraint and a credible medium-term plan to keep the debt-to-GDP ratio on a firm downward path are crucial to preserving market confidence and stable JGB market conditions.

61. The financial system is broadly resilient, but sources of systemic risks have shifted. Implementation of key recommendations from the 2024 FSAP has remained uneven. Strengthening systemic risk monitoring, the macroprudential framework, the financial safety net, and the oversight of the financial sector remain essential to bolster resilience and mitigate risks in the financial system. In addition, given significant FX exposures and increasing interconnectedness between foreign NBFIs and the Japanese financial sector, it is crucial to close remaining data gaps—especially regarding FX derivative positions and investment activities of leveraged foreign investors.

62. Reforms to increase labor market flexibility would help deliver stronger real wage growth. Industrial policies are boosting public investment in strategic sectors and should be subjected to comprehensive cost-benefit analysis.

63. It is recommended that the next Article IV consultation take place on the standard 12-month cycle.

Box 1. Inflation Expectations¹

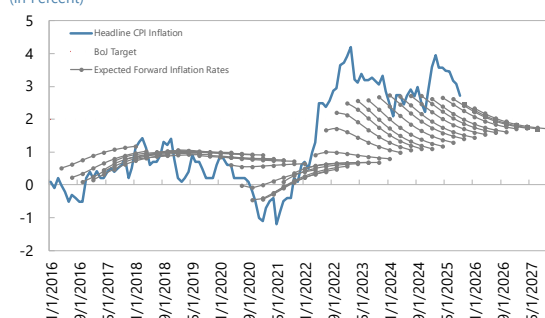
After a prolonged period of low inflation, Japan's economy has seen inflation above the Bank of Japan's (BOJ) 2-percent target for three and a half years. A key question is whether this shift has influenced underlying inflation expectations. Firm expectations have risen above 2 percent in recent years, and household expectations, typically above target, have risen further. While medium-term expectations reported by the Consensus survey of professional forecasters remain below target, market-implied 10-year breakeven inflation rates are re-aligning with the target from below. Differences in survey frequency and forecast horizons complicate direct comparisons. Yet, a clear commonality emerges: all measures show a gradual pickup in expectations starting in 2022 (Figure 2).

We summarize the information across sources and horizons by estimating a dynamic Nielsen Siegel state-space model (see Aruoba (2020) for an application of this model to US inflation expectations).

The model uses information from household surveys (1 and 5-year ahead expectations from BOJ Opinion Survey), firms (1, 3, and 5-years ahead from BOJ Tankan Survey), professional forecasters (1- to 10-year horizons from Consensus Forecasts and 1- to 2-year horizons from JCER ESP), as well as market-implied expectations (5 and 10-year BEI rates).² Each survey or market signal is treated as a noisy measurement of the underlying term structure at its reported horizon at that point in time, where measurement errors are calibrated using historical predictive accuracy. The estimation of the model provides a smooth, model-consistent term structure of inflation expectations, which is updated in real time as new inflation expectation indicators are observed.

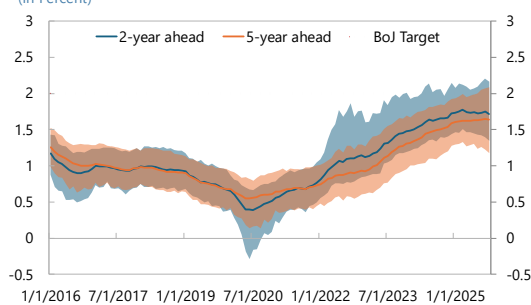
Staff estimates indicate that medium and long-term inflation expectations are gradually realigning with the BOJ's 2-percent target. Inflation expectations in the medium term (2-years ahead), which correspond to the projection period of outlook reports of the BOJ, have moved up steadily, with 2 percent falling within the 95 percent confidence interval since mid-2024. Expectations over the longer term (5-years ahead) have also trended upward, with 2 percent also falling within the estimated 95 percent error band.

Expected Inflation Forward Rates and Realized Inflation
(In Percent)



Sources: IMF Staff Calculations

Inflation Expectations with Confidence Bands
(In Percent)



Sources: IMF Staff Calculations

Notes: Shaded areas represent 95 percent confidence interval bands, computed using the Durbin and Koopman (2012) simulation smoother.

1/ This box was prepared by Jason Lu (RES) and Ken Teoh (APD).

2/ The model estimates represent a statistical summary of expectations measures and are subject to uncertainty arising from model specification, choice of data inputs, and limited historical variation following a prolonged period of near-zero inflation expectations in the case of Japan. Modeling specifications are carefully chosen to minimize sensitivity to choice of data inputs.

Box 2. Neutral Interest Rate Estimates¹

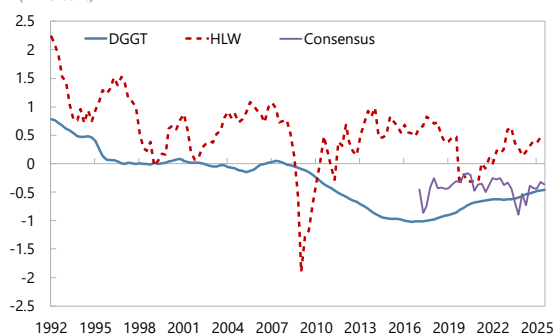
The neutral rate of interest is a key benchmark for assessing the monetary policy stance and fiscal policy sustainability. This rate is defined as the real interest rate consistent with output at potential and stable inflation. Estimates for Japan are derived using several complementary methodologies: Holston, Laubach, and Williams (2023, HLW), Del Negro and others (2017, DGGT) along with the long-run real rate implied from Consensus Forecasts. Each approach has strengths and limitations, contributing to substantial uncertainty surrounding the level of the neutral rate.

A precision-weighted average of the estimates suggests the nominal neutral rate lies between 1.1 and 2.2 percent as of 2025Q2, though the analysis reveals substantial uncertainty.² Japan's prolonged period of policy rates at or near the effective lower bound subjects estimations of the neutral rate to significant uncertainty. While the DGGT estimate and Consensus expectations broadly coincide, the HLW model yields a point estimate that is substantially higher than the other two methods, with a very wide confidence band. Moreover, given Japan's long-run inflation expectations have only recently shown signs of re-aligning with the BOJ's target, the nominal neutral interest rate is subject to additional uncertainty. If inflation expectations were to fall significantly below 2 percent, the nominal neutral rate may move commensurately lower.

Over the past three decades, Japan's neutral rate of interest has steadily declined. Chapter 2 of [April 2023 World Economic Outlook](#) uses a structural model (Platzer and Peruffo [2022](#)) to estimate the macroeconomic drivers of the neutral rate for several advanced economies since 1975. For Japan, it finds that the downward trend in neutral rates has been driven by population aging and slower productivity growth, with these forces having been partly offset by Japan's large stock of public debt. A low neutral rate has several implications. For monetary policy, it limits the scope for conventional easing in downturns. For fiscal policy, it lowers debt-servicing costs and helps sustain fiscal space to the extent that the decline in neutral rates is not driven by lower economic growth. However, maintaining long-term debt sustainability will require that potential growth continues to exceed the real interest rate.

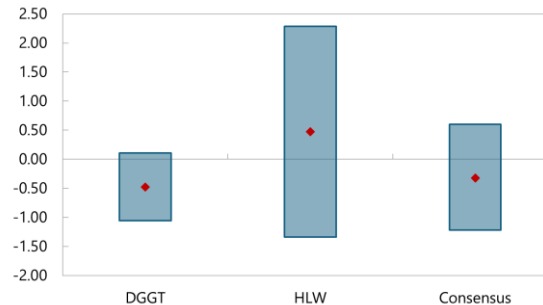
R* Estimates

(In Percent)



R* Estimation Uncertainty

(In Percent)



1/ This box was prepared by Ken Teoh (APD).

2/ Nakano, Sugioka, and Yamamoto (2024) surveys several estimation methods of the neutral rate for Japan and finds the real neutral rate to range between -1 percent and 0.5 percent

Box 3. Adverse Scenario¹

An adverse scenario considers a shock that brings higher global sovereign yields and a sharp tightening of financial conditions. Using the IMF's Global Integrated Monetary and Fiscal model, we consider a scenario based on the [October 2025 World Economic Outlook](#), in which a reassessment of countries' capacity to carry high public debt—including advanced economies with elevated debt levels such as Italy, Japan, and the US—leads to an increase in sovereign yields. Term premia rise globally by 100 basis points starting in 2026, and the increase lasts a decade. The global safe real rate also increases gradually and permanently by up to 50 basis points. These shocks are amplified by tighter global financial conditions: corporate spreads widen by 50 basis points in advanced economies in 2026, accompanied by a modest decline in US equity prices reflecting, in part, a correction in AI-related valuations. The tightening in financial conditions persists for two years before gradually easing.

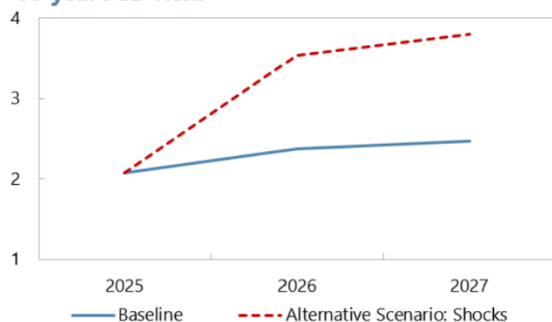
Absent a policy response, the scenario would have a significant impact on the Japanese economy.

Together these shocks raise uncertainty and weigh on consumer confidence in Japan. This would lead households to consume less and firms to scale back investment and restrain wage growth, which further dampens household consumption and domestic demand. The shock results in a recession in Japan in 2026, with real investment—especially sensitive to the tightening in financial conditions and uncertainty—falling by about 3 percent.² The fall in domestic demand lowers inflation below the BOJ's headline target of 2 percent, threatening a return to the deflationary equilibrium that Japan experienced for several decades. As the model does not capture macro-financial linkages, the estimated effects on output and inflation should be interpreted as a lower-bound estimate of the potential impact.

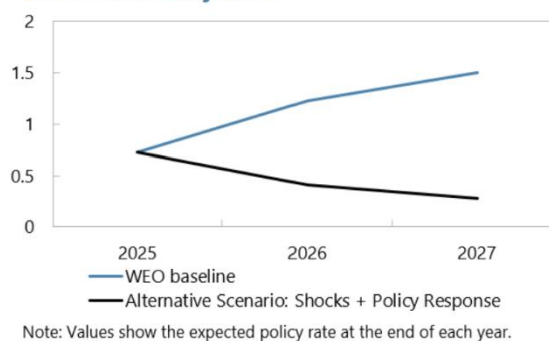
Japan's policy response in this scenario should seek to preserve price stability while cushioning the output decline. With JGB yields rising to about 370 bps in the scenario, the fiscal policy response will need to be restrained to maintain a credible debt-reduction path. As higher sovereign yields and tighter financial conditions push inflation below target and lead to lower GDP, the BOJ should maintain monetary accommodation by lowering the policy rate to 0.25 percent in 2026 and keeping it at that level through 2027. As conditions stabilize and the output gap narrows, the BOJ could resume its withdrawal of monetary accommodation in 2028 and 2029, reaching a neutral stance by 2030. Given constrained fiscal space and the limited effectiveness of fiscal tools under these types of shocks, the fiscal response is assumed to be targeted and modest, raising the primary deficit by 0.6 percent of GDP in both 2026 and 2027, before returning to baseline thereafter. The policy response ensures that inflation converges to target, and substantially mitigates the impact of the shock on the real economy.

Box 3. Adverse Scenario (Concluded)

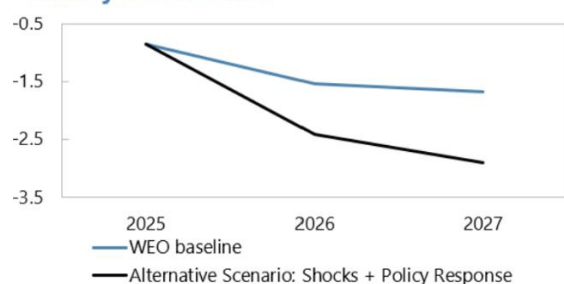
10-year JGB Yield



Short-term Policy Rates



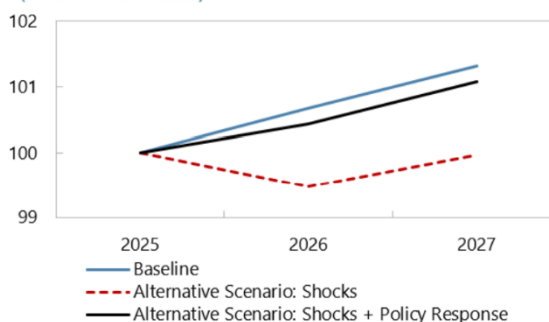
Primary Fiscal Balance



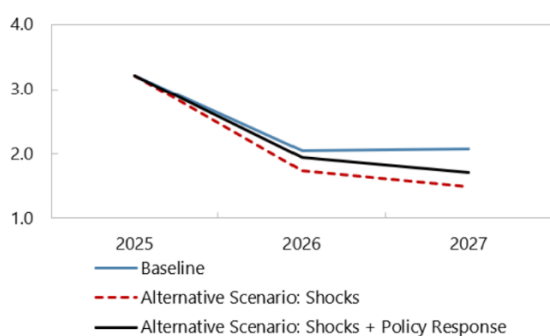
Note: The decline in the primary balance arises from automatic stabilizers, with the discretionary 0.6 percent-of-GDP stimulus applied in addition to these effects.

Real GDP Level

(Index = 100 in 2025)

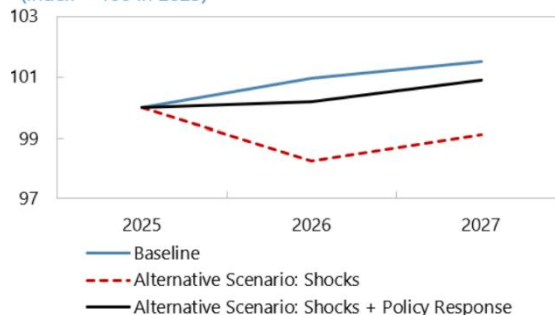


Headline Inflation Rate



Real Investment Level

(Index = 100 in 2025)



Source: IMF staff calculations.

1/ This box was prepared by Parisa Kamali (APD) and Dirk Muir (RES).

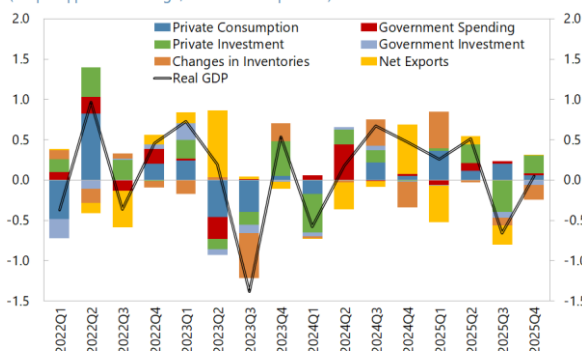
2/ Notably, the adverse impact on the Japanese economy may have been even larger if the rise in yields were Japan-specific rather than global, as a Japan-only shock of this magnitude would likely induce a sharper tightening in domestic financial conditions and a stronger drag on activity.

Figure 1. Japan: Recent Economic Developments

Growth since 2024 has been supported by consumption, while net exports have fluctuated.

Contributions to Real GDP Growth

(In q-o-q percent change, chained 2020p SAAR)

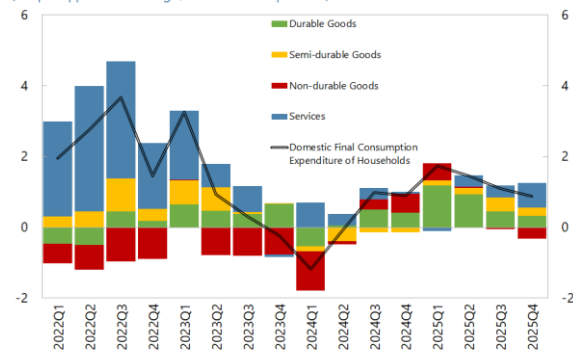


Sources: Cabinet Office of Japan; Haver Analytics; and IMF staff calculations.

Following supply disruptions in early 2024, private consumption has remained firm.

Domestic Final Household Consumption Expenditure by Type

(In q-o-q percent change, chained 2020p SAAR)

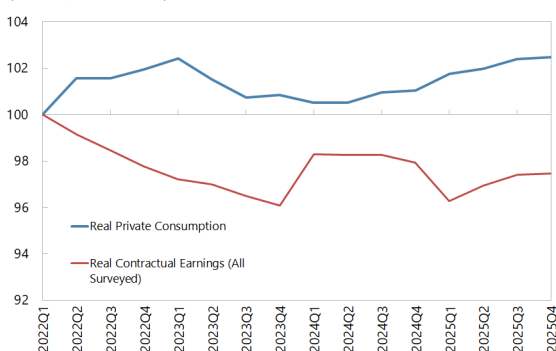


Sources: Cabinet Office of Japan; Haver Analytics; and IMF staff calculations.

However, real wage growth has remained weak.

Real Wage and Real Consumption Growth

(In index, 2022Q1=100)

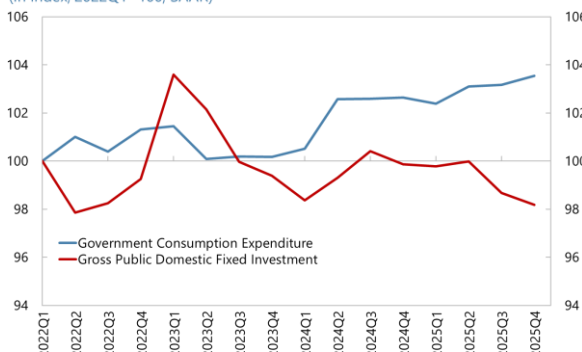


Sources: Haver Analytics and IMF staff calculations.

Public consumption has remained relatively flat, while public investment has weakened.

Real Government Consumption and Investment

(In index, 2022Q1=100, SAAR)

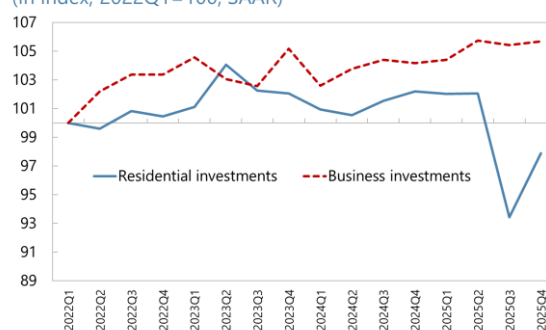


Sources: Cabinet Office of Japan; Haver Analytics; and IMF staff calculations.

Business investments have steadily strengthened, while residential investments have been weaker.

Real Private Sector Investments

(In index, 2022Q1=100, SAAR)

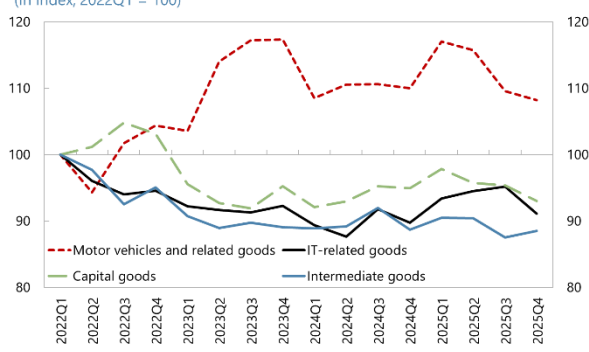


Sources: Haver Analytics and IMF staff calculations.

Real exports weakened in the second half across motor vehicles, capital, and intermediate goods.

Real Exports by Product Category

(In index, 2022Q1 = 100)



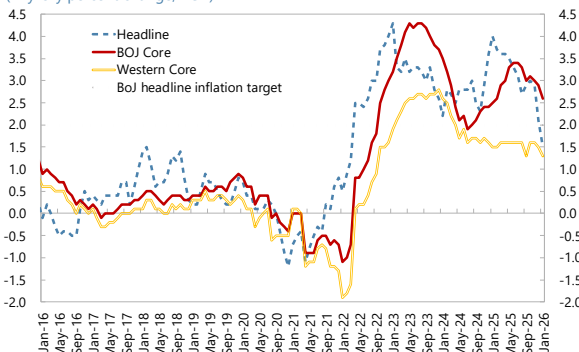
Sources: Bank of Japan and IMF staff calculations.

Figure 2. Japan: Inflation Developments

Headline and BOJ core inflation remained above BOJ's headline inflation target for an extended period, though headline inflation dipped below target in January.

Inflation

(In y-o-y percent change, NSA)

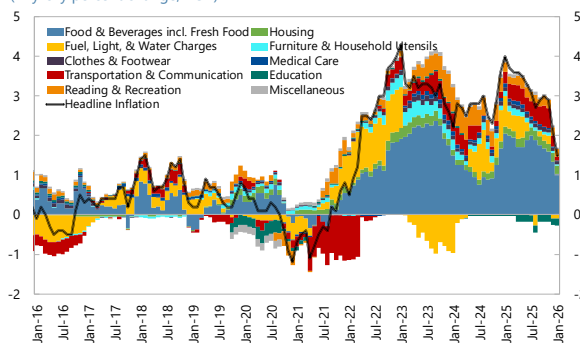


Sources: Japan Ministry of Internal Affairs and Communications; and Haver Analytics.

Elevated inflation was primarily boosted by high food price inflation.

Contributions to Headline Inflation

(In y-o-y percent change, NSA)

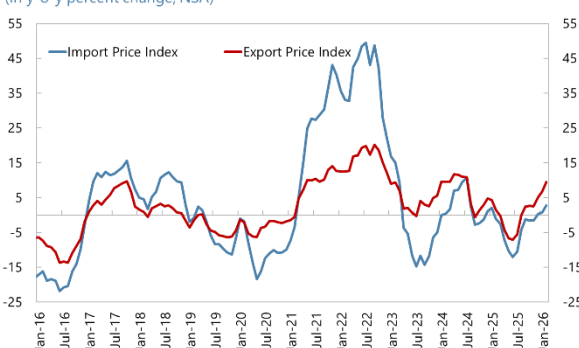


Sources: Ministry of Internal Affairs & Communications; Haver Analytics; and IMF staff calculations.

In 2025, export and import prices eased before rebounding in recent months...

Export & Import Price Indices, Yen Basis

(In y-o-y percent change, NSA)

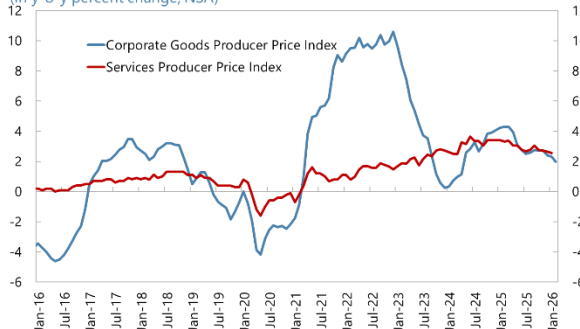


Sources: Bank of Japan and Haver Analytics.

... while corporate goods and services producer price indices have been rising.

Producer Price Indices

(In y-o-y percent change, NSA)



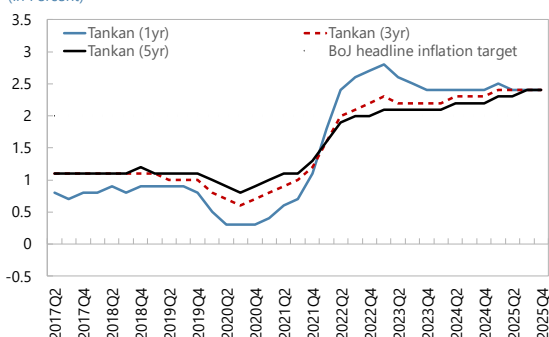
Sources: Bank of Japan and Haver Analytics.

Note: Data from source excludes the effects of change in consumption tax.

Surveys of firms' inflation expectations remain above BOJ's headline inflation target...

Firms' Inflation Outlook from Tankan Survey

(In Percent)

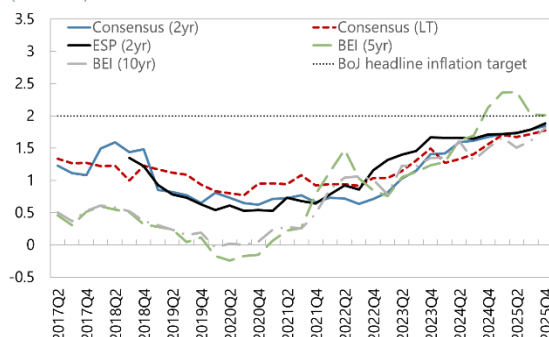


Sources: Bank of Japan and Haver Analytics.

... while professional forecasters' and market-implied expectations have gradually converged towards target.

Market and Forecaster Inflation Expectations

(In Percent)



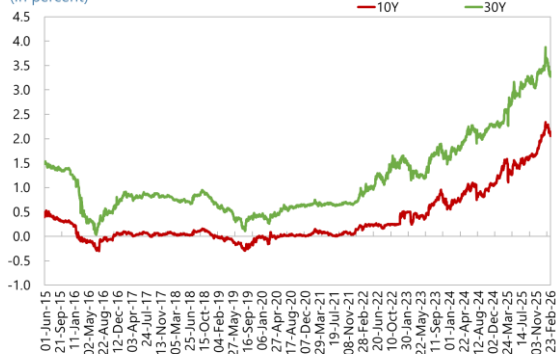
Sources: JCER; Consensus Forecast; and Haver Analytics.

Figure 3. Japan: Monetary and Credit Conditions

JGB yields have continued to rise, particularly at the long-end.....

Japanese Government Bond Yields

(In percent)

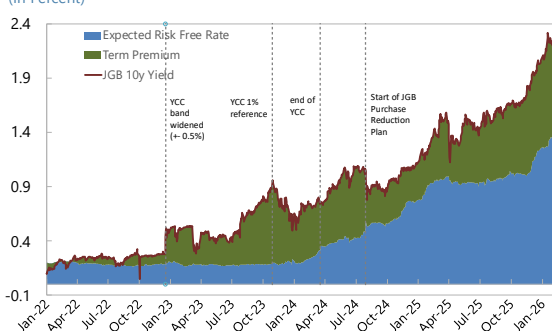


Sources: Tullett Prebon Information and Haver Analytics.

...the rise in yields since 2022 has been driven by higher term premia as well as higher risk-free rates.

10-Year JGB Yield ACM Decomposition

(In Percent)

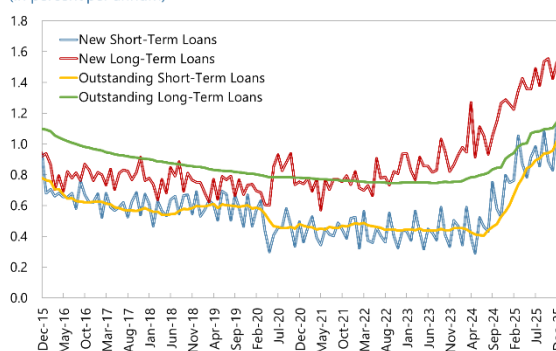


Sources: IMF Staff Calculations

While higher yields are transmitting to higher lending rates...

Bank Lending Rates

(In percent per annum)

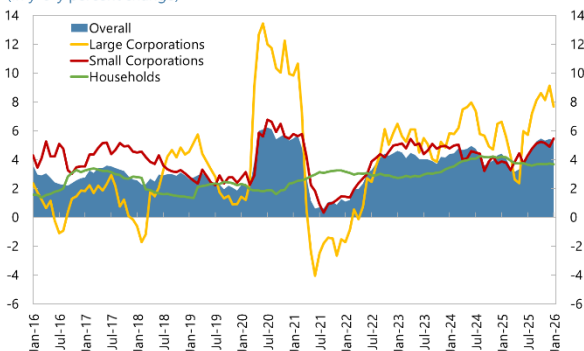


Sources: Bank of Japan and CEIC Data. Note: Short-term are <1 year & long-term are ≥ 1 year.

...growth in lending remains strong.

Growth in Lending by Domestically Licensed Banks

(In y-o-y percent change)

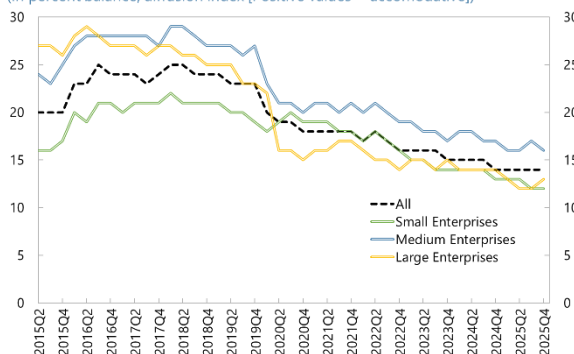


Sources: Bank of Japan; Haver Analytics; and IMF staff calculations.

Firms continue to perceive bank lending as accommodative...

Perception of Lending Attitudes by Firms

(In percent balance, diffusion index [Positive values = accommodative])

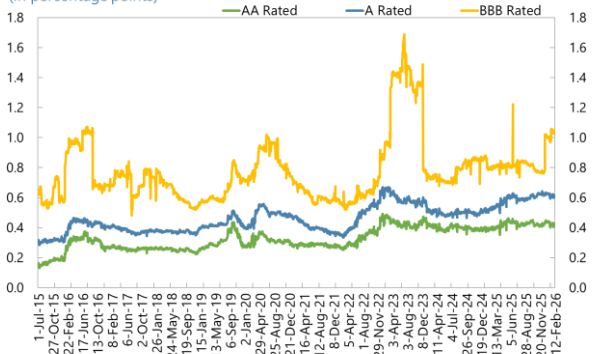


Sources: Bank of Japan, Tankan, and Haver Analytics.

...while corporate bond spreads have remained stable amidst strong corporate earnings.

Corporate - Government 5 Year Bonds Spreads

(In percentage points)



Sources: Bloomberg L.P.

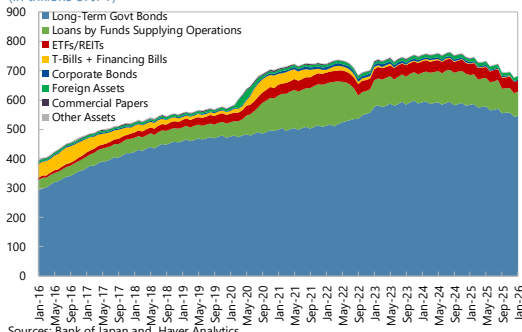
Figure 3. Japan: Monetary and Credit Conditions (Concluded)

Since June 2024, the BOJ has steadily reduced the size of its balance sheet by slowing its purchases of JGBs....

...which has been accompanied by a reduction of bank reserves.

Bank of Japan Accounts: Assets

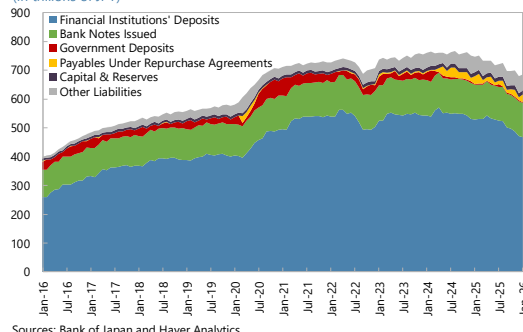
(In trillions of JPY)



Sources: Bank of Japan and Haver Analytics.

Bank of Japan Accounts: Liabilities

(In trillions of JPY)



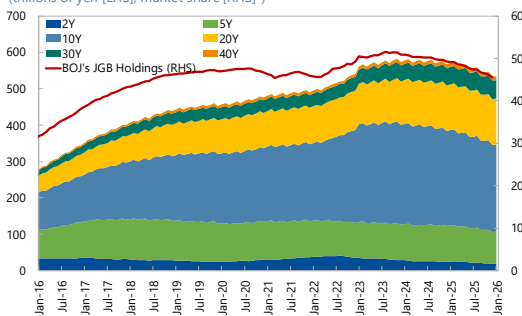
Sources: Bank of Japan and Haver Analytics.

The BOJ has gradually reduced its JGB holdings across maturities.

The withdrawal of monetary accommodation has contributed to a shrinking monetary base.

Bank of Japan's JGB Holdings by Maturity

(trillions of yen [LHS]; market share [RHS])

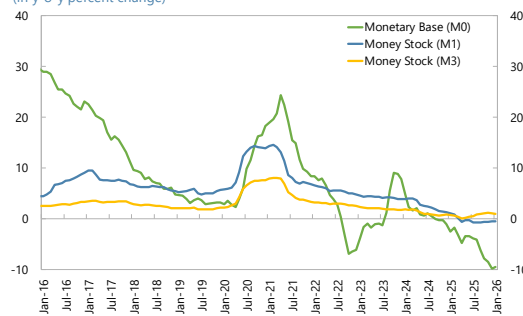


Sources: Bank of Japan and Haver Analytics.

The BOJ has begun unwinding its holdings of ETFs and REITs in January 2026.

Money Stock

(In y-o-y percent change)

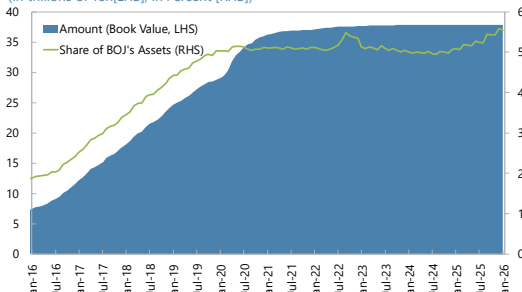


Sources: Bank of Japan and Haver Analytics.

The cross-currency basis for yen against the U.S. dollar remains stable.

Bank of Japan's Outstanding ETFs and REITs

(In trillions of Yen [LHS]; in Percent [RHS])

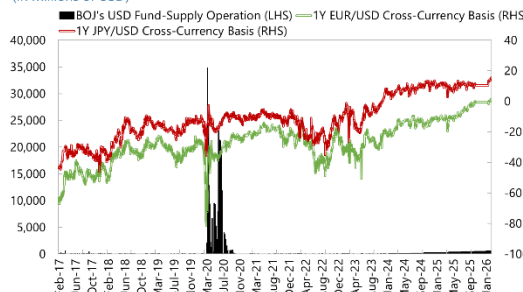


Sources: Bank of Japan; Haver Analytics; & IMF staff calculations.

Note: BOJ's total assets and holdings of ETFs and REITs are based on their book value amounts.

Bank of Japan Lending - USD Funds-Supplying Operation

(In millions of USD)



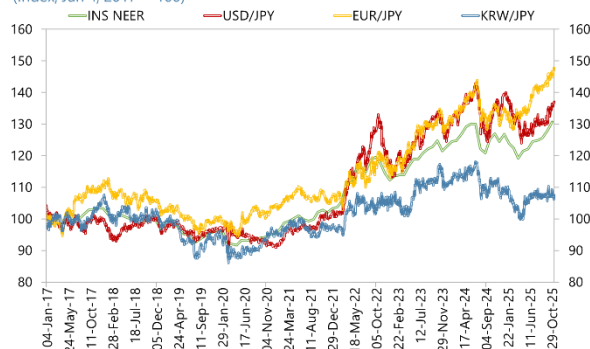
Sources: Bank of Japan; Haver Analytics; and Thomson Reuters Eikon.

Figure 4. Japan: Financial Markets Developments

The yen has continued to weaken since 2022, driven by structural outflows and persistent carry-trade demand...

Selected Exchange Rates

(Index; Jan 4, 2017 = 100)

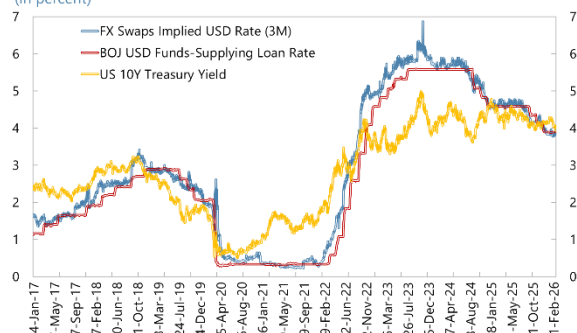


Sources: Bank of Japan; Bank of Korea; J.P. Morgan; and IMF staff calculations.

USD funding costs for Japanese institutions remain elevated amid tighter global liquidity and higher offshore dollar rate.

USD Funding Cost in Japan

(In percent)

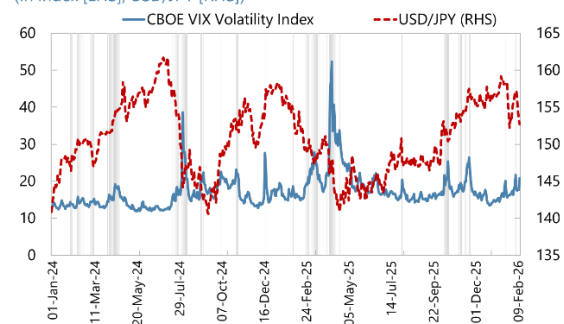


Sources: Bloomberg LP; Haver Analytics; and IMF staff calculations.

The April tariff shock briefly lifted the yen as a safe haven, but it has since weakened as financial uncertainty eased.

VIX Index and Exchange Rate

(In index [LHS]; USD/JPY [RHS])



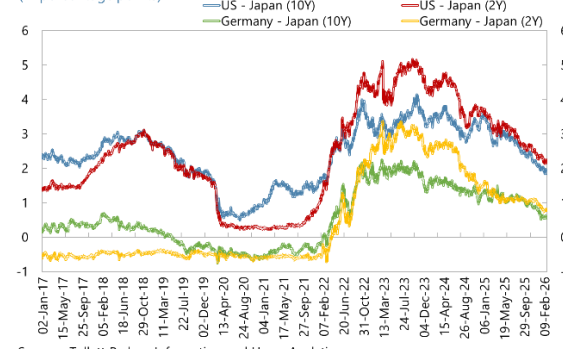
Sources: Wall Street Journal and Haver Analytics.

Note: Shaded areas refer to risk-off episodes with VIX one std. deviation above 60-day MA.

...despite interest rate differentials have been narrowing,

Interest Differentials

(In percentage points)

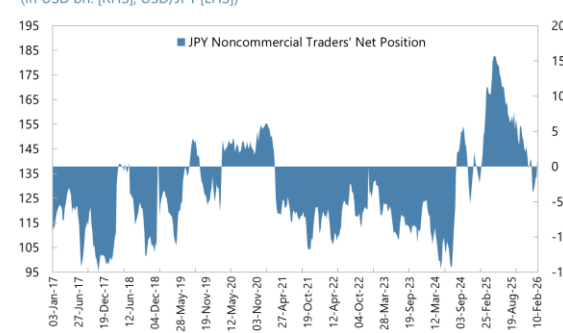


Sources: Tullett Prebon Information and Haver Analytics.

Net commercial yen futures contracts have moved towards a balanced position.

CFTC Net Noncommercial Positions on Yen

(In USD bn. [RHS]; USD/JPY [LHS])

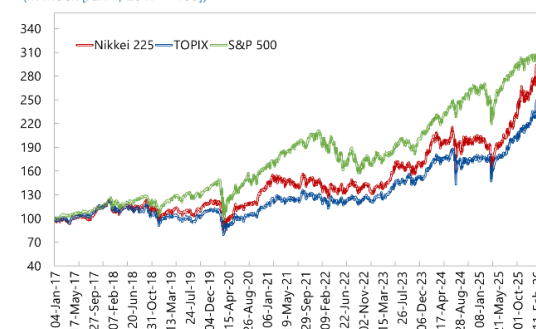


Sources: Commodity Futures Trading Commission; Wall Street Journal; and Haver Analytics.

Equity markets have risen rapidly on strong earnings and steady foreign inflows, with gains broad-based across both the Nikkei and TOPIX.

Equity Markets

(In index [Jan 4, 2017 = 100])



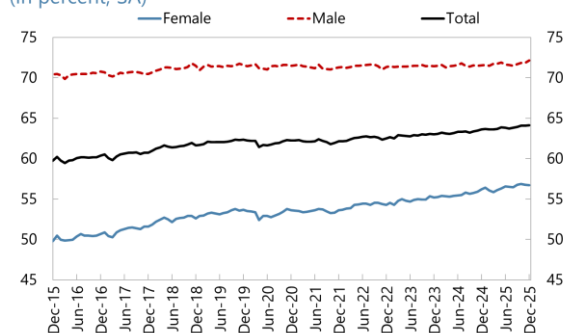
Sources: Financial Times; Japan Exchange Group; Standard & Poor's; and Haver Analytics.

Figure 5. Japan: Labor Market and Wage Developments

Female labor force participation has increased substantially over the past decade

Labor Force Participation Rate

(In percent, SA)

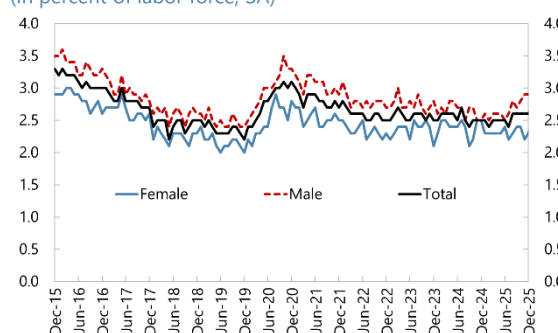


Sources: Ministry of Internal Affairs and Communications and Haver Analytics.

Labor market tightness persists, with unemployment rates hovering near historic lows...

Unemployment Rate

(In percent of labor force, SA)

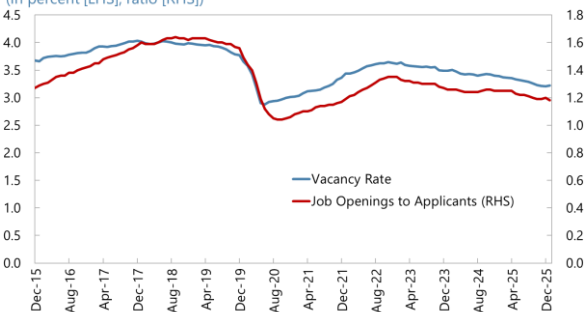


Sources: Ministry of Internal Affairs and Communications and Haver Analytics.

...and elevated vacancy and job opening rates.

Vacancy Rate & Ratio of Job Openings to Applicants

(In percent [LHS]; ratio [RHS])



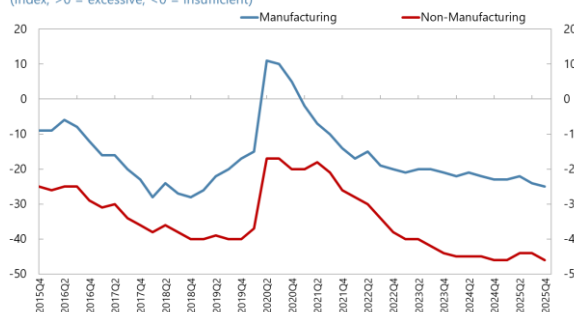
Sources: Ministry of Health, Labour, & Welfare; and Haver Analytics.

Note: Data are seasonally adjusted. Vacancy rate is the number of available jobs that remain unfilled as a percentage of the available labor force.

... which get reflected in continued labor shortages.

Tankan Enterprise Survey: Employment Conditions

(Index; >0 = excessive, <0 = insufficient)



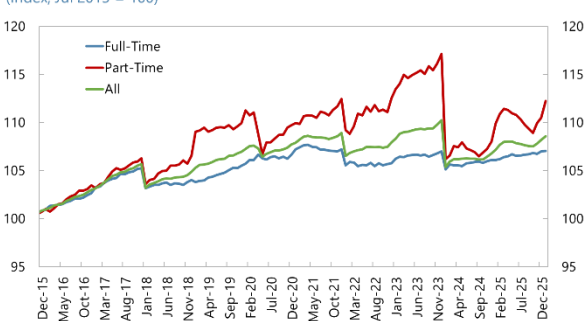
Sources: Bank of Japan, Tankan Survey; and Haver Analytics.

Note: Survey respondents assess the employment conditions at their organizations as being excessive, adequate, or insufficient. When the reading is above 0, more corporates assess the number of employees at their companies are excessive.

There was a mild uptick in regular employment, driven by an increase in part-time employees which has reversed...

Growth of Regular Employees by Type

(Index; Jul 2015 = 100)

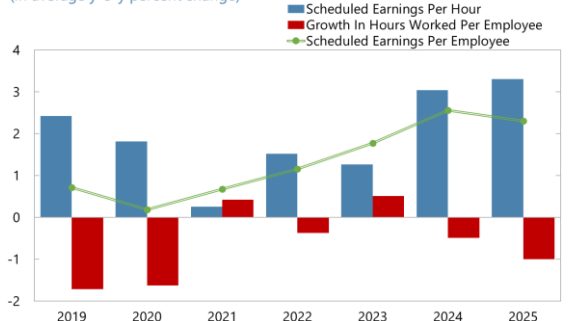


Sources: Ministry of Internal Affairs & Communications; Haver Analytics; & IMF staff calculations.

... with the rising growth rate of wages stabilizing in 2025.

Nominal Scheduled Earnings Growth per Full-Time Employee

(In average y-o-y percent change)



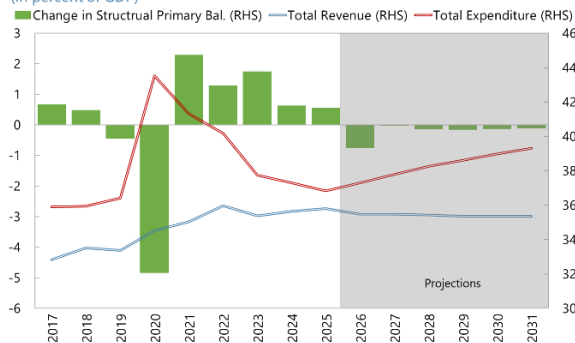
Sources: Ministry of Health, Labour, & Welfare, Monthly Labor Survey - Common Business Establishments; Haver Analytics; and IMF staff calculations. Note: 2025 average y-o-y percent change is average of Jan 2025 to Sep 2025.

Figure 6. Japan: Fiscal Developments and Sustainability

Japan's post-pandemic fiscal consolidation has been underpinned by strong revenues and spending restraint.

General Government Fiscal Balance

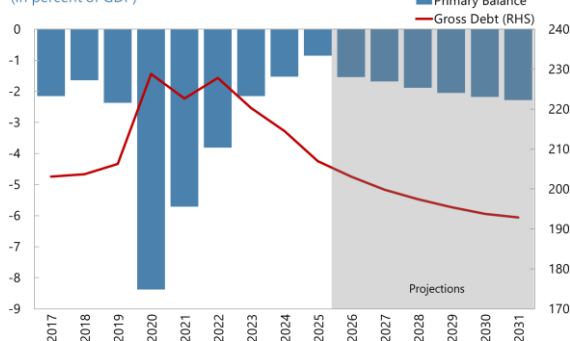
(In percent of GDP)



Over the next few years, favorable $r-g$ dynamics lead to a decline in public debt.

Gross Public Debt and Primary Balance

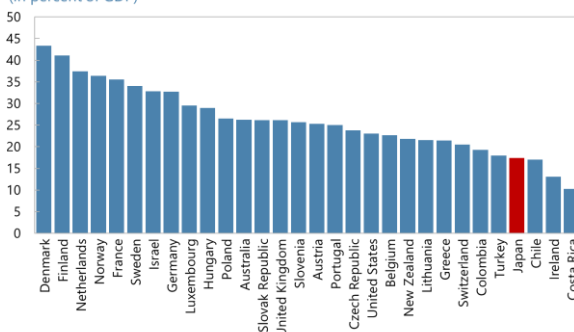
(In percent of GDP)



Relative to peers, Japan's share of non-social security spending has remained low...

OECD: Public Spending excl. Social Security & Interest, 2025

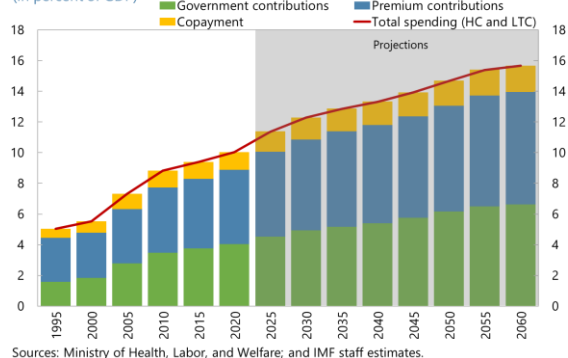
(In percent of GDP)



Health and long-term care spending is projected to rise due to an aging population.

Financing of Health Care and Long-Term Care

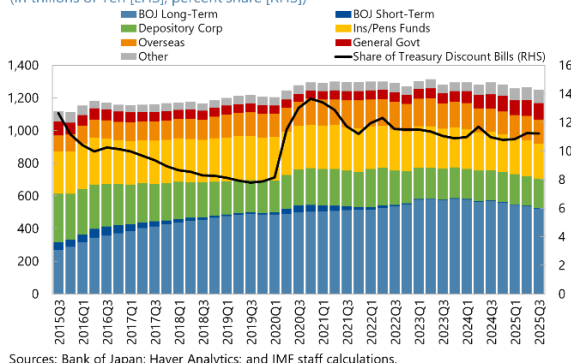
(In percent of GDP)



The BOJ's holdings of JGBs have started to shrink following its decision to reduce its asset purchases.

Public Debt Financing

(In trillions of Yen [LHS]; percent share [RHS])



...and there is room for further revenue mobilization.

General Government Tax & Social Security Revenue, 2023

(In percent of GDP)

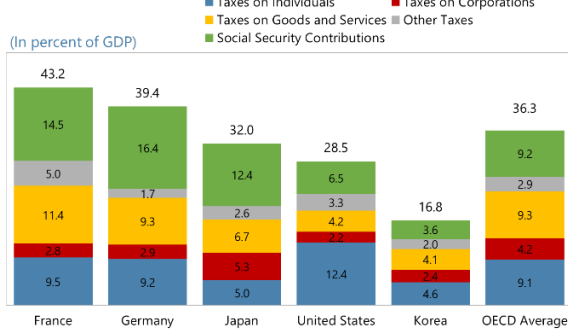


Table 1. Japan: Selected Economic Indicators, 2022-31

Nominal GDP: US\$ 4,190 Billion (2024)				GDP per capita: US\$ 33,820 (2024)						
Population: 124 Million (2024)				Quota: SDR 30.8 billion (2024)						
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
				Est.				Proj.		
(In percent change)										
Growth										
Real GDP	1.3	0.7	-0.2	1.1	0.8	0.6	0.6	0.6	0.6	0.6
Domestic demand	1.8	0.0	-0.2	1.3	1.1	0.8	0.7	0.7	0.7	0.7
Private consumption	2.3	0.1	-0.6	1.4	1.1	0.7	0.6	0.6	0.6	0.6
Gross Private Fixed Investment	2.6	1.8	-0.3	0.8	1.1	0.7	0.6	0.6	0.6	0.7
Business investment	3.1	1.7	-0.2	1.5	1.1	0.8	0.7	0.7	0.7	0.8
Residential investment	0.4	2.1	-1.0	-2.5	1.3	0.4	0.1	0.1	0.1	0.1
Government consumption	1.6	-0.2	1.6	0.7	1.3	1.3	1.3	1.3	1.3	1.1
Public investment	-8.1	2.3	-1.8	-0.7	-0.5	-0.1	0.0	0.0	0.0	0.0
Stockbuilding	0.2	-0.4	-0.1	0.3	0.0	0.0	0.0	0.0	0.0	0.0
Net exports	-0.4	0.6	0.0	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1
Exports of goods and services	5.3	3.1	0.9	2.9	1.0	1.3	1.4	1.3	1.4	1.2
Imports of goods and services	8.0	-0.4	0.9	4.0	2.2	2.1	2.0	2.0	1.9	1.9
Output Gap	-0.6	0.0	0.0	0.3	0.5	0.2	0.0	0.0	0.0	0.0
(In percent change, period average)										
Inflation										
Headline CPI	2.5	3.2	2.7	3.2	1.9	2.1	2.0	2.0	2.0	2.0
Core CPI (ex. fresh food & energy)	1.1	3.9	2.4	3.0	2.4	2.1	2.0	2.0	2.0	2.0
(In percent of GDP)										
Government										
Revenue	36.0	35.4	35.6	35.8	35.5	35.5	35.4	35.3	35.3	35.3
Expenditure	40.2	37.8	37.3	36.9	37.3	37.8	38.3	38.6	39.0	39.5
Overall Balance	-4.2	-2.4	-1.7	-1.1	-1.8	-2.4	-2.9	-3.3	-3.7	-4.1
Primary balance	-3.8	-2.2	-1.6	-0.9	-1.5	-1.7	-1.9	-2.0	-2.2	-2.3
Structural primary balance	-3.9	-2.2	-1.5	-1.0	-1.7	-1.7	-1.9	-2.0	-2.2	-2.3
Public debt, gross	227.8	220.3	214.5	206.8	202.9	199.6	197.2	195.5	194.0	193.1
(In percent change, end-of-period)										
Macro-financial										
Base money	-5.6	6.4	-1.9	2.1	2.2	2.3	2.2	2.1	2.0	2.0
Broad money	2.3	2.1	0.1	2.4	2.4	2.4	2.3	2.3	2.2	2.2
Credit to the private sector	2.5	4.0	2.9	2.3	2.0	1.7	1.6	1.6	1.6	1.6
Non-financial corporate debt in percent of GDP	153.9	150.3	149.7	152.7	153.1	153.1	153.2	153.4	153.5	153.7
(In percent)										
Interest rate										
Overnight call rate, uncollateralized (end-of-period)	0.0	0.0	0.2	0.7	1.2	1.5	1.5	1.5	1.5	1.5
10-year JGB yield (end-of-period)	0.4	0.6	1.1	2.1	2.3	2.4	2.5	2.6	2.7	2.7
(In billions of USD)										
Balance of payments										
Current account balance	89.9	156.2	189.2	214.2	203.3	205.0	206.4	206.6	212.5	214.3
Percent of GDP	2.0	3.6	4.5	4.8	4.6	4.5	4.4	4.3	4.3	4.2
Trade balance	-115.8	-49.0	-24.5	-5.1	-15.8	-17.8	-19.8	-23.7	-23.8	-27.0
Percent of GDP	-2.6	-1.1	-0.6	-0.1	-0.4	-0.4	-0.4	-0.5	-0.5	-0.5
Exports of goods, f.o.b.	752.5	714.7	693.8	720.5	704.7	704.2	715.0	722.8	729.1	735.0
Imports of goods, f.o.b.	868.3	763.7	718.4	725.5	720.5	722.0	734.8	746.5	753.0	762.0
Energy imports	195.5	152.9	138.3	125.2	125.5	128.0	135.4	144.2	153.1	161.3
(In percent of GDP)										
FDI, net	2.8	4.0	4.4	3.9	3.8	3.6	3.7	3.7	3.6	3.6
Portfolio Investment	-3.2	4.5	2.2	-2.4	-0.7	-0.4	-0.2	-0.1	-0.1	0.0
(In billions of USD)										
Change in reserves	-47.4	29.8	-64.4	37.0	11.5	11.5	11.5	11.5	11.5	11.5
Total reserves minus gold (in billions of US\$)	1178.3	1238.5	1159.7	...	...	...	...	...	...	...
(In units, period average)										
Exchange rates										
Yen/dollar rate	131.5	140.5	151.4	149.7	...	...	...	...	...	...
Yen/euro rate	138.6	152.0	163.8	169.0	...	...	...	...	...	...
Real effective exchange rate (ULC-based, 2010=100)	62.4	56.7	52.8	52.4	...	...	...	...	...	...
Real effective exchange rate (CPI-based, 2010=100)	61.2	58.1	55.0	56.1	...	...	...	...	...	...
(In percent)										
Memorandum items:										
Real GDP per Capita Growth	1.7	1.2	0.2	1.6	1.3	1.2	1.2	1.2	1.2	1.2
Population Growth	-0.3	-0.5	-0.5	-0.5	-0.5	-0.5	-0.6	-0.6	-0.6	-0.6
Old-age dependency	48.8	48.9	49.2	49.7	50.1	50.5	50.9	51.4	52.0	53.1

Sources: Haver Analytics; OECD; Japanese authorities; and IMF staff estimates and projections.

Table 2. Japan: Monetary Authority Accounts and Monetary Survey, 2022-31

	2022	2023	2024	2025 Est.	2026	2027	2028	2029	2030	2031
							Proj.			
Monetary Authority										
Net foreign assets	-25.7	-30.0	-38.2	-39.2	-39.1	-38.5	-38.3	-38.4	-38.5	-38.6
Net domestic assets	658.1	703.1	698.5	713.5	728.5	743.5	758.5	773.5	788.5	803.5
Net domestic credit	680.2	743.5	739.9	754.9	769.9	784.9	799.9	814.9	829.9	844.9
Net credit to non-financial public sector	480.4	516.9	496.7	506.7	516.7	526.7	536.7	546.7	556.7	566.7
Credit to the private sector	9.7	7.6	5.8	5.8	5.8	5.8	5.8	5.8	5.8	5.8
Net credit to financial corporations	190.1	219.0	237.4	242.4	247.4	252.4	257.4	262.4	267.4	272.4
Other items net	-22.1	-40.4	-41.4	-41.4	-41.4	-41.4	-41.4	-41.4	-41.4	-41.4
Monetary base	632.4	673.0	660.3	674.2	689.4	705.0	720.2	735.1	750.0	764.9
Monetary Survey (Depository Corporations)										
Net foreign assets	84.1	79.7	57.7	99.5	105.8	111.1	117.3	124.1	131.1	138.1
Net domestic assets	1,533.3	1,572.0	1,593.0	1,567.8	1,601.5	1,637.2	1,671.2	1,705.5	1,738.8	1,772.9
Net domestic credit	1,597.7	1,664.3	1,677.4	1,671.0	1,709.6	1,750.3	1,789.4	1,828.7	1,866.9	1,905.1
Net credit to nonfinancial public sector	713.7	747.0	718.0	709.6	730.2	756.9	786.2	813.0	838.4	863.5
Credit to the private sector	691.7	719.0	740.2	757.2	772.2	785.1	797.9	810.5	823.3	836.3
Net credit to other financial institutions	192.4	198.3	219.2	204.2	207.2	208.2	205.2	205.2	205.2	205.2
Other items net	-64.4	-92.2	-84.5	-103.2	-108.2	-113.2	-118.2	-123.2	-128.2	-132.2
Broad money	1,593.0	1,627.0	1,628.2	1,667.3	1,707.3	1,748.3	1,788.5	1,829.6	1,869.9	1,911.0
Currency in circulation	119.1	118.9	115.6	113.7	109.6	105.2	100.3	95.0	89.4	85.5
Current deposits	951.4	997.5	1,001.8	1,036.8	1,074.9	1,114.3	1,153.4	1,193.9	1,233.7	1,272.7
Other deposits	522.6	510.6	510.8	516.8	522.8	528.8	534.8	540.8	546.8	552.8
<i>(In percent of GDP)</i>										
Net credit to other financial institutions	32.9	32.2	34.6	30.8	30.4	29.7	28.5	27.8	27.0	26.3
Credit to the private sector from depository corporations	118.3	116.7	116.7	114.2	113.3	112.0	110.8	109.6	108.4	107.3
Corporate debt (includes loans and securities other than shares)	153.9	150.3	149.7	152.7	153.1	153.1	153.2	153.4	153.5	153.7
Household debt in percent of disposable income	119.4	119.4	117.7	119.7	120.2	119.5	119.1	119.7	120.6	121.7
<i>(In y-o-y percent change)</i>										
Base money	-5.6	6.4	-1.9	2.1	2.2	2.3	2.2	2.1	2.0	2.0
Broad money	2.3	2.1	0.1	2.4	2.4	2.4	2.3	2.3	2.2	2.2
Credit to the private sector from depository corporations	2.5	4.0	2.9	2.3	2.0	1.7	1.6	1.6	1.6	1.6
Corporate loans by domestically licensed banks	4.5	5.3	4.8	5.3	4.9	4.6	4.6	4.6	4.6	4.6
Housing loans	2.8	2.9	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Credit to the private sector from all financial institutions	1.2	4.9	3.0	2.4	2.1	1.8	1.7	1.7	1.7	1.7
Memorandum items:										
Velocity of broad money	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Money multiplier (broad money)	2.5	2.4	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
Loan-to-deposit ratio (percent) 1/	55.5	56.0	58.2	60.2	61.0	61.7	62.4	63.1	64.0	64.8

Sources: Bank of Japan; Haver; IMF staff estimates and projections.

1/ Defined as the ratio of credits to the private sector and net credit to other financial institutions to customer deposits.

Table 3. Japan: External Sector Summary, 2022-2031

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
				Est.				Proj.		
Balance of Payments										
<i>(In billions of USD)</i>										
Current account balance	89.9	156.2	189.2	214.2	203.3	205.0	206.4	206.6	212.5	214.3
Trade balance (goods)	-115.8	-49.0	-24.5	-5.1	-15.8	-17.8	-19.8	-23.7	-23.8	-27.0
Exports of goods	752.5	714.7	693.8	720.5	704.7	704.2	715.0	722.8	729.1	735.0
Imports of goods	868.3	763.7	718.4	725.5	720.5	722.0	734.8	746.5	753.0	762.0
Imports of goods, Oil	131.3	106.2	97.1	87.1	87.4	89.1	94.2	100.4	106.5	112.3
Services balance	-42.5	-24.4	-18.4	-22.7	-22.4	-23.3	-24.2	-24.8	-25.4	-26.0
Credits	211.1	218.7	226.6	231.8	237.1	237.1	237.1	237.1	237.1	237.1
Debits	219.9	228.2	236.9	245.9	255.3	255.3	255.3	255.3	255.3	255.3
Income balance	267.7	259.4	262.7	278.7	275.9	277.8	279.6	281.8	285.9	289.1
Credits	380.8	411.6	428.1	454.5	431.4	444.6	448.5	450.6	455.1	462.2
Debits	113.1	152.3	165.4	175.8	155.5	166.7	168.9	168.8	169.2	173.1
Current net transfers	-19.5	-29.7	-30.6	-36.7	-34.2	-31.7	-29.2	-26.7	-24.2	-21.7
Capital account	-0.9	-2.8	-1.4	-2.9	-2.2	-2.4	-2.3	-2.5	-2.4	-2.6
Financial account	53.1	174.7	166.2	203.1	201.1	202.7	204.1	204.1	210.1	211.7
Direct investment, net	126.7	176.5	186.1	171.6	168.2	163.9	175.4	177.9	177.9	182.0
Portfolio investment, net	-142.6	195.3	93.0	-107.1	-29.9	-17.7	-11.0	-6.6	-3.6	-1.6
Other investment, net	78.4	-271.5	-77.7	62.9	17.2	8.1	-8.5	-13.8	-12.0	-16.1
Financial derivatives, net	38.0	44.6	29.1	38.7	34.1	36.9	36.7	35.1	36.3	35.8
Reserve assets	-47.4	29.8	-64.4	37.0	11.5	11.5	11.5	11.5	11.5	11.5
Errors and omissions, net	-35.8	21.2	-21.5	-8.2	0.0	0.0	0.0	0.0	0.0	0.0
<i>(In percent of GDP)</i>										
Current account balance	2.0	3.6	4.5	4.8	4.6	4.5	4.4	4.3	4.3	4.2
Trade balance (goods)	-2.6	-1.1	-0.6	-0.1	-0.4	-0.4	-0.4	-0.5	-0.5	-0.5
Exports of goods	16.9	16.3	16.6	16.3	16.1	15.5	15.2	15.0	14.7	14.5
Imports of goods	19.5	17.4	17.1	16.4	16.5	15.9	15.6	15.5	15.2	15.0
Services balance	-1.0	-0.6	-0.4	-0.5	-0.5	-0.5	-0.5	-0.5	-0.5	-0.5
Income balance	6.0	5.9	6.3	6.3	6.3	6.1	5.9	5.8	5.8	5.7
Global Assumptions										
Oil prices (US\$/barrel)	96.4	80.6	79.2	67.7	64.7	62.9	63.4	64.4	65.2	65.5
(Percent change)	39.2	-16.4	-1.8	-14.4	-4.4	-2.8	0.8	1.6	1.2	0.5
<i>Memorandum items:</i>										
Nominal GDP (US\$ billion)	4,448.0	4,384.9	4,190.0	4,428.7	4,374.3	4,536.9	4,715.9	4,831.4	4,951.2	5,072.3
Net foreign assets (NFA)/GDP, US\$ basis	69.7	74.4	83.4	83.5	88.9	90.4	90.9	92.6	94.4	96.2
Return on NFA (in percent), US\$ basis	8.6	8.0	7.5	7.5	7.1	6.8	6.5	6.3	6.1	5.9
Net export contribution to growth	-0.4	0.6	0.0	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1

Sources: Haver Analytics; Japanese authorities; and IMF staff estimates and projections.

Table 4. Japan: General Government Operations, 2022-31

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
				Est.				Proj.		
	(In percent of GDP)									
Total revenue	36.0	35.4	35.6	35.8	35.5	35.5	35.4	35.3	35.3	35.3
Taxes 1/	20.7	20.2	20.1	20.1	19.8	19.7	19.6	19.6	19.6	19.6
Social contributions	13.2	12.9	13.1	13.0	13.1	13.1	13.2	13.2	13.2	13.2
o/w Social security contributions	12.8	12.6	12.7	12.7	12.7	12.7	12.7	12.7	12.7	12.7
Other revenue	2.1	2.3	2.5	2.7	2.6	2.6	2.6	2.6	2.6	2.6
o/w interest income	1.0	1.2	1.3	1.3	1.4	1.4	1.4	1.4	1.4	1.4
Total expenditure	40.2	37.8	37.3	36.9	37.3	37.8	38.3	38.6	39.0	39.4
Expense	39.8	37.4	36.9	36.5	36.9	37.3	37.8	38.1	38.6	39.0
Consumption	11.6	11.0	11.2	10.7	10.7	10.6	10.6	10.6	10.6	10.6
Social benefits	21.4	20.2	20.5	20.3	20.4	20.4	20.6	20.7	20.9	21.1
o/w Social security benefits	18.6	18.0	17.9	17.8	18.0	18.0	18.2	18.3	18.5	18.7
Interest	1.4	1.4	1.4	1.5	1.7	2.0	2.4	2.6	2.9	3.1
Other expense	5.4	4.7	3.8	4.0	4.2	4.2	4.2	4.2	4.2	4.2
Net investment in nonfinancial assets	0.4	0.4	0.4	0.4	0.4	0.5	0.5	0.5	0.4	0.4
Gross investment in nonfinancial assets	3.9	3.9	3.9	3.8	3.8	3.8	3.7	3.7	3.7	3.7
o/w public investment	3.8	3.8	3.8	3.7	3.7	3.6	3.6	3.6	3.6	3.5
(less) Consumption of fixed capital	3.5	3.5	3.5	3.4	3.4	3.3	3.3	3.3	3.3	3.3
Net lending/borrowing (overall balance)	-4.2	-2.4	-1.7	-1.1	-1.8	-2.3	-2.9	-3.3	-3.7	-4.1
Primary balance	-3.8	-2.2	-1.6	-0.9	-1.5	-1.7	-1.9	-2.0	-2.2	-2.3
Structural balance 2/	-4.3	-2.4	-1.7	-1.2	-2.0	-2.4	-2.9	-3.3	-3.7	-4.1
Structural primary balance 2/	-3.9	-2.2	-1.5	-1.0	-1.7	-1.8	-1.9	-2.0	-2.2	-2.3
Stock positions										
Debt										
Gross 3/	227.8	220.3	214.5	206.5	203.1	199.8	197.3	195.5	194.0	192.9
Net 4/	159.6	149.5	141.7	136.5	133.0	129.7	127.3	125.4	123.9	122.9
Net worth	40.9	49.9	60.6	...	...	...	...	...	...	...
Nonfinancial assets	159.5	155.7	155.5	...	...	...	...	...	...	...
Net financial worth	-118.6	-105.7	-94.9	-89.7	-86.2	-82.9	-80.5	-78.6	-77.1	-76.1
Financial assets 5/	109.3	114.6	119.6	116.8	116.8	116.8	116.8	116.8	116.8	116.8
Monetary Gold and SDR, etc.	1.5	1.5	1.7	...	...	...	...	...	...	...
Currency and deposits	21.4	21.6	20.0	...	...	...	...	...	...	...
Loans	3.0	2.7	4.2	...	...	...	...	...	...	...
Debt securities	37.1	39.7	41.2	...	...	...	...	...	...	...
Equity and investment fund shares	41.0	43.8	46.8	...	...	...	...	...	...	...
Other financial assets	5.3	5.3	5.7	...	...	...	...	...	...	...
Liabilities 6/	227.8	220.3	214.5	206.5	203.1	199.8	197.3	195.5	194.0	192.9
SDR	1.3	1.3	1.4	...	...	...	...	...	...	...
Loans	26.0	24.8	23.6	...	...	...	...	...	...	...
Debt securities	192.0	186.3	181.1	...	...	...	...	...	...	...
Other liabilities	6.8	6.3	6.9	...	...	...	...	...	...	...
Memorandum item :										
Nominal GDP (trillion yen)	584.9	616.0	634.2	663.8	681.1	700.6	719.7	738.9	759.0	779.4
Average interest rate on debt	0.7	0.6	0.7	0.7	0.8	1.0	1.2	1.4	1.5	1.6

Sources: Japan Cabinet Office; Ministry of Finance; and IMF staff estimates and projections.

1/ Including fines.

2/ In percent of potential GDP.

3/ To align with Public Sector Debt Statistics (PSDS) guidance and to improve cross-country comparability, the definition of general government gross debt used in this report has been revised, moving from a non-consolidated market-value basis to a consolidated face-value basis.

4/ Financial assets used to calculate net debt are valued on market value basis using sectoral balance sheet data from SDDS Plus.

5/ Consolidated and market value basis using sectoral balance sheet data from SDDS Plus.

6/ Consolidated and nominal value basis using quarterly public sector debt statistics.

Table 5. Japan: Financial Soundness Indicators, 2019-25 1/

	2019	2020	2021	2022	2023	2024	2025
Capital Adequacy and Asset Quality							
Regulatory capital to risk-weighted assets ^{2/3/}	17.2	16.4	16.6	15.4	14.9	16.4	16.7
Regulatory tier 1 capital to risk-weighted assets	15.1	14.3	14.6	13.8	13.4	14.9	15.2
NPL net of provisions/capital ^{2/4/}	4.3	4.8	5.7	6.9	6.1	6.7	5.2
Asset quality							
Non-performing loans (NPL) to total loans ratio ^{2/4/}	1.1	1.1	1.2	1.3	1.2	1.3	1.1
Sectoral distribution of loans ^{4/ 5/}							
Residents	90.5	89.1	...	...	...	...	...
Deposit-takers	5.0	4.6	...	...	...	...	...
Central bank	0.0	2.2	...	...	...	...	...
Other financial corporations	10.2	10.0	...	...	...	...	...
General government	8.4	7.9	...	...	...	...	...
Non-financial corporations	36.4	35.3	...	...	...	...	...
Other domestic sectors	30.6	29.1	...	...	...	...	...
Non-residents	9.5	10.9	...	...	...	...	...
Earnings and Profitability							
Return on assets ^{2/4/}	0.1	-0.1	0.1	0.1	0.2	0.2	0.2
Return on equity ^{2/4/}	2.3	-1.3	3.5	2.6	5.8	4.7	6.2
Interest margin	1.1	1.0	0.9	0.9	1.1	1.2	1.2
Net interest income to gross income ^{2/4/}	70.4	60.3	63.5	69.1	66.6	61.0	70.6
Non-interest expenses to gross income ^{2/4/}	82.7	73.5	70.7	69.8	70.4	66.4	68.3
Personnel expenses to non-interest expenses ^{2/4/}	43.7	43.0	42.9	42.7	43.8	44.6	44.0
Liquidity							
Liquid assets to total assets ^{2/4/}	29.4	29.5	34.4	35.8	33.3	32.5	32.9
Liquid assets to short-term liabilities ^{2/4/}	49.2	47.4	52.6	53.3	50.8	49.3	49.8
Non-interbank loans-to-customer-deposits ^{2/4/}	71.7	71.9	67.8	67.3	68.1	68.5	69.8
Other							
Capital-to-total assets ^{2/3/}	5.2	4.7	4.6	4.3	4.1	4.4	4.3
Gross derivative asset to capital ^{2/4/}	35.2	55.8	43.3	57.1	76.2	81.1	77.2
Gross derivative liability to capital ^{2/4/}	33.7	52.0	42.7	59.9	80.3	87.3	81.2

Sources: IMF, Financial Soundness Indicators (FSI) database.

1/ Data for these series are for Q1 of each year.

2/ Including city banks and regional banks but not shinkin banks.

3/ Aggregated based on a consolidated basis.

4/ Aggregated based on an unconsolidated basis.

5/ Including all deposit-taking institutions in Japan.

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Annex I. External Sector Assessment

Overall Assessment: On a preliminary basis, the external position in 2025 is assessed as broadly in line with the level implied by medium-term fundamentals and desirable policies. The final assessment will be provided in the 2026 External Sector Report. The CA surplus increased to 4.8 percent of GDP in 2025 from 4.5 percent in 2024, reflecting a largely unchanged primary income balance and a comparatively larger shrinking of the trade deficit. The primary income surplus arises from a large positive NIIP and a high rate of return on net foreign assets. Though Japan’s CA surplus is expected to continue over the medium term, it moderates in size, mainly driven by a reduction in its primary income surplus.						
Potential Policy Responses: Policies focused on structural reforms and fiscal sustainability are needed to maintain an external position consistent with medium-term fundamentals and desirable policies. These ‘desirable’ policies will help shift the drivers of the economy to the private sector and raise Japan’s potential growth over the medium term. Priority should be given to labor market policies and fiscal reforms that support robust wage growth, improve mobility of labor, and raise potential growth. Fiscal sustainability will require a credible and specific medium-term fiscal consolidation plan. Industrial policies should be narrowly targeted to specific objectives where externalities or market failures prevent effective market solutions and aim to minimize trade and investment distortions. Japan’s global leadership role to promote more open, stable, and transparent trade policies in regional/multilateral trade agreements should be prioritized.						
Foreign Asset and Liability Position and Trajectory	Background. On a provisional basis, Japan’s NIIP stood at 82 percent of GDP in Q3-2025, unchanged from end-2024 and sharply higher than the pre-pandemic (2016–19) average of 59 percent. This was mainly driven by an increase in net FDI outflows and the positive valuation effects from yen depreciation. Portfolio flows have exhibited swings in the post pandemic period, with inflows in 2022 followed by outflows, before reverting to net inflows again in 2025, thereby resulting in a limited net impact on NIIP. Japan holds one of the world’s largest stock of net foreign assets, valued at \$3.7 trillion in Q3-2025. Major global shocks that lead to sustained movements in the yen would affect the income earned from Japan’s large net foreign asset position, posing two-sided risks to corporate profitability and upcoming wage negotiations. Assessment. Japan’s foreign asset holdings are well diversified, both by geography and risk classes. As of Q3-2025, gross foreign assets largely comprised portfolio investment accounting for about 43 percent of the total, followed by FDI with 21 percent. Of that portfolio investment, about 19 percent was yen denominated and 60 percent was dollar denominated. A large yen appreciation against the dollar poses the risk of negative valuation effects. Vulnerabilities associated with liabilities are contained, given that equity and direct investment account for about 37 percent of gross foreign liabilities. The NIIP is projected to generate a net annual investment income return of about 7.5 percent in 2025, larger than the pre-pandemic historical (2015–19) average of 6.3 percent. The improved return is partly driven by the increasing share of FDI in external assets, which has a higher average return than other components. Japan’s large positive NIIP is partly related to the asset accumulation for old-age consumption; a gradual decumulation of such assets is expected over the long term.					
Q3-2025 (% GDP)	NIIP: 82	Gross Assets: 259	Debt Assets: 85	Gross Liab.: 177	Debt Liab.: 101	
Current Account	Background. Japan’s CA surplus mainly reflects a large income balance owing to its large net foreign asset position. The CA surplus increased to 4.8 percent of GDP in 2025 from 4.5 percent in 2024. The income balance was unchanged in 2025 at 6.3 percent of GDP from 2024. The goods trade deficit declined to -0.1 percent of GDP from -0.6 percent last year, with front loading of both exports and imports in the first half of the year, given the significant trade policy changes announced by the US starting in April. A moderation in the post-COVID surge in imported fuel cost helped improve the trade balance. The services balance remained broadly unchanged in 2025. In the medium term, the CA balance is projected to be 4.2 percent, below current levels, partly reflecting a moderation in the high return on net foreign asset seen in recent years. From a savings-investment balance perspective, the change between 2025 and 2024 is attributable to an increase in public savings. The projected medium-term decline of the CA surplus is largely reflective of the expected decline in public savings. Assessment. 2025 cyclically adjusted CA is 4.9 percent of GDP, and the cyclically adjusted CA norm is 4.9 percent of GDP (with a range between 3.7 and 6.1 percent of GDP). The 2025 CA gap midpoint is assessed at 0 percent of GDP, with a range between –1.2 and 1.2 percent of GDP. The EBA-identified policy gaps reflect a positive credit gap,¹ though it has been shrinking steadily over the years. The fiscal consolidation in 2025 relative to 2024, which is consistent with last year’s recommendation, has closed the fiscal policy gap from last year. The unexplained residual of the assessment potentially reflects structural impediments and country-specific factors not included in the model, such as investment bottlenecks, including entrepreneurship entry barriers and corporate savings distortions.					
2025 (% GDP)	CA: 4.8	Cycl. Adj. CA: 4.9	EBA Norm: 4.9	EBA Gap: 0.0	Staff Adjustors: 0.0	Staff Gap: 0.0
Real Exchange Rate	Background. The REER appreciation that started in the second half of 2024 continued into the first half of 2025, reflecting in part the broad dollar depreciation against major currencies during the first half of 2025. However, this was more than offset by the depreciation that followed in the second half of 2025. This pattern largely reflects the changes in yen’s nominal value against major currencies, diverging from the trend of narrowing interest rate differentials in the second half of 2025. Assessment. The IMF staff CA gap implies a REER gap of 0.1 percent in 2025 (with an estimated elasticity of 0.18 applied). The EBA REER index and level models deliver gaps of –36.4 and –32.1 percent, respectively. Consistent with the IMF staff CA gap, the REER gap is assessed to be in the range of -6.7 to 6.7 percent, with a midpoint of 0.1 percent.					
Capital and Financial Accounts: Flows and Policy Measures	Background. The financial account recorded net outflows in 2025, mirroring the CA surplus, and increased to 4.6 percent of GDP in 2025 from 4.0 percent in 2024. Net FDI outflows of 3.9 percent of GDP are primarily driven by outward FDI flows to Asia, Europe, and North America. Portfolio investment is expected to record net inflows of 2.4 percent of GDP, as opposed to net outflows of 2.2 percent in 2024. This reflects substantial net inflow into domestic securities, with large debt inflows following the U.S. tariff announcement in April and large equity inflows after the LDP presidential election in October. Assessment. Vulnerabilities are limited. Inward investment tends to be equity based, and the home bias of Japanese investors is strong. So far, outward spillovers from Japan’s policies to financial conditions in other economies (interest rates, credit growth) are contained.					
FX Intervention and Reserves Level	Background. Reflecting legacy accumulation, reserves stood at \$1.3 trillion, or about 30 percent of GDP, in Q3-2025. This amount was little changed since end-2024. Assessment. The exchange rate is free floating, FX interventions have not occurred in 2025. FX interventions should be isolated and limited to addressing disorderly market conditions.					
¹ The optimal value (P*) for the credit-to-GDP gap in the medium-term has been reduced to zero.						

Annex II. Risk Assessment Matrix¹

Source of Risk and Main Impacts	Likelihood	Source	Expected Impact	Recommended Policy Actions
Geopolitical Tensions and Intensification of Conflicts. Rising geopolitical tensions, and a weakening of multilateralism, raise the risk of an escalation in military conflicts, accompanied by damage to key physical and financial infrastructure, disruptions in major transit routes and supply chains, higher migration pressures, additional financial frictions and market volatility.	High	External	High	→ Continue to enhance supply chain resilience. BOJ to carefully monitor inflationary pressures from geopolitical shocks and adjust monetary policy as needed to keep inflation expectations anchored. Fiscal policy should cushion vulnerable households and firms when needed.
Escalating Protectionism and Trade Disruptions. Tariff and nontariff measures disrupt global supply chains, weighing on activity while increasing inflation. Trade diversion triggers broader protectionism.	High	External	High	→ Pursue policies to enhance supply chain resilience. BOJ to carefully monitor effects of weaker external demand and rising cost pressures from trade restrictions and depreciation and respond as appropriate to achieve its inflation target.
Commodity price volatility. Supply and demand imbalances—triggered by geopolitical tensions, coordinated production decisions, shifts in investor preferences, or structural changes in demand—fuel commodity price swings, amplifying external and fiscal pressures, social unrest, and macro instability.	High	External	Medium	→ Allow pass-through of commodity prices while mitigating the impact on the most vulnerable with targeted policies and monitoring second-round effects to ensure inflation expectations do not de-anchor.
Disorderly AI Correction. An abrupt revision in expectations of strong AI-led productivity gains causes a sharp market correction, investment decline, and wealth loss, which suppress demand and tighten financial conditions globally.	High	External	High	→ BOJ to adjust monetary policy in line with achieving its inflation target and strengthen macroprudential buffers to reduce stress on domestic banks. Provide temporary and targeted support to affected financial institutions if needed, with safeguards to mitigate moral hazard.
Fiscal Vulnerabilities and Higher Interest Rates. Higher public debt and deficit levels put further upward pressure on long-term interest rates, sharply tightening global financial conditions, amplifying currency volatility, and reducing consumption and investment that exacerbate adverse debt dynamics. Disruptions are amplified by increased role of price-sensitive investors and leveraged NBFIs in sovereign debt markets, limited market absorption	High	External	High	→ Provide temporary and targeted support to affected financial institutions, with safeguards to mitigate moral hazard, while advancing credible medium-term fiscal consolidation to reduce fiscal vulnerabilities and contain upward pressure on long-term interest rates.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline. Likelihood reflects staff's subjective assessment: "low" (below 10 percent), "medium" (10-30 percent), and "high" (30-50 percent). The RAM captures staff views on the source of risks and overall concern as of the time of discussions with the authorities.

Source of Risk and Main Impacts	Likelihood	Source	Expected Impact	Recommended Policy Actions
capacity when NBFIs offload debt securities, higher roll-over needs on shorter sovereign debt maturities, and strong sovereign-financial nexus. Concurrently, capital outflows from emerging and developing economies elicit a sharp increase in short-term rates.				
Cyberthreats. Cyberattacks on physical or digital infrastructure, technical failures, or misuse of AI technologies could trigger financial and economic instability.	High	External	High	→ Take pre-emptive measures to prevent cyberattacks and do contingent planning to build resilience if there is an attack.
Climate Change. Extreme climate events and rising temperatures could cause loss of life, damage to infrastructure, food insecurity, supply disruptions, and heighten economic and financial instability.	Medium	External	High	→ Strengthen climate adaptation and mitigation efforts and provide targeted relief to affected households.
Labor shortages constrain activity. Insufficient immigration and a slowing of the rise in labor force participation leads to persistent labor shortages constraining investment and growth.	Medium	Domestic	Medium	→ Strengthen policies to further support female labor force participation, improve visa access and promote other supportive policies for migrant workers.
Consumption recovery is not sustained. Last year's real wage gains faded, with real wage growth remaining subdued. Weak consumer confidence and high uncertainty are accompanied by stagnating real consumption.	Medium	Domestic	Medium	→ Targeted fiscal measures and monetary easing to support domestic demand, complemented by structural reforms—such as measures to improve labor mobility and strengthen wage-setting mechanisms—to sustain real wage growth.
Bond market stress from a reassessment of sovereign risk. An increase in the sovereign risk premium would worsen public debt dynamics and cause distress in the financial sector.	Medium	Domestic	High	→ Adopt a credible medium-term fiscal consolidation to put debt on a downward path.

Annex III. Sovereign Risk and Debt Sustainability Analysis

Public debt is projected to gradually decline over the next decade, reflecting favorable interest-growth dynamics driven in part by higher inflation. Over the long term, debt is projected to rise due to spending pressures from an aging population and increased debt servicing costs. Gross financing needs are elevated, but the risks of debt distress are moderate, as rollover risks are mitigated by the large domestic investor base and the debt profile. A credible medium-term fiscal adjustment is needed to keep public debt firmly on a downward path.

1. **Background.** Japan's economy has displayed resilience amid a series of global shocks. Headline inflation has reached levels not seen in three decades, with prices growing faster than the BOJ's 2-percent target for more than three years. After exceptional fiscal support in response to COVID-19 and the spillovers from the war in Ukraine, fiscal policy has tightened, leaving the 2025 primary deficit smaller than its pre-pandemic level and among the lowest in the G7. At the same time, elevated global interest rates, the normalization of domestic monetary policy, and rising perceptions of fiscal risk have pushed up sovereign borrowing costs, with 10-year JGB yields increasing by about 100 basis points in 2025 to around 2.1 percent. The yen-dollar exchange rate had generally tracked the US-Japan yield differential in recent years, but has consistently decoupled since mid-2025. From early 2025 through the end of June, the yen-dollar exchange rate appreciated by as much as 9 percent, reflecting broad dollar depreciation across major currencies. Since then, while other major currencies have broadly held their value against the dollar, the yen has steadily depreciated despite the 10-year yield differential narrowing by over 100 bps to its lowest level since early 2022.
2. **Baseline.** Under the baseline—which incorporates the 2025 supplementary budget and assumes the continuation of the practice of supplementary budgets in subsequent years—the primary deficit is projected to worsen in 2026 and continue deteriorating thereafter, driven mainly by age-related spending pressures and higher borrowing costs. While the near- and medium-term debt dynamics are favorable, supported by strong GDP growth and inflation at the BOJ's 2-percent target, which generate a favorable interest-growth differential, the public debt trajectory is projected to worsen over the longer term. Gross public debt is projected to fall from 215 percent of GDP in 2024 to 191 percent of GDP in 2034, before rising subsequently.¹
3. **Realism.** Historical outcomes point to some pessimism in staff's projections for the primary deficit and public debt; however, this is explained by the unwinding of exceptional support measures after the pandemic, sharp rise in inflation and its unexpected persistence, and strong growth in recent years. The recent rapid reduction of the debt-to-GDP ratio, caused by still low effective borrowing costs amid high inflation and the reduction in the post-pandemic fiscal deficit, were exceptional circumstances of the last few years. While the projected 3-year debt reduction marginally exceeds the maximum historical 3-year reduction in public debt, it remains less than the

¹ See Annex VII for details on the changes in the definition of debt applied in this report with respect to the last SRDSF.

debt reduction achieved over the three years prior to 2025Q3 (which is not yet included in the historical assessment of the realism tool).

4. Risks and mitigating factors. High and persistent debt levels, together with a deteriorating primary balance that hinders the rebuilding of fiscal buffers under the baseline, leave Japan's economy exposed to a range of shocks. The debt-to-GDP ratio could rise sharply if growth slumps and could increase gradually, but persistently, if interest rates exceed staff's projections. However, several factors mitigate the risks to debt sustainability. Japan's public debt has a long average maturity, which limits the pass-through from higher yields to effective interest rates, and a large domestic investor base. Moreover, the general government debt is denominated in yen—a major reserve currency—which reduces rollover and currency risks. The general government also holds a large stock of financial assets—70 percent of GDP as of 2025Q3, or 118 percent of GDP when equity holdings are included—bringing net debt to 137 percent of GDP and providing an additional buffer against long-term fiscal risks. However, it is important to note that most general government financial assets are encumbered and managed by agencies with operational independence. The Japanese legal framework limits the government's ability to use these assets to finance general expenditures, particularly in the short term.

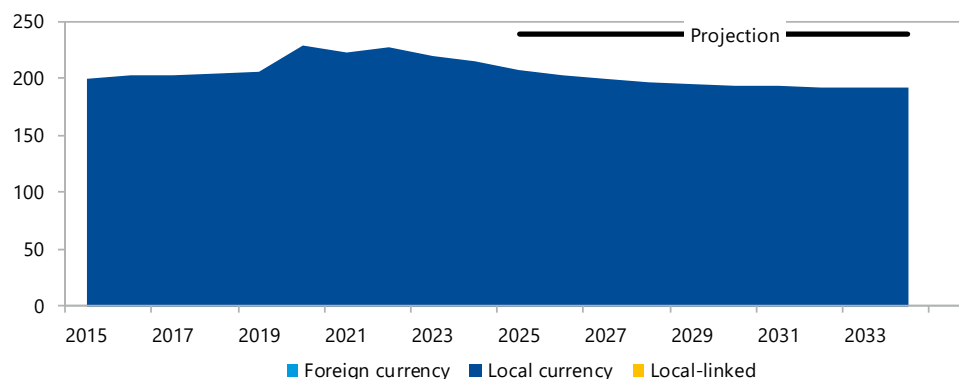
5. Long-term risks. Japan's aging population will place increasing pressure on GFN and debt over the long term, particularly if healthcare costs rise faster than anticipated. While these risks remain manageable, given their long horizon, they underscore the need for credible medium-term fiscal consolidation. They also reinforce the importance of structural reforms to contain age-related spending and policies to raise labor force participation. Overall, the long-term risks are broadly unchanged from the 2025 Article IV assessment.

Figure 1. Japan: Risk of Sovereign Stress

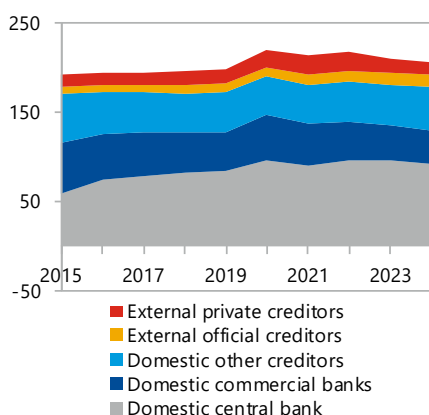
Horizon	Mechanical signal	Final assessment	Comments
Overall	...	Moderate	Staff's assessment of the overall risk of sovereign stress is moderate against a mechanical signal of moderate risk in the medium-term. The overall moderate risk of sovereign stress reflects Japan's domestic investor base, home bias, and public debt with long maturity and denominated in local currency which acts as reserve currency.
Near term 1/			
Medium term	Moderate	Moderate	Staff's assessment of medium-term risk of sovereign stress is moderate against a mechanical signal of moderate. The fanchart produces a mechanical signal of high due to elevated debt level at the end of the projection horizon and historically lower nominal GDP growth relative to the projected nominal growth rates. Risks are mitigated by the large domestic investor base, debt profile, and Japan acting as a global reserve currency issuer.
Fanchart	High	...	
GFN	Moderate	...	
Stress test		...	
Long term	...	Moderate	Long-term risks are moderate as aging-related expenditures on health and social security slowly feed into debt dynamics. Risks are partially mitigated by the general government's large holdings of financial assets, though most are encumbered and managed by agencies with operational independence.
Sustainability assessment 2/	Not required for surveillance countries	Not required for surveillance countries	Not required
Debt stabilization in the baseline			Yes
DSA Summary Assessment			
Commentary: Japan is at a moderate overall risk of sovereign stress. Under current policies, debt is projected to decrease over the next few years due to favorable growth and real interest rate dynamics but will not stabilize thereafter, with the increase driven by a less favorable interest growth-differential and by age-related spending pressures. The primary deficit is projected to worsen sharply in 2026 and continue deteriorating thereafter, as age-related spending pressures weigh on the primary deficit. Although sovereign stress risks according to mechanical signals are high in the medium term, they are mitigated by a large domestic investor base, a favorable debt profile, and Japan acting as a global reserve currency issuer. In addition, the general government also holds substantial financial assets that partially mitigate the risks to debt sustainability. However, it is important to note that most general government financial assets are encumbered and managed by agencies with operational independence.			
Source: Fund staff.			
Note: The risk of sovereign stress is a broader concept than debt sustainability. Unsustainable debt can only be resolved through exceptional measures (such as debt restructuring). In contrast, a sovereign can face stress without its debt necessarily being unsustainable, and there can be various measures—that do not involve a debt restructuring—to remedy such a situation, such as fiscal adjustment and new financing.			
1/ The near-term assessment is not applicable in cases where there is a disbursing IMF arrangement. In surveillance-only cases or in cases with precautionary IMF arrangements, the near-term assessment is performed but not published.			
2/ A debt sustainability assessment is optional for surveillance-only cases and mandatory in cases where there is a Fund arrangement. The mechanical signal of the debt sustainability assessment is deleted before publication. In surveillance-only cases or cases with IMF arrangements with normal access, the qualifier indicating probability of sustainable debt ("with high probability" or "but not with high probability") is deleted before publication.			

Figure 2. Japan: Debt Coverage and Disclosures

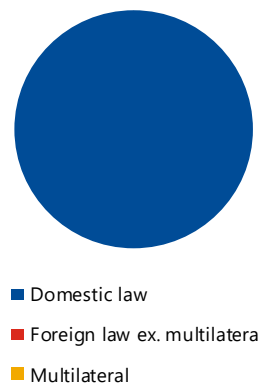
										Comments									
1. Debt coverage in the DSA: 1/										CG	GG	NFPS	CPS	Other					
1a. If central government, are non-central government entities insignificant?															n.a.				
2. Subsectors included in the chosen coverage in (1) above:																			
Subsectors captured in the baseline										Inclusion									
CPS	NFPS	GG: expected	CG	1	Budgetary central government						Yes	Not applicable							
				2	Extra budgetary funds (EBFs)						No								
				3	Social security funds (SSFs)						Yes								
				4	State governments						Yes								
				5	Local governments						Yes								
				6	Public nonfinancial corporations						No								
				7	Central bank						No								
				8	Other public financial corporations						No								
3. Instrument coverage:										Currency & deposits	Loans	Debt securities	Oth acct. payable 2/	IPSGSs 3/					
4. Accounting principles:										Basis of recording		Valuation of debt stock							
										Non-cash basis 4/	Cash basis	Nominal value 5/	Face value 6/	Market value 7/					
5. Debt consolidation across sectors:										Consolidated		Non-consolidated							
Color code: ■ chosen coverage ■ Missing from recommended coverage ■ Not applicable																			
Reporting on Intra-Government Debt Holdings																			
Issuer										Holder	Budget. central govt	Extra-budget. funds (EBFs)	Social security funds (SSFs)	State govt.	Local govt.	Nonfin. pub. corp.	Central bank	Oth. pub. fin corp	Total
CPS	NFPS	GG: expected	CG	1	Budget. central govt												0		
				2	Extra-budget. funds												0		
				3	Social security funds												0		
				4	State govt.												0		
				5	Local govt.												0		
				6	Nonfin pub. corp.												0		
				7	Central bank												0		
				8	Oth. pub. fin. corp												0		
Total					0	0	0	0	0	0	0	0	0	0	0	0			
1/ CG=Central government; GG=General government; NFPS=Nonfinancial public sector; PS=Public sector.																			
2/ Stock of arrears could be used as a proxy in the absence of accrual data on other accounts payable.																			
3/ Insurance, Pension, and Standardized Guarantee Schemes, typically including government employee pension liabilities.																			
4/ Includes accrual recording, commitment basis, due for payment, etc.																			
5/ Nominal value at any moment in time is the amount the debtor owes to the creditor. It reflects the value of the instrument at creation and subsequent economic flows (such as transactions, exchange rate, and other valuation changes other than market price changes, and other volume changes).																			
6/ The face value of a debt instrument is the undiscounted amount of principal to be paid at (or before) maturity.																			
7/ Market value of debt instruments is the value as if they were acquired in market transactions on the balance sheet reporting date (reference date). Only traded debt securities have observed market values.																			
Commentary: Debt coverage is general government. While gross debt is the main indicator, net debt is also important in Japan, given the large financial assets held by the government. It should be noted, however, that not all the financial assets are available to meet debt obligations. The holdings include, for example, social security assets for future obligations.																			

Figure 3. Japan: Public Debt Structure Indicators**Debt by Currency (Percent of GDP)**

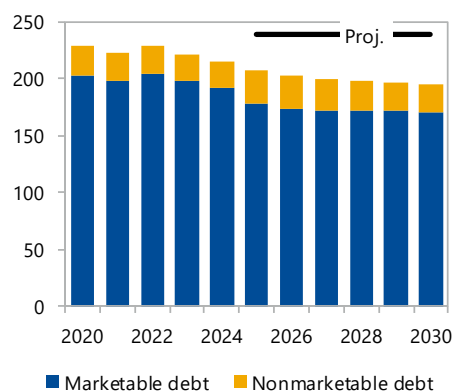
Note: The perimeter shown is general government.

Public Debt by Holder (Percent of GDP)

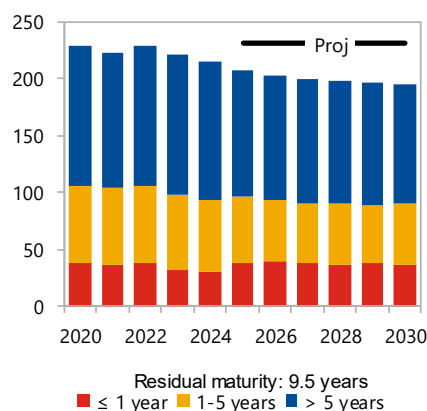
Note: The perimeter shown is general government.

Public Debt by Governing Law, 2024 (Percent)

Note: The perimeter shown is general government.

Debt by Instruments (Percent of GDP)

Note: The perimeter shown is general government.

Public Debt by Maturity (Percent of GDP)

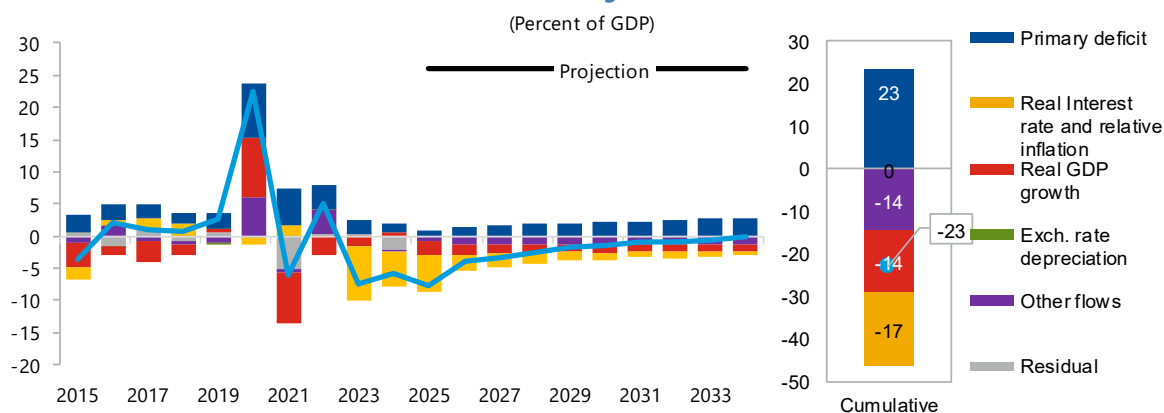
Note: The perimeter shown is general government.

Commentary: Domestic creditors held 87 percent of public debt in 2024. The Bank of Japan increased significantly over the last decade from 12 percent in 2012 to 45 percent in 2024. All public debt is governed by domestic law. Debt is mostly long term, with an average residual maturity above 9 years.

Figure 4. Japan: Baseline Scenario

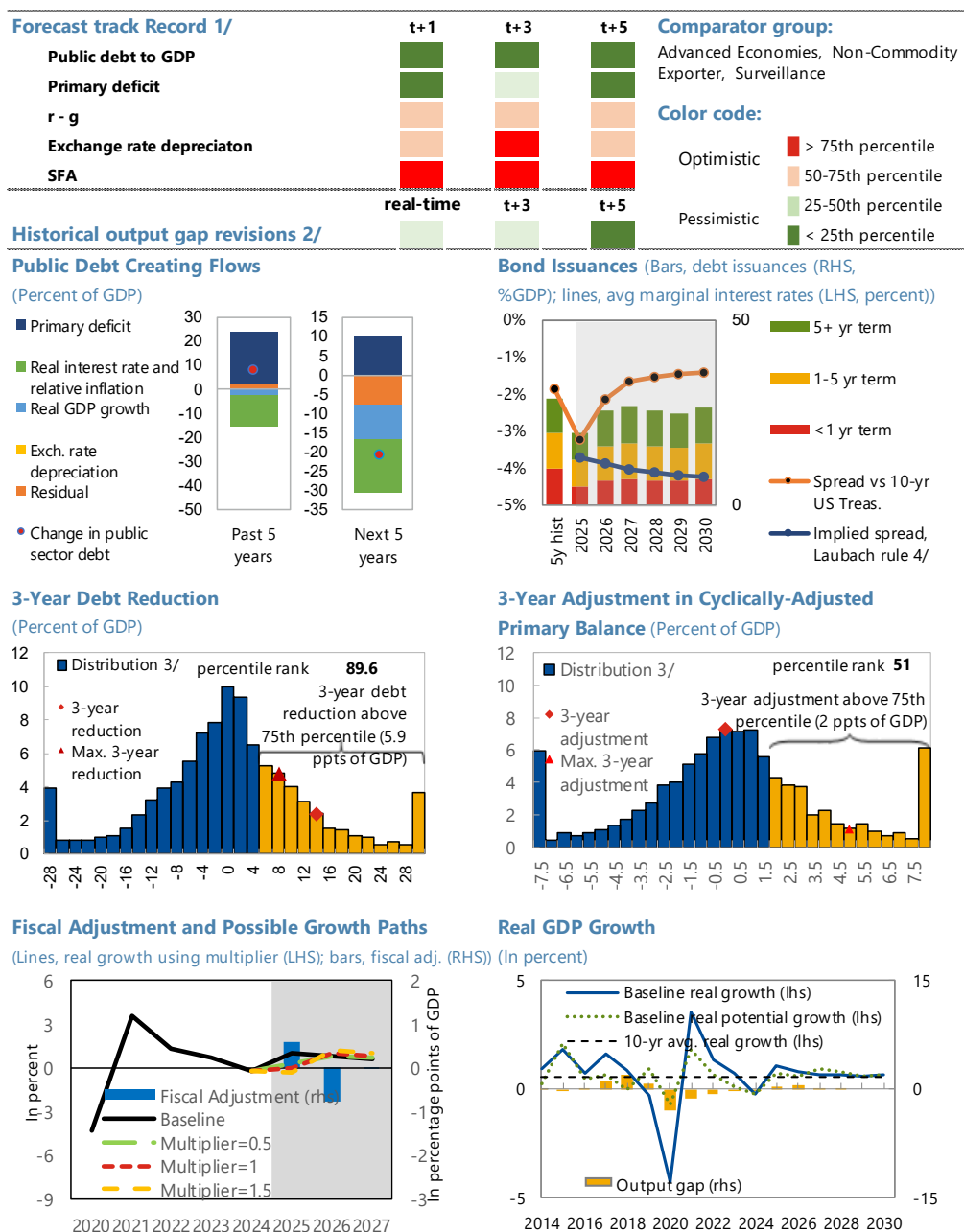
(Percent of GDP, unless otherwise indicated)

	Actual	Medium-term projection						Extended projection			
	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Public debt	214.5	206.8	202.9	199.6	197.2	195.5	194.0	193.1	192.2	191.6	191.5
Change in public debt	-5.8	-7.7	-3.9	-3.3	-2.4	-1.7	-1.5	-0.9	-1.0	-0.5	-0.2
Contribution of identified flows	-3.8	-7.7	-3.9	-3.3	-2.4	-1.7	-1.5	-0.9	-1.0	-0.5	-0.2
Primary deficit	1.6	0.9	1.5	1.7	1.9	2.0	2.2	2.3	2.5	2.7	2.8
Noninterest revenues	34.3	34.5	34.1	34.1	34.0	34.0	34.0	34.0	34.0	34.0	34.0
Noninterest expenditures	35.9	35.3	35.7	35.8	35.9	36.0	36.1	36.3	36.5	36.7	36.8
Automatic debt dynamics	-4.9	-7.7	-4.1	-3.6	-2.9	-2.4	-2.3	-1.8	-2.1	-1.8	-1.6
Real interest rate and relative inflat	-5.4	-5.5	-2.4	-2.3	-1.6	-1.3	-1.1	-0.7	-1.0	-0.8	-0.5
Real interest rate	-5.4	-5.5	-2.4	-2.3	-1.6	-1.3	-1.1	-0.7	-1.0	-0.8	-0.5
Relative inflation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Real growth rate	0.5	-2.3	-1.7	-1.3	-1.3	-1.1	-1.2	-1.1	-1.1	-1.1	-1.1
Real exchange rate	0.0	...	...	...	...	...	...	...	...	...	...
Other identified flows	-0.5	-0.8	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(minus) Interest Revenues	-1.3	-1.3	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4	-1.4
Other transactions	0.9	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Contribution of residual	-2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Gross financing needs	31.8	29.4	39.0	40.9	39.1	37.9	40.6	39.6	39.9	40.7	40.1
of which: debt service	31.6	29.8	38.9	40.6	38.6	37.2	39.8	38.7	38.8	39.4	38.6
Local currency	31.6	29.8	38.9	40.6	38.6	37.2	39.8	38.7	38.8	39.4	38.6
Foreign currency	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memo:											
Real GDP growth (percent)	-0.2	1.1	0.8	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Inflation (GDP deflator; percent)	3.2	3.4	2.0	2.2	2.1	2.0	2.1	2.0	2.3	2.3	2.3
Nominal GDP growth (percent)	3.0	4.5	2.9	2.9	2.7	2.6	2.7	2.6	2.9	2.9	2.9
Effective interest rate (percent)	0.7	0.7	0.8	1.0	1.2	1.4	1.5	1.7	1.8	1.9	2.0

Contribution to Change in Public Debt

Commentary: Public debt will fall over the medium term following strong growth and negative real interest rates. However, in the long run it will increase reflecting a primary deficit that is higher than the debt stabilizing level starting in the mid-2030s.

Figure 5. Japan: Realism of Baseline Assumptions



Commentary: The realism analysis shows a large median forecast error for medium-term primary deficit and public debt projections, suggesting a pessimistic bias. However, this is explained by the unwinding of exceptional support measures after the pandemic and sharp rise in inflation. The large change in public debt creating flows is driven by the large changes in inflation and growth. While the projected 3-year debt reduction marginally exceeds the maximum historical 3-year reduction in public debt, it remains less than the debt reduction achieved over the three years prior to 2025Q3.

Source : IMF Staff.

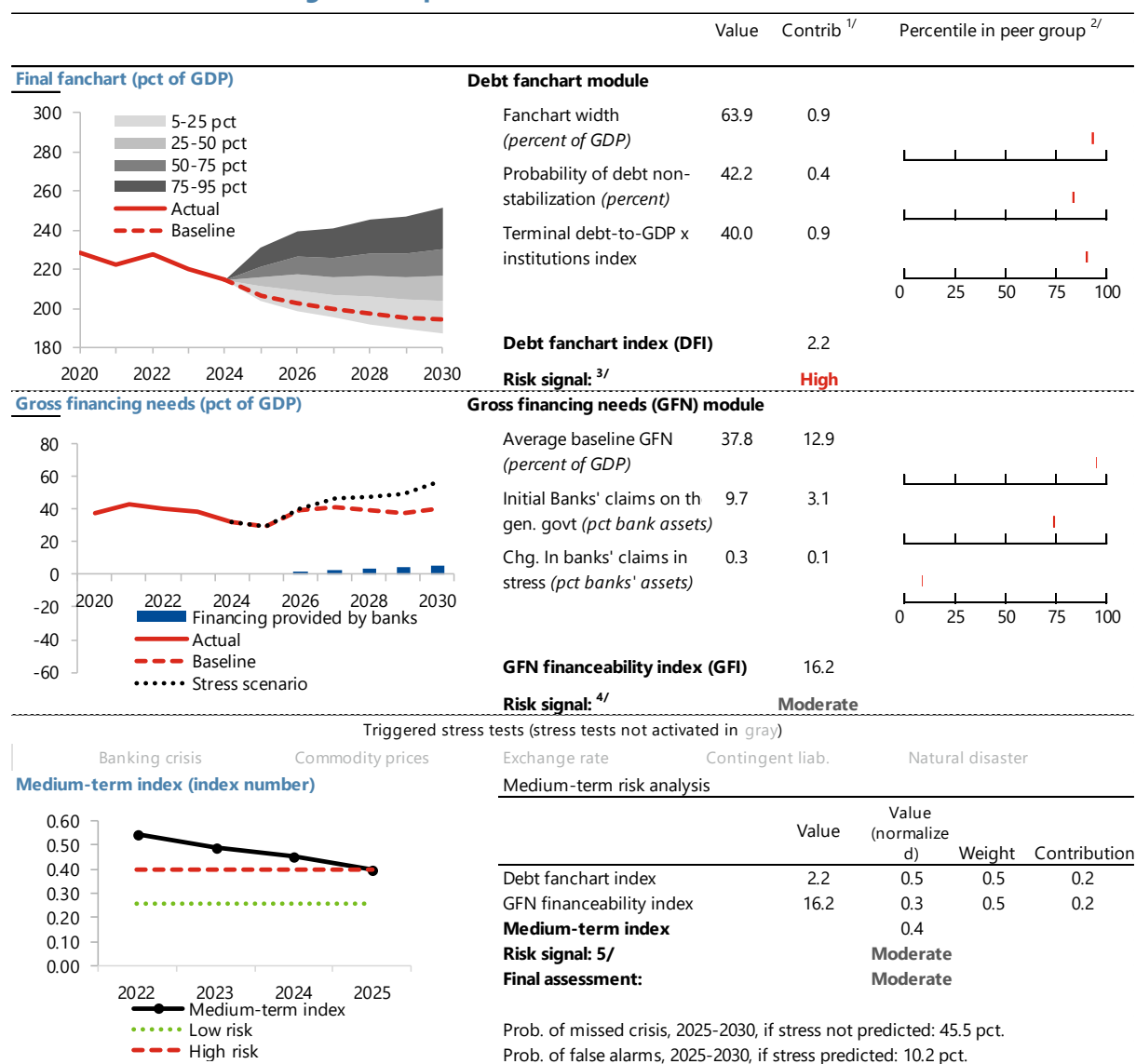
1/ Projections made in the October and April WEO vintage.

2/ Calculated as the percentile rank of the country's output gap revisions (defined as the difference between real time/period ahead estimates

3/ Data cover annual observations from 1990 to 2019 for MAC advanced and emerging economies. Percent of sample on vertical axis.

4/ The Laubach (2009) rule is a linear rule assuming bond spreads increase by about 4 bps in response to a 1 ppt increase in the projected debt-to-GDP ratio.

Figure 6. Japan: Medium-term Risk Assessment



Commentary: The Debt Fanchart points to high risk, while the GFN Financeability Module points to moderate risk. For the fanchart, this reflects debt levels that are high even when adjusted by institutional quality and historically lower nominal GDP growth relative to the projected nominal growth rates. Compared to the previous assessment, the financing risk is moderate due to relatively lower average GFNs.

Source: IMF staff estimates and projections.

1/ See Annex IV of IMF, 2022, Staff Guidance Note on the Sovereign Risk and Debt Sustainability Framework for details on index calculation.

2/ The comparison group is advanced economies, non-commodity exporter, surveillance.

3/ The signal is low risk if the DFI is below 1.13; high risk if the DFI is above 2.08; and otherwise, it is moderate risk.

4/ The signal is low risk if the GFI is below 7.6; high risk if the DFI is above 17.9; and otherwise, it is moderate risk.

5/ The signal is low risk if the GFI is below 0.26; high risk if the DFI is above 0.40; and otherwise, it is moderate risk.

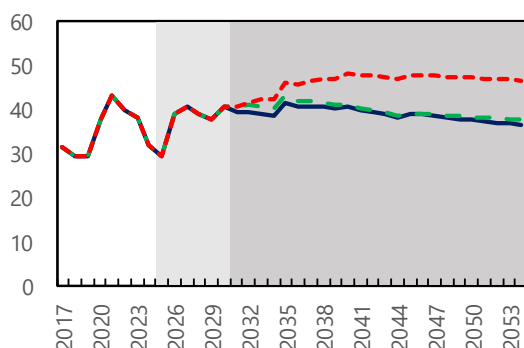
Figure 7. Japan: Triggered Modules

Large amortizations	Pensions	Climate change: Adaptation	Natural Resources
	Health	Climate change: Mitigation	

Japan: Long-Term Risk Assessment: Large Amortization

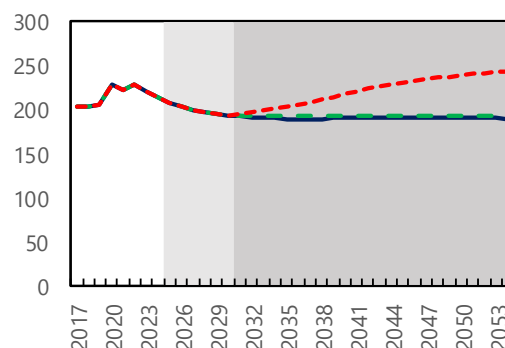
Projection	Variable	Risk Indication
Medium-term extrapolation	GFN-to-GDP ratio	■
	Amortization-to-GDP ratio	■
	Amortization	■
Medium-term extrapolation with debt stabilizing primary balance	GFN-to-GDP ratio	■
	Amortization-to-GDP ratio	■
	Amortization	■
Historical average assumptions	GFN-to-GDP ratio	■
	Amortization-to-GDP ratio	■
	Amortization	■
Overall Risk Indication		■

GFN-to-GDP ratio



■ Long run projection
 ■ Projection
 ■ Baseline with t+5
 ■ Baseline with t+5 and DSPB
 ■ Historical 10-year average

Total public debt-to-GDP ratio



■ Long run projection
 ■ Projection
 ■ Baseline with t+5
 ■ Baseline with t+5 and DSPB
 ■ Historical 10-year average

Commentary: Due to the high level of debt to GDP and thus the large levels of amortization and roll over this entails, longer term risks are significantly affected by large amortizations. This is especially relevant as interest rates on debt rise to levels not seen in the past two decades. Despite Japan facing significant long-term pressures from an aging population, those pressures are partially mitigated by significant pension system assets, amounting to 43 percent of GDP in 2025, and automatic adjustment of pension benefits following the 2004 pension reforms, which help align benefits with demographic and economic developments and support the system's long-term sustainability.

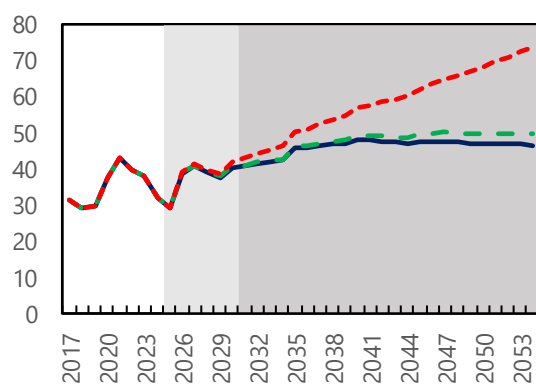
Figure 8. Japan: Demographics – Pensions

Permanent adjustment needed in the pension system to keep pension assets positive for:	30 years	50 years	Until 2100
(pp of GDP per year)	0.0%	0.0%	0.0%

Commentary: Japan faces significant long-term pressures from an aging population however those pressures are partially mitigated by significant pension system assets, amounting to 43 percent of GDP in 2025, and automatic adjustment of pension benefits following the 2004 pension reforms, which help align benefits with demographic and economic developments and support the system's long-term sustainability.

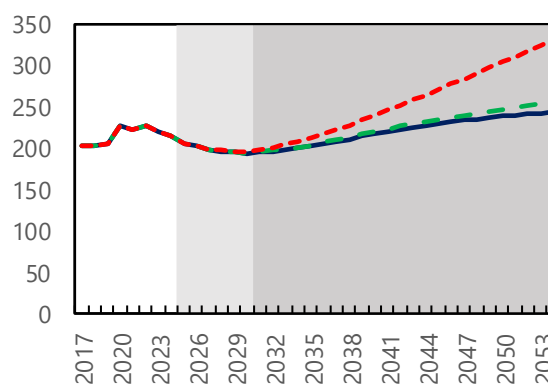
Figure 9. Japan: Demographics – Health

GFN-to-GDP ratio



— Baseline: 10-year historical average
 - - - Health (Demographics)
 - - - Health (Demographics + ECG)

Total public debt-to-GDP ratio



— Baseline: 10-year historical average
 - - - Health (Demographics)
 - - - Health (Demographics + ECG)

Commentary: Japan's demographics are set to push up already high GFN in the long term. Should additional excess cost growth (ECG) occur at the standard 1.4 percent, GFN would be about 25 pp higher by 2054.

Annex IV. Progress on Past Recommendations

Previous Article IV Policy Recommendations	Actions Taken
A clear consolidation plan is needed even in the near term to offset rising fiscal pressures, ensure debt sustainability, and increase fiscal space. Staff recommend additional 0.2 percent of GDP fiscal consolidation in 2025, which can be realized by ending energy subsidies while leveraging the FY2025 primary balance target as a fiscal anchor.	While no comprehensive consolidation plan has been introduced, the primary deficit is projected to have narrowed to 0.9 percent of GDP in 2025. The improvement, which is an overperformance relative to staff recommendations, reflects strong revenues that were supported by buoyant tax collection and spending restraint. The energy subsidies have been extended through the beginning of 2026.
Reserve the use of supplementary budgets for exceptional circumstances (such as responding to large, unexpected shocks that overwhelm automatic stabilizers).	The government announced a supplementary budget for FY2025 that exceeds the size of last year's supplementary budget, without adequate justification that exceptional circumstances warranted the additional outlays.
If the baseline inflation forecast bears out, the BOJ should continue to gradually raise the policy rate.	The BOJ raised the policy rate from 0.25 to 0.5 percent in January 2025; and to 0.75 percent in December 2025. It has expressed its intention to continue gradual rate hikes if its baseline forecast materializes.
Labor markets: • Further supporting women's labor force participation: expanding childcare facilities and resources, facilitating fathers' contribution to home/childcare, and further encouraging the use of flexible working arrangements. • Leverage AI and minimize displacement: Training programs on IT and AI-related skills, improving labor market mobility and reducing barriers to job, subsidized occupation-oriented on-the-job training programs could help reskill and upskill workers. • Attracting foreign workers to help alleviate labor shortages.	• <i>Tomoiku Project</i> is a public awareness initiative designed to promote dual-income families and shared parenting. It aims to entrench dual employment and shared parenting by introducing and promoting measures to encourage men to take childcare leave and to realize flexible work styles. FY 2025 budget allocation of JPY 130,000,000. • Support measures for re-skilling implemented by MHLW include: (i) free training for the unemployed and training that employers can have their employees attend; (ii) part of the tuition is subsidized by the ministry when an employee completes a course; and (iii) subsidies to employers covering training expenses and part of wages for employees undertaking vocational training.
Address risks of transnational aspects of corruption, including implementing the OECD Phase 4 recommendations and requiring all companies created in Japan to file the necessary information with the beneficial ownership registry introduced in 2022.	Japan is continuing its efforts to address those risks. The 2025 amendments to further enhance whistleblower protection from disadvantageous treatment by business operators will take effect in December 2026. Several trainings on foreign bribery enforcement for prosecutors and police officers have been conducted. International cooperation has been strengthened through the authorities' various initiatives and partnerships. The AML/CFT/CPF Action Plan sets out planned measures through the end of March 2027. The authorities should continue to implement measures in the Action Plan to improve and increase the effectiveness of the Beneficial Ownership (BO) framework and ensure reporting entities are complying with requirements to hold adequate, accurate, and up-to-date BO information.

Annex V. Progress on Recommendations from 2024 FSAP

Recommendations	Timeline ¹	Implementation Status
Cross-Cutting Issue		
Increase staffing resources significantly and strengthen skills to enhance the supervision and resolution of financial institutions and the supervision of cybersecurity risks (Government, FSA; ¶66-67, ¶83).	ST	- The FSA has allocated additional resources to enhance on-site monitoring of investment funds, banking supervision, resolution processes, and cybersecurity. Resources have been reallocated for a senior position in insurance supervision, with further restructuring under deliberation. - The FSA continues to provide cross-cutting and comprehensive training in areas such as bank supervision, insurance company supervision, market oversight and digital activities including IT and cyber risk. These initiatives are continuously updated.
Systemic Risk Monitoring and Macroprudential Policy Framework		
Further broaden and deepen systemic risk analysis with more forward-looking and comprehensive monitoring of risks of the financial system and stronger interagency collaboration (FSA, BOJ; ¶68-69).	C	- The FSA has expanded its data collection and systemic risk analysis by incorporating external corporate and market data into its analytical assessment. Insights from data analyses are presented in the "FSA Analytical Notes" series, which highlights case studies and system-wide risk analyses using granular loan-level data. The FSA initiated bottom-up stress tests for major securities firms. - The BOJ has developed a satellite module to assess global CRE market vulnerabilities during periods of stress. The BOJ has improved its credit cost module using granular loan-level data from the Common Data Platform. The BOJ has strengthened monitoring of NBFIs and incorporated implications of their activities into the stress testing. - The FSA and BOJ continue to regularly collaborate on systemic risk analysis through a full-scale data collection via the Common Data Platform launched in March 2025. - The FSA and BOJ, in collaboration with major banks, conducted scenario analysis for climate risk. The FSA conducted climate risk scenario analysis also with non-life insurers and General Insurance Rating Organization of Japan.

Recommendations	Timeline ¹	Implementation Status
Strengthen the governance of interagency decision-making on macroprudential policy by assigning a formal mandate to the CCFS (FSA, BOJ; ¶63).	ST	• The CCFS, as the collegiate to exchange views on financial market developments, continues to operate without a clear, formal mandate. • Under the current framework, CCFS has been held regularly twice each year since 2014. A quarterly liaison meeting complements the CCFS to address potential changes to the CCyB rate and macroprudential measures, with results reported semi-annually. The semi-annual Financial Monitoring Council and periodic working-level meetings continued to be conducted with the aim to strengthen cooperation in various fields related to monitoring, for example, cooperation between inspection and on-site examination, collaboration on off-site monitoring, and enhancement of the data collection framework.
Expand the macroprudential policy toolkit with targeted borrower-based tools (FSA, BOJ; ¶64).	MT	• Targeted borrower-based tools (for example, LTV, loan-to-income, debt-to-income, and/or DSTI caps) have not been implemented in Japan. • Under the current framework, the FSA's macroprudential policy response continues to focus on monitoring risk accumulation across the financial market and specific sectors, while addressing issues through reports, guidance, inspections, and annual or ad hoc reviews on key areas such as LBO and real estate finance to manage excessive exposures. • The FSA, with the BOJ, monitors financial system risks using loan-level data from the Common Data Platform and engages closely with financial institutions to assess risk build-up.
Banking Sector Regulation and Supervision		
Continue to strengthen risk-based supervision and develop the Early Warning System with more forward-looking metrics, especially for credit and liquidity risks (FSA; ¶44).	I	• While the FSA continues efforts to strengthen risk-based supervision with more forward-looking tools, no significant changes have been made to the Early Warning System framework. • The FSA has encouraged banks to take improvement measures through in-depth supervisory dialogues under the framework adopted before 2019. The FSA continues to encourage banks that have breached the threshold of the indicator to take improvement measures through in-depth supervisory dialogues and issues an order for reporting

Recommendations	Timeline ¹	Implementation Status
		based on Article 24 of the Banking Act, if necessary.
Make explicit provision in the law to ensure the priority of financial safety and stability in the mandate of the FSA (Government; ¶45)	ST	While the 2019 "JFSA's Approaches to Prudential Supervision" Discussion Paper states the interdependence of financial stability and effective intermediation, no changes have been made to the FSA's mandate to prioritize financial safety and stability in law.
Provide the FSA with the power to set and adjust individual bank capital ratios above the minimum requirements in response to a bank's risk profile (Government; ¶46).	ST	- The FSA's Pillar 2 powers remain unchanged, lacking authority to set risk-based capital ratios or require capital beyond regulatory minimums. - Under the current framework, the FSA addresses soundness concerns through supervisory discussions under the Early Warning System and may issue orders under Articles 24 or an improvement order under Article 26 of the Banking Act if necessary.
Establish a minimum liquidity requirement for domestic banks (FSA; ¶47).	ST	- Minimum liquidity requirements have not been set for domestic banks in Japan. - The FSA continues to monitor individual banks' liquidity risks through the Early Warning System, designed to identify financial metrics that may signal potential future issues.
Insurance Sector Regulation and Supervision		
Reform the approach to insurance supervision by establishing a comprehensive risk-based, proactive supervisory framework of individual insurers and large intermediaries using regular on-site inspections and off-site monitoring (FSA; ¶50).	ST	- The Insurance Business Act has been amended in May 2025 to require specified large-sized shared non-life insurance agencies, which are assumed to have particularly high risk, to undertake measures such as strengthening internal control systems related to solicitation. - Negotiations with HR authorities are currently in progress to secure additional staffing for insurance supervision, aimed at enhancing oversight capabilities, including the conduct of on-site inspections. - Risk-based initiatives under consideration include revising the Early Warning System to capture broader risks and intensifying monitoring of insurers' management systems, with a focus on areas like profitability and specific insurance types prone to losses, such as corporate fire insurance.
Ensure that suitability requirements apply to all key persons and set explicit and	ST	Deliberations have been conducted to comprehensively apply suitability requirements

Recommendations	Timeline ¹	Implementation Status
comprehensive expectations on the establishment and adequacy of all control functions (FSA; ¶50).		and establish clear expectations for control functions, ensuring alignment with the ICPs. Amendments to the Insurance Business Act introduced suitability requirements for intermediaries to appoint compliance officers and for insurers to designate officers responsible for assessing intermediaries' compliance. Effective March 31, 2026, the FSA plans to introduce suitability requirements for staff verifying ESR calculations and insurance liabilities, alongside independence requirements for ESR-related control functions. Supervisory practices are planned to be enhanced through off-site monitoring, including dialogues with insurers and requests for improvement when compliance issues arise.
Delegate licensing powers to the Commissioner of the FSA and review whether government can provide for increased independence to the FSA to determine its expenditure budget and to finance itself independently (Government, FSA; ¶51).	ST	- No changes have been made in the structure and powers of the FSA, or inter-agency coordination. - The FSA has deliberated how to receive this recommendation on delegating licensing powers to the FSA and enhancing its independence in budget determination, taking note of the governmental structure.
Cyber Resilience and Financial Stability		
Enhance the regulatory framework and supervisory processes for cybersecurity by updating supervisory guidelines, methodologies, and tools (FSA; ¶71).	MT	- In 2024, the FSA issued cybersecurity-related amendments to the "Comprehensive Guidelines for Supervision of Major Banks, etc." and other applicable guidelines across all financial system sub-sectors, along with the "Guidelines on Cybersecurity for the Financial Sector" (collectively referred to as "Guidelines" in this section). Following public consultation, the Guidelines took immediate effect and apply to all supervised financial entities, including FMIs. - The FSA has taken the following actions to implement a structured, risk-based approach to cyber risk supervision and ensure alignment with the Guidelines: i) The Guidelines, along with FSA's responses to comments received during the consultation period, clarify that the Guidelines is applicable on a risk-based manner; ii) The FSA refers to the Guidelines in conducting off-site monitoring and on-site inspections; iii) In

Recommendations	Timeline ¹	Implementation Status
		2025, the FSA has conducted the Cybersecurity-Self Assessment (CSSA) questionnaire. • Draft partial amendments to the "Comprehensive Guidelines for Supervision of Major Banks, etc." and other applicable guidelines to set out measures in 2025 to strengthen authentication requirements for internet transactions and enhance fraud-prevention are under public consultation. • The FSA continues to conduct regularly the Delta Wall cybersecurity exercise. The Delta Wall 2025 exercise included a dedicated scenario for cryptoasset exchange service providers.
Enhance cyber supervision/oversight of financial market infrastructures (FSA, BOJ; ¶71).	ST	• The FSA and BOJ initiated an annual supervisory review of the cybersecurity posture of major FMIs and plan to continue it on a regular basis. This review assesses governance, policies, and practices through discussions with senior management and cybersecurity teams and is expected to be an ongoing process. • The BOJ is enhancing its oversight of cyber resilience by utilizing the CPMI-IOSCO Cyber Guidance to assess cyber risks in overseen FMIs, including those it operates. • The BOJ and FSA continue to collaborate on annual reviews to enhance their supervisory and oversight approach to cyber resilience for jointly supervised and overseen FMIs. The BOJ is enhancing its overseers' expertise through training in cyber risk assessment.
Regulation and Supervision of Investment Funds		
Enhance the onsite supervisory approach by broadening its scope to include more firms, including larger asset managers and self-regulatory organizations (SESC; ¶54).	ST	• The SESC increased risk-based on-site supervisions, with focus on areas where preliminary off-site monitoring identifies risks. • The FSA established a new Asset Management Business Division for off-site monitoring of the asset management industry, coordinating with on-site supervision. • A data collection scheme targeting large investment funds has been introduced and conducted annually to identify liquidity and leverage risks in investment trusts and collective investment schemes following a pilot phase since FY 2023. • The FSA and SESC have increased their staffing resources to strengthen both off-site and on-

Recommendations	Timeline ¹	Implementation Status
		site supervision, for example by creating a senior position dedicated to supervising the asset management industry. As part of the planned merger between the Investment Trusts Association and the Japan Investment Advisers Association to enhance self-regulation, on-site visits are now planned to oversee the new association's organizational structure, business operations, and ensure its self-regulatory capabilities. Planned on-site visits will be done in cooperation with the FSA's Supervisory Bureau's off-site supervision.
Regulation and Supervision of Fintech Industry		
Intensify monitoring of FTSPs and PPI issuers/Consider reviewing regulatory framework to ensure adequate coverage of any new risks (FSA; ¶156).	I / ST	- The June 2025 amendment to the Payment Services Act extends funds transfer requirements to cross-border receiving agent services and diversifies methods for returning users' funds in the event of bankruptcy. The amendment also introduces onshore asset-retention requirements for crypto-asset exchange service providers and greater flexibility in reserve assets management for stablecoins issued in the form of trust-beneficiary rights. - The FSA has coordinated meetings between top management and the Deputy Director-General of the Strategy Development and Management Bureau on management control to improve risk monitoring. - Enhanced oversight and regulations are under consideration covering measures for FTSPs expanding into B-to-B transactions and revisions to supervisory guidelines for stablecoin issuers. - No changes have been made to the current coverage ratio. The FSA continues to monitor the adequacy of PPI coverage, participate in international discussions on financial technology innovation, and engage in dialogues with major FTSPs and PPI issuers.
Climate-related Oversight of Banking and Insurance Sectors		
Develop and publicize a clear plan towards formalizing supervision of climate-related risks in consideration of the work of international bodies (FSA; ¶173).	MT	The FSA established "the Office for Climate-related Financial Risk Monitoring Hub". The office aims to coordinate and conduct climate-related financial risk monitoring in a more systematic and cross-sectoral manner, based on "Supervisory Guidance on Climate-related Risk Management and Client Engagement (July

Recommendations	Timeline ¹	Implementation Status
		2022)", while also considering discussions at international bodies where the FSA is actively engaged. The FSA surveyed major financial institutions on risk management and client engagement and conducted further hearings on climate-related issues and current practices. A report summarizing survey findings was published in 2025; and further hearings are ongoing with a focus on physical risks.
Financial Safety Net and Crisis Preparedness		
Protect the financial soundness of the BOJ to cover potential losses with additional safeguards and mitigate the risk of moral hazard arising from ELA operations (BOJ, MOF, FSA; ¶176).	C	No changes have been made to the BOJ's ELA framework.
Expand ELA eligibility to some NBFIs that could be systemically important, prioritizing CCPs (BOJ; ¶177).	MT	No changes have been made to expand the scope of institutions eligible to receive ELA.
Gradually expand RRP to all banks that could be deemed systemic at the time of failure, supported by planning guidance that comprehensively articulates expectations in improving recovery capabilities and addressing impediments to resolvability (FSA; ¶179).	ST	The authorities are considering an expansion of RRP to other systemically important banks while setting priorities among potentially in-scope banks.
Continue to operationalize, codify, and regularly review and update the authorities' individual and collective crisis readiness efforts, the policies underpinning the several resolution regimes, and the supporting decision-making structures and information flows (All; ¶180).	C	- The FSA continues to conduct internal seminars where the RRP team informs BAU monitoring teams on Japan's Orderly Resolution framework, resolvability monitoring initiatives, and international trends. - The FSA continues to conduct seminars among domestic resolution authorities to deepen the shared understanding on RRP. In particular, the FSA, BOJ, and Deposit Insurance Corporation of Japan are codifying practical issues on Orderly Resolution to ensure a shared understanding and institutional knowledge. Efforts focus on improving resolvability by refining timelines for orderly resolutions, coordinating home/host authority operations, and organizing actions

Recommendations	Timeline ¹	Implementation Status
		with financial institutions in line with international discussions.
Under the FCRC's auspices, execute a multi- year interagency crisis simulations program for diverse failure scenarios, including fast-fail resolutions of systemic and midsize banks, and their concurrent failure (All; ¶81).	C	- To foster a shared understanding of detailed operations in Orderly Resolution in Japan, the FSA, BOJ, and Deposit Insurance Corporation of Japan have focused on defining and formalizing operational roles and timelines while sharing codified outputs to ensure alignment and consistency. - No further changes have been made to implement multi-year interagency crisis simulations, but measures to examine operational capabilities are under consideration.
Ensure an effective recovery and resolution (planning) regime for insurers and CCPs consistent with pertinent international standards and guidance (FSA, Government; ¶82).	MT	- The FSA continues to consider a resolution framework for FMIs based on the existing framework and risk profiles of individual FMIs. - The FSA requires five IAIGs to develop recovery plans, reflecting the new IAIG designation of one insurer in July 2024. In response to IAIS revisions to ICP and ComFrame materials on recovery and resolution, the FSA is advancing its considerations for developing resolution plans and update its supervisory guidelines to ensure alignment with international standards.
Note: The information in this table has been prepared using inputs provided by the authorities. ¹/C: Continuous, I: immediate (within one year), ST: short term (1–2 years), and MT: medium term (3–5 years).		

Annex VI. Data Issues

Table 1. Japan: Data Adequacy Assessment for Surveillance

Data Adequacy Assessment Rating 1/

A							
Questionnaire Results 2/							
Assessment	National Accounts	Prices	Government Finance Statistics	External Sector Statistics	Monetary and Financial Statistics	Inter-sectoral Consistency	Median Rating
	A	A	A	A	A	A	A
Detailed Questionnaire Results							
Data Quality Characteristics							
Coverage	A	A	A	A	A		
Granularity 3/	A		A	A	A		
			A		B		
Consistency			A	A		A	
Frequency and Timeliness	A	A	B	A	A		

Note: When the questionnaire does not include a question on a specific dimension of data quality for a sector, the corresponding cell is blank.

1/ The overall data adequacy assessment is based on staff's assessment of the adequacy of the country's data for conducting analysis and formulating policy advice, and takes into consideration country-specific characteristics.

2/ The overall questionnaire assessment and the assessments for individual sectors reported in the heatmap are based on a standardized questionnaire and scoring system (see IMF Review of the Framework for Data Adequacy Assessment for Surveillance, January 2024, Appendix I).

3/ The top cell for "Granularity" of Government Finance Statistics shows staff's assessment of the granularity of the reported government operations data, while the bottom cell shows that of public debt statistics. The top cell for "Granularity" of Monetary and Financial Statistics shows staff's assessment of the granularity of the reported Monetary and Financial Statistics data, while the bottom cell shows that of the Financial Soundness indicators.

A	The data provided to the Fund are adequate for surveillance.
B	The data provided to the Fund have some shortcomings but are broadly adequate for surveillance.
C	The data provided to the Fund have some shortcomings that somewhat hamper surveillance.
D	The data provided to the Fund have serious shortcomings that significantly hamper surveillance.

Rationale for staff assessment. Japan's economic and financial sector databases are generally comprehensive and high quality. Data provision is adequate for surveillance. For Government Finance Statistics, there is room for improvement in the timeliness of disseminating quarterly general government operations data; while data on financial transactions is provided four months after the end of the reporting period, data on revenue and expenditure are released within 12 months of the end of the reporting period (precise timing depending on the particular quarter). For Financial Soundness Indicators, although Japan satisfies the SDDS Plus requirements, it lags behind other G7 economies in terms of the number of indicators submitted to the IMF. The granularity of data in "Balance Sheets and Income Statements" could be further improved to align with the coverage by peer economies. For instance, real estate-related loans data (including a breakdown between residential and commercial real estate exposures) should be disseminated or submitted, as it is highlighted as a potential source of vulnerability in the IMF's Financial Sector Assessment Program. Data gaps in systemic risk monitoring also remain in capturing non-bank and corporate hedging activity.

Changes since the last Article IV consultation. No material changes.

Corrective actions and capacity development priorities. The authorities remain committed to engaging with staff to improve data dissemination.

Use of data and/or estimates in Article IV consultations in lieu of official statistics available to staff. Staff do not use data and/or estimates in lieu of official statistics.

Other data gaps. Not applicable.

Table 2. Japan: Data Standards Initiatives

Japan adheres to the Special Data Dissemination Standard (SDDS) Plus since April 2016 and publishes the data on its National Summary Data Page. The latest SDDS Plus Annual Observance Report is available on the Dissemination Standards Bulletin Board (<https://dsbb.imf.org/>).

Table 3. Japan: Table of Common Indicators Required for Surveillance

As of March 2

	Data Provision to the Fund				Publication under the Data Standards Initiatives through the National Summary Data Page			
	Date of Latest Observation	Date Received	Frequency of Data ⁶	Frequency of Reporting ⁶	Expected Frequency ^{6,7}	Japan ⁸	Expected Timeliness ^{6,7}	Japan ⁸
Exchange Rates	2-Mar-26	2-Mar-26	D	D	D	D	...	D
International Reserve Assets and Reserve Liabilities of the Monetary Authorities ¹	Jan-26	6-Feb-26	M	M	M	M	1W	NLT 7D
Reserve/Base Money	Jan-26	3-Feb-26	M	M	M	M	2W	NLT2D
Broad Money	Jan-26	10-Feb-26	M	M	M	M	1M	8D
Central Bank Balance Sheet	Jan-26	3-Feb-26	M	M	M	M	2W	NLT2D
Consolidated Balance Sheet of the Banking System	Dec-25	13-Feb-26	M	M	M	M	1M	7W
Interest Rates ²	2-Mar-26	2-Mar-26	D	D	D	...	D	D
Consumer Price Index	Jan-26	20-Feb-26	M	M	M	M	1M	1M
Revenue, Expenditure, Balance and Composition of Financing ³ —General Government ⁴	2025 Q1	30-Jan-26	Q	Q	A/Q	A/Q	2Q/12M	9M/12M
Revenue, Expenditure, Balance and Composition of Financing ³ —Central Government	2025 Q3	Dec-25	Q	Q	M	Q	1M	1Q
Stocks of Central Government and Central Government-Guaranteed Debt ⁵	2025 Q4	10-Feb-26	Q	Q	Q	Q	1Q	NLT 1Q
External Current Account Balance	Dec-25	9-Feb-26	M	M	Q	M	1Q	6-7W
Exports and Imports of Goods and Services	Dec-25	9-Feb-26	M	M	M	M	8W	6-7W
GDP/GNP	2025 Q4	16-Feb-26	Q	Q	Q	Q	1Q	6W
Gross External Debt	2025 Q3	8-Dec-25	Q	Q	Q	Q	1Q	11W
International Investment Position	2025 Q3	8-Dec-25	Q	Q	Q	Q	1Q	11W

¹ Includes reserve assets pledged or otherwise encumbered, as well as net derivative positions.

² Both market-based and officially determined, including discount rates, money market rates, rates on treasury bills, notes and bonds.

³ Foreign, domestic bank, and domestic nonbank financing.

⁴ The general government consists of the central government (budgetary funds, extra budgetary funds, and social security funds) and state and local governments.

⁵ Including currency and maturity composition.

⁶ Frequency and timeliness: ('D') daily; ('W') weekly or with a lag of no more than one week after the reference date; ('M') monthly or with lag of no more than one month after the reference date; ('Q') quarterly or with lag of no more than one quarter after the reference date; ('A') annual; ('SA') semiannual; ('I') irregular; ('NA') not available or not applicable; and ('NLT') not later than.

⁷ Encouraged frequency of data and timeliness of reporting under the e-GDDS and required frequency of data and timeliness of reporting under the SDDS and SDDS Plus. Any flexibility options or transition plans used under the SDDS or SDDS Plus are not reflected. For those countries that do not participate in the IMF Data Standards Initiatives, the required frequency and timeliness under the SDDS are shown for New Zealand, and the encouraged frequency and timeliness under the e-GDDS are shown for Eritrea, Nauru, South Sudan, and Turkmenistan.

⁸ Based on the information from the Summary of Observance for SDDS and SDDS Plus participants, and the Summary of Dissemination Practices for e-GDDS participants, available from the IMF Dissemination Standards Bulletin Board (<https://dsbb.imf.org/>). For those countries that do not participate in the Data Standards Initiatives, as well as those that do have a National Data Summary Page, the entries are shown as "...".

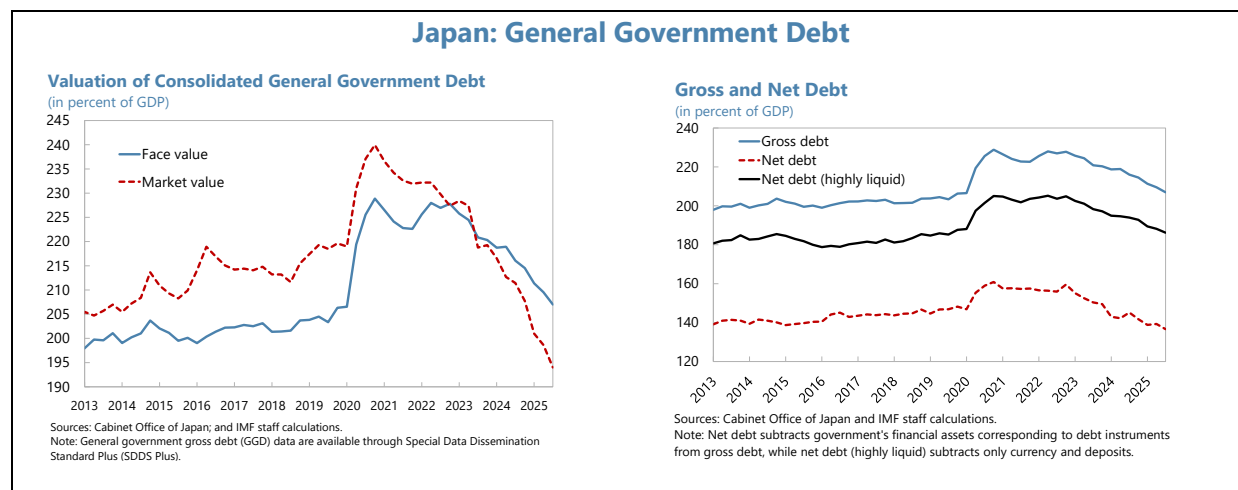
Annex VII. Japan's General Government Balance Sheet¹

1. **Japan's general government balance sheet is large and complex**, reflecting decades of high public debt accumulation alongside substantial financial asset holdings, especially within the social security funds (SSFs). Understanding the structure of these positions is essential for assessing risks to fiscal sustainability.
2. **The accounting treatment of gross debt has been revised in this report.** Previous staff reports and the World Economic Outlook presented Japan's gross debt on a non-consolidated, market-value basis, consistent with the accounting framework of Japan's National Accounts (SNA). However, the preferred approach under the Public Sector Debt Statistics (PSDS) Guide is to report debt on a consolidated basis (PSDS Guide ¶2.154; GFSM 2014 ¶3.153) and at nominal value (PSDS Guide ¶2.116; SDDS Plus Table 3.2). Consolidation nets out intra-government holdings and provides a measure of liabilities to the rest of the economy and the world. The *market value* of debt reflects prevailing market prices and is informative from a creditor's perspective. In contrast, the *nominal value* of debt is the amount that the debtor owes to the creditor, and the *face value* of a debt instrument is the undiscounted amount of principal to be repaid at maturity, both of which are more relevant from a debtor's perspective. Given limitations in the availability of nominal value data, this report presents consolidated general government debt at face value, as reported by the Cabinet Office of Japan under the [Special Data Dissemination Standard Plus \(SDDS Plus\)](#).
3. **For improved cross-country comparability and alignment with PSDS guidance, gross debt defined on a consolidated basis and at face value is preferred.** The difference between consolidated and non-consolidated measures largely reflects the Social Security Funds' holdings of JGBs, which are netted out under consolidation.² Valuation effects have also been material. Japan's protracted low-interest-rate environment and the large stock of long-duration JGBs historically generated substantial gaps between the market and nominal value of debt. More recently, however, rising yields have sharply lowered the market value of outstanding JGBs, pushing it below the face value over the past two years. The face value of consolidated gross debt was 207 percent of GDP as of 2025Q3.
4. **In the accounting framework used to present government debt, accrued future pension obligations of social security schemes are not recorded.** Macroeconomic statistical systems typically do not include such obligations in the government debt (PSDS Guide ¶2.80 and 2008 SNA ¶17.192) because (i) reliable estimates of the entitlements may not be readily available; and (ii) even if these estimates are available, such estimates are of limited usefulness where government has the possibility of changing the basis on which entitlements are determined in order to keep the entitlements within the bounds of what is feasible within the budget. In the case of

¹ This Annex was prepared by Shujaat Ali Khan (APD).

² Public pension funds, such as the Government Pension Investment Fund (GPIF), are included within the general government, under the social security funds sector. Under the portfolio allocation rules, their JGB holdings may vary in response to market conditions and investment decisions, leading to some fluctuations in consolidated general government debt for reasons other than fiscal management decisions by the government.

Japan, these accrued pension obligations represent an important drain on future fiscal balances, which are modeled as part of staff's debt sustainability analysis and contribute to long-term fiscal risks (Annex III).



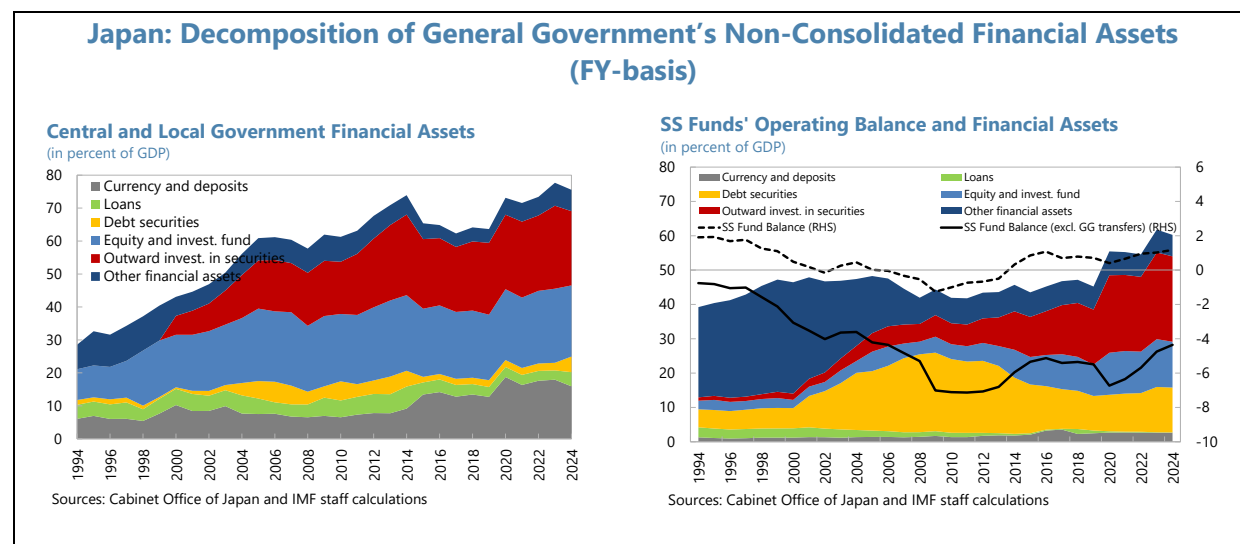
5. The general government also holds substantial financial assets that partially mitigate long-term fiscal risks, though most are encumbered and managed by agencies with operational independence. On a market-value basis—appropriate from a creditor's perspective (see above)—these assets amounted to about 70 percent of GDP in 2025Q3, implying net debt of roughly 137 percent of GDP.³ An alternative metric nets out only highly liquid assets, such as currency and deposits, yielding net debt of 186 percent of GDP in 2025Q3. However, it is important to note that most general government financial assets are encumbered and managed by agencies with operational independence. The Japanese legal framework limits the government's ability to use these assets to finance general expenditures, particularly in the short term. For example, nearly half of general government's financial assets are held by the social security funds, primarily in the form of pension funds' assets that are intended to support future benefit payments.⁴

6. A sizeable share of the government's financial assets is invested in foreign securities and domestic equities. While the headline measure of net debt excludes equity holdings (see footnote 3), a broader view of the general government balance sheet, which also includes equity positions, shows that Japan's asset holdings are substantial—118 percent of GDP on a consolidated basis as of 2025Q3—and have undergone a marked shift in composition over time. On this basis, general government net debt stood at 89 percent of GDP as of 2025Q3, highlighting the large stock

³ Gross debt includes all liabilities that are debt instruments, which include SDRs; currency and deposits; debt securities; loans; insurance, pension, and standardized guarantee schemes; and other accounts payables. Net debt is calculated as gross debt minus financial assets corresponding to debt instruments. Liabilities and assets in the form of equity and investment fund shares and financial derivatives and employee stock options are excluded from this definition.

⁴ The share of financial assets (excluding domestic equities) held by the social security fund as a percent of total financial assets of the general government amount to 46 percent as of end-FY-2024. Due to limitations on data availability, this estimate is based on non-consolidated assets data.

of financial assets held across central and local governments and the SSFs. The figures below (on a non-consolidated basis) show that central and local government assets have increasingly been allocated towards foreign securities, while sizeable holdings of domestic equities have been maintained. The SSFs' domestic equity and outward-investment positions have also risen sharply over the past two decades, financed largely through social security contributions.⁵

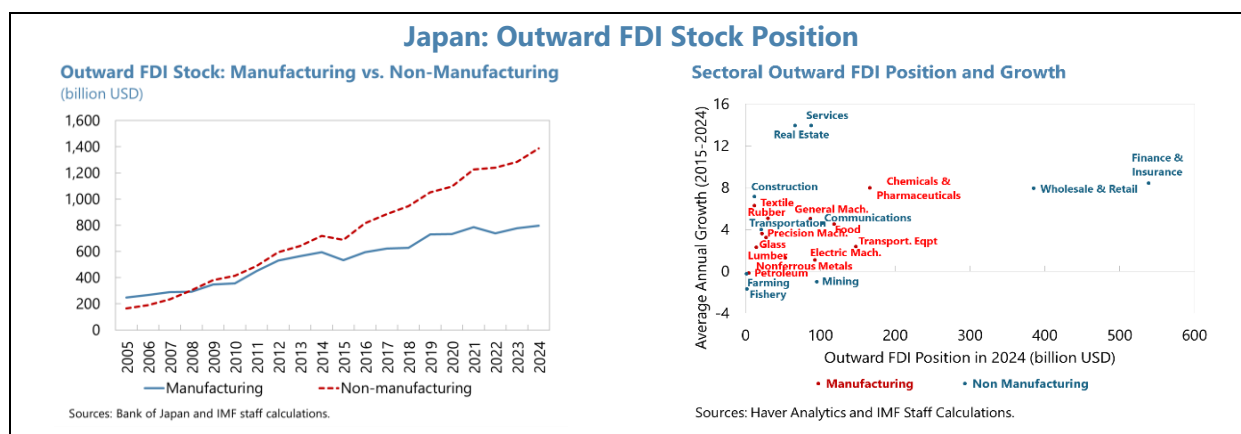
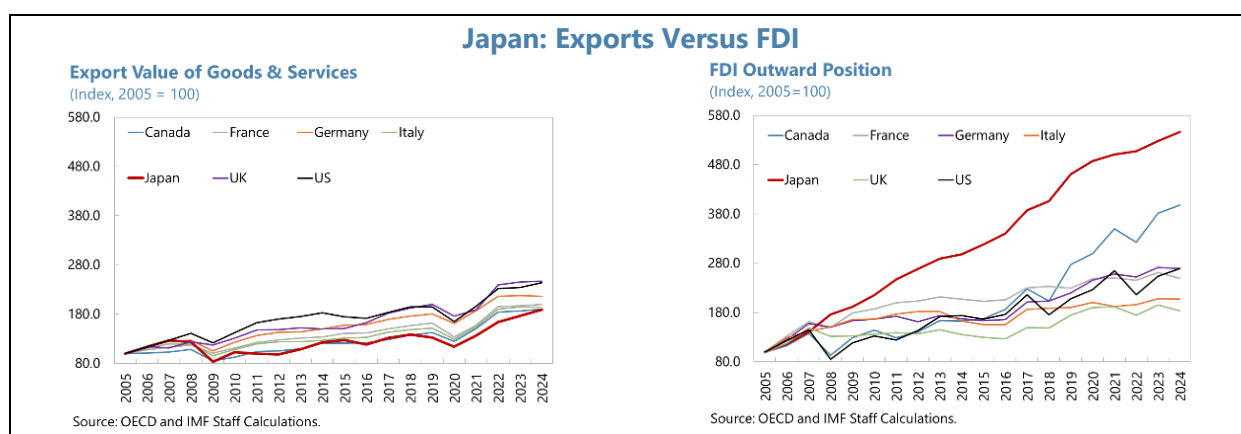


⁵ Changes in asset values include both net acquisition/sale of assets and valuations effects.

Annex VIII. Trade Barriers and Policy Uncertainty: Implications for Japanese Outward FDI

Stylized Facts on Japan's FDI, Trade Barriers, and Policy Uncertainty

1. Japan's outward FDI has surged even as its exports have stagnated, making foreign production increasingly central to its economic model. Japan has become a major global investor, with its outward FDI stock growing fastest among peer G7 economies even as export performance has lagged over the past two decades. This divergence highlights that Japanese firms increasingly serve global markets through overseas affiliates. Against this backdrop, understanding how trade barriers and policy uncertainty affect these outward investment decisions has become increasingly important.

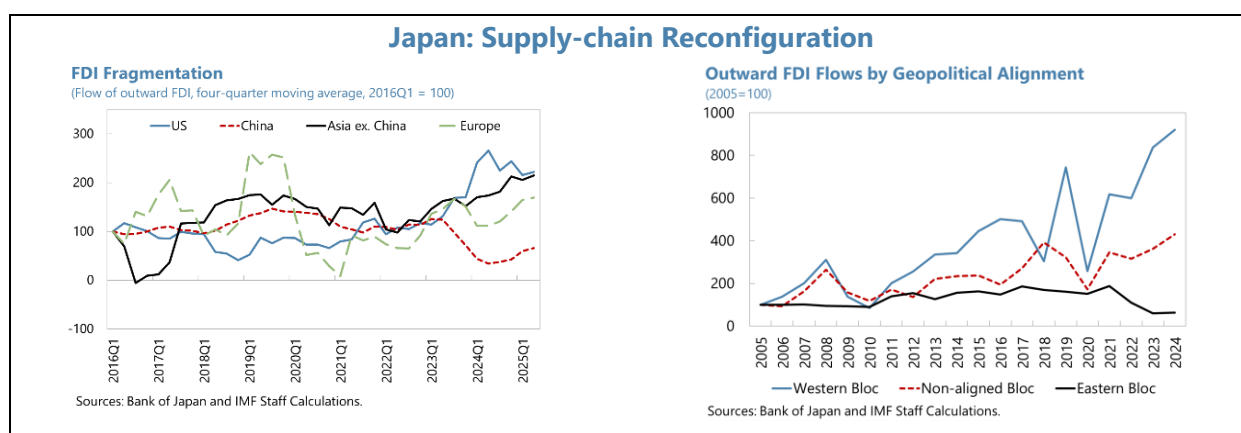
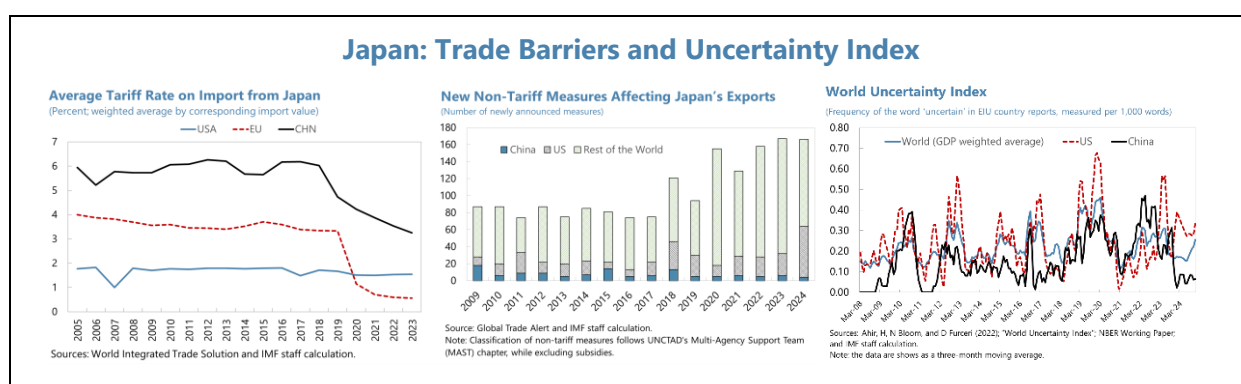


2. Japan's outward FDI has broadened across sectors, with non-manufacturing industries expanding much faster than manufacturing. Outward FDI stocks remain largest in finance and insurance and in wholesale and retail, while services and real estate have grown fastest in recent years from smaller bases. In contrast, traditional non-manufacturing industries, such as mining, have seen their outward positions shrink over time. Manufacturing shows greater heterogeneity:

pharmaceuticals have expanded strongly, autos retain a large but slower-growing position, and general machinery has outpaced electronics.

3. The global trade and policy environment has become more uncertain and restrictive.

While tariffs on Japan's manufacturing exports have generally fallen over the past two decades—dropping sharply in China and the EU around 2019–20 following China's tariff cuts and the Japan–EU EPA—non-tariff measures have increased since the US–China trade war and the pandemic. Tariff developments in 2025 are adding further headwinds for Japanese exporters, although these recent changes are beyond the scope of our empirical analysis. At the same time, global uncertainty has shown repeated spikes during major shocks, including the global financial crisis, Brexit, US–China trade tensions, the pandemic, and the war in Ukraine, while country-level indices diverge in response to idiosyncratic events.



4. Japan's outward FDI has reoriented away from China toward advanced economies, particularly the US and Europe, in recent years. The charts examine whether rising geopolitical risks and supply-chain resilience concerns have changed where and how Japanese firms invest abroad by tracking shifts in destination patterns and the geopolitical alignment of OFDI flows. They show declining investment in Eastern bloc (including China) alongside rising flows to

Western-aligned economies (major AEs).¹ This pattern suggests that geopolitical alignment is increasingly shaping investment decisions, more so than traditional predictors of FDI destinations such as geographic proximity.

Empirical Framework and Results

5. This section examines how trade barriers and uncertainty shape Japanese firms' outward FDI decisions along both the extensive and intensive margins. BoJ's outward FDI flow data from 2005 to 2023 allows us to analyze its developments by destination country and industry. To capture trade barriers, we use trade-weighted tariff rates on Japan's exports from the World Integrated Trade Solution (UNCTAD-TRAINS, 2005–2023)

and number of newly announced NTMs from Global Trade Alert (2009–2023). We also use a country-level uncertainty index following Ahir et al. (2022). For each margin, tariffs and NTMs are analyzed as distinct but complementary trade costs in destination markets, alongside overall uncertainty.²

6. The extensive margin of outward FDI is estimated using a logit model that relates the probability of positive Japanese investment in a destination–industry pair to trade costs, uncertainty, and standard controls. The specification is estimated in latent-variable form as follows:

$$FDI_{jkt}^* = 1\{FDI_{jkt} > 0\},$$

$$Pr(FDI_{jkt}^* = 1 | Z_{jkt}) = \Lambda(\beta_1 tariff_{jkt} + \beta_2 NTM_{jkt} + \beta_3 PUI_{jt} + \gamma' X_{jkt} + \alpha_j + \mu_k + \lambda_t)$$

where j denotes the destination country, k the industry, and t the year. Here, FDI_{jkt}^* is a binary indicator equal to one when Japanese outward FDI flows to country j in industry k are positive in

Table 1. Japan: Extensive Margin of Outward FDI

	FDI entry					
	(1)	(2)	(3)	(4)	(5)	(6)
Tariff	3.637** (2.001)	3.572* (1.904)	4.287* (1.946)	-3.173 (-1.159)	-1.441 (-0.537)	1.616 (0.272)
Tariff × ln(GDP)				1.353** (2.242)	1.007* (1.809)	0.475 (0.513)
NTM index		-0.050 (-1.383)	-0.053 (-1.388)		-0.218* (-1.795)	-0.250 (-1.463)
NTM × ln(GDP)					0.022 (1.607)	0.025 (1.298)
PUI			-0.417 (-0.814)			-0.308 (-0.593)
PUI × Non-aligned bloc						-0.130 (-0.135)
PUI × Eastern bloc						-2.330*** (-3.214)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Country, Industry, Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	9033	6769	5386	9033	6769	5386

t statistics in parentheses; * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

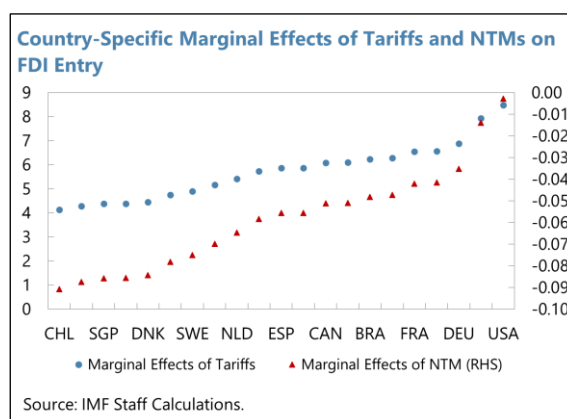
¹ The set of countries included in Eastern, Western, and non-aligned blocs follows the definition of narrow blocs in Gopinath et. al (2025).

² Tariffs measure ad valorem trade costs, while NTMs proxy for regulatory and administrative barriers; however, the NTM indicator reflects the incidence rather than the binding severity of measures. Uncertainty index is measured broadly—encompassing macroeconomic, political, and regulatory uncertainty—rather than trade-policy uncertainty alone.

year t , and zero otherwise. The variables tariff_{jkt} and NTM_{jkt} capture destination–industry–year variation in ad-valorem tariffs and non-tariff measures. PUI_{jt} is a country-level overall uncertainty index for destination j , consistent with the idea that outward investment timing and entry decisions respond to the general environment in host economies. The vector $\mathbf{X}_{jkt}$ includes standard controls such as destination-market size, destination growth rate, labor regulation index, the real effective exchange rate, and lagged FDI flows. α_j , μ_k , and λ_t denote country, industry, and year fixed effects, respectively.

7. Higher tariffs are associated with a greater probability of Japanese outward FDI entry, consistent with tariff-jumping behavior (Table 1, columns 1–3). Across the baseline specifications, the tariff coefficient is positive and statistically significant, indicating a higher likelihood of entry in industries and destinations where trade barriers raise the cost of exporting. By contrast, the coefficients of NTM and policy uncertainty indices suggest that these measures do not robustly influence entry decisions.³

8. Once allowing for market size interactions, trade barrier effects become scale-dependent (Table 1, columns 4–5). Tariffs and NTMs raise the probability of entry in larger markets but reduce it in smaller ones, consistent with tariff-jumping and market-access motives that are stronger where demand is larger. Country-specific marginal effects show positive tariff effects and negative NTM effects across Japan’s main investment destinations.



9. Higher uncertainty is linked to lower entry probabilities in Eastern bloc destinations, while effects elsewhere appear muted (Table 1, column 6). The interaction between uncertainty index and the Eastern bloc is negative and statistically significant, indicating that higher uncertainty disproportionately discourages entry into these markets. By contrast, the coefficients for other destinations are statistically insignificant, suggesting no robust effect outside the Eastern bloc.

³ As a robustness check, China is excluded from the destination sample to ensure the results are not driven by country-specific developments. China’s 2018 tariff reductions reflected domestic trade policy decisions, while the subsequent decline in Japanese OFDI to China could be linked to broader structural and geopolitical factors. The main findings remain robust to this exclusion.

10. Conditional on entry, higher tariffs are associated with larger Japanese outward FDI positions, while uncertainty reduces investment intensity in geopolitically distant markets (Table 2).

Across the baseline specifications, the tariff coefficient is positive and statistically significant, indicating that higher trade barriers are linked to greater investment intensity once a presence is established. By contrast, the NTM and interaction terms between tariffs and destination GDP, as well as between NTMs and GDP, are not insignificant, suggesting that the relationship between trade costs and investment scale does not vary systematically with market size. Uncertainty primarily dampens investment in geopolitically distant destinations without a significant effect within Western-aligned economies.

Table 2. Japan: Intensive Margin of Outward FDI

	FDI intensity					
	(1)	(2)	(3)	(4)	(5)	(6)
Tariff	3.440** (1.966)	5.010*** (2.891)	5.073** (2.533)	9.230 (1.292)	4.825 (0.950)	1.990 (0.339)
Tariff × ln(GDP)				-0.820 (-0.733)	0.028 (0.035)	0.311 (0.382)
NTM index		0.002 (0.254)	0.004 (0.478)		-0.006 (-0.054)	0.048 (0.441)
NTM × ln(GDP)					0.001 (0.078)	-0.004 (-0.432)
PUI			0.645 (1.635)			0.883 (1.645)
PUI × Non-aligned bloc						-1.477* (-1.925)
PUI × Eastern bloc						-3.566*** (-2.837)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Country, Industry, Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	4363	3619	3155	4363	3619	3155

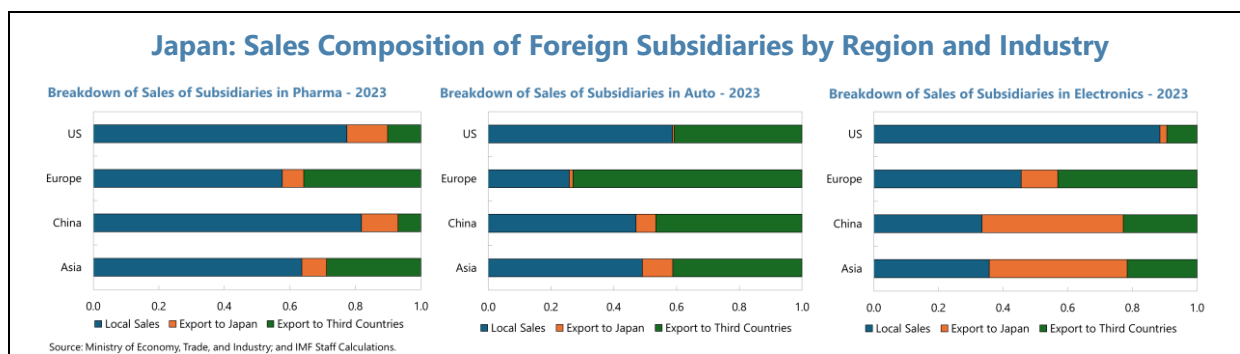
t statistics in parentheses; * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

$$E[FDI_{jkt} | FDI_{jkt} > 0, Z_{jkt}] = \exp(\beta_1 tariff_{jkt} + \beta_2 NTM_{jkt} + \beta_3 PUI_{jt} + \gamma' X_{jkt} + \alpha_j + \mu_k + \lambda_t)$$

FDI Strategies and Heterogeneous Responses to Trade Costs

11. Aggregate results may mask heterogeneity, as outward FDI strategies differ across sectors and destinations and respond differently to trade costs. Outward FDI is therefore classified into horizontal (serving local markets), vertical (driven by production fragmentation and cost differences), and export-platform strategies (serving third markets), based on subsidiaries' primary sales orientation—local sales, exports to Japan, or exports to third countries—for each year, industry, and destination country, using industry-level data from METI's Basic Survey on Overseas Business Activities. This distinction helps assess how trade barriers affect investment through different channels.

12. FDI strategies differ markedly across industries and destinations. Pharmaceutical affiliates are primarily market-seeking, with sales concentrated in host-country markets. Autos operate largely as export platforms, while electronics follow a more vertically integrated model, with affiliates in Asia and China exporting a significant share back to Japan. Across destinations, affiliates in the US are more horizontal, Europe plays a stronger export-platform role, and locations closer to Japan are more integrated into vertical production networks.



13. Tariff effects on FDI entry vary across investment strategies, with the strongest response observed for horizontal FDI in larger markets (Table 3). To examine how outward investment decisions differ across underlying sectoral FDI strategies, the baseline specifications are extended to allow trade costs to affect investment by strategy type. Effects are smaller for export-platform and vertical strategies, and NTMs show no systematic impact. Conditional on entry, only tariffs matter: higher tariffs are associated with larger investment volumes across strategies, while interactions with market size and NTMs are insignificant,⁴ indicating broadly uniform intensive-margin responses.

Table 3. Japan: Strategy-Specific Effects of Tariffs and NTMs on FDI

	FDI entry		FDI intensity	
	(1)	(2)	(3)	(4)
Tariff	-3.461 (-1.311)	-1.642 (-0.581)	14.549** (2.148)	10.375** (1.996)
Export Platform × Tariff × ln(GDP)	1.168* (1.925)	0.895 (1.471)	-1.275 (-1.189)	-0.465 (-0.509)
Horizontal × Tariff × ln(GDP)	1.484** (2.287)	1.134* (1.731)	-1.710 (-1.532)	-0.931 (-1.020)
Vertical × Tariff × ln(GDP)	1.187* (1.805)	-0.122 (-0.182)	-1.029 (-0.930)	-0.927 (-0.994)
NTM index		-0.040 (-0.298)		-0.036 (-0.344)
Export Platform × NTM × ln(GDP)		-0.011 (-0.521)		0.006 (0.515)
Horizontal × NTM × ln(GDP)		0.002 (0.127)		0.004 (0.352)
Vertical × NTM × ln(GDP)		0.030 (1.107)		0.034 (1.430)
Controls	Yes	Yes	Yes	Yes
Country, Industry, Year FE	Yes	Yes	Yes	Yes
Observations	6117	4690	3519	2920

t statistics in parentheses; * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

14. Japanese outward FDI is affected by trade barriers, geopolitical alignment, and policy uncertainty, with implications for both where firms invest and how they structure their foreign operations. Investment has shifted toward large and advanced economies, alongside a structural tilt toward non-manufacturing sectors. Empirically, higher tariffs encourage FDI entry in large markets and are associated with larger investment positions once established, while NTMs play a more limited role. Uncertainty mainly dampens investment in geopolitically distant destinations. Strategy-level results show that horizontal FDI is most responsive to tariffs at the entry stage, whereas investment scale responses are broadly similar across strategies. Together, these findings suggest that Japanese firms are reconfiguring their global footprint to balance market access, geopolitical alignment, and resilience considerations in an environment of rising trade barriers and uncertainty.

⁴ While the regressions control for multiple labor market characteristics, other time-varying destination-country factors—such as regulations governing in-market operations, licensing requirements, or administrative procedures—may still influence intensive-margin responses beyond what is captured by country and time fixed effects.

Annex IX. Japan's Household Consumption Behavior¹

Background

1. Private consumption remains a pivotal driver of Japan's growth. Understanding consumption behavior is also central for policy design, as the effectiveness of policies can be improved by better targeting them to households with higher propensity to consume. In Japan, these questions are amplified by demographic aging, the prevalence of precautionary saving motives, and structural features of the labor market. Against this backdrop, this study examines how consumption and saving differ across household characteristics and how macro and fiscal policy shocks map into heterogeneous spending responses.

2. Aggregate consumption can mask large differences in consumption behavior across various household characteristics. The analysis in this annex therefore combines household-level evidence on consumption and the distribution of responses to fiscal shocks with cohort-level time-series evidence on how consumption varies by various macro and structural factors. The micro analysis uses the annual Japan Household Panel Survey/Keio Household Panel Survey (JHPS/KHPS; Keio University, 2004–2023), which tracks the same households over time and allows identification of within-household changes in consumption, income, and balance-sheet positions. The macro analysis relies on the monthly Family Income and Expenditure Survey (FIES; January 2000–June 2025), which provides consistent cohort-level measures of expenditures and income components at high frequency.

Micro Analysis

3. Household expenditure has declined in Japan in aggregate terms since 2005, but this trend reflects changes to household structures. Average household size has fallen, lowering aggregate household spending even when per-capita spending has been relatively stable. Saving behavior also shows cyclical patterns: the household saving rate rose sharply during the pandemic—consistent with forced savings and precautionary motives—before easing as restrictions were lifted and uncertainty receded.

4. Household-level data suggest that propensity to consume varies across household characteristics such as income and age. Low-income households tend to exhibit the highest propensities to consume, consistent with liquidity constraints and limited buffer-stock savings. Age also matters, as households with older heads may display higher spending sensitivity to income changes when fixed expenses rise (health or care needs) or when portfolio income becomes more salient and uncertain. These heterogeneities imply that fiscal measures with identical aggregate costs can generate materially different impacts on aggregate consumption, depending on the incidence of the measures across households.

¹ This Annex was prepared by Ara Stepanyan (ICD) and Shujaat Khan (APD).

5. To study the impact of fiscal policy on household consumption, panel regressions using household-level data are estimated. The regressions exploit within-household variation over time while controlling for common shocks through time fixed effects. Fiscal shocks are taken from Adler and others (2024), whose narrative study identifies discretionary changes in taxes and government spending that are motivated primarily by deficit reduction rather than contemporaneous macroeconomic conditions—helping mitigate endogeneity concerns. The baseline specification relates real per-capita household consumption to household disposable income per capita, with household fixed effects to absorb time-invariant household characteristics and time fixed effects to capture common macro shocks.² Each specification includes an interaction term between the (common) fiscal consolidation shocks and household characteristics such as indebtedness, age profile, and education level to estimate the differential effects of fiscal consolidation on consumption across these groups.

6. The estimates suggest that the short-term consumption response to fiscal consolidation varies across household characteristics, while disposable income remains a key driver of consumption across groups. Highly indebted households and those with high loan-to-value ratios exhibit larger consumption declines relative to other households in response to fiscal consolidation, consistent with stronger balance-sheet and liquidity constraint channels. The differential effect for older households is negative but only marginally significant, while there is no statistically meaningful difference in the response of lower-education households. Against the backdrop of the need for growth-friendly fiscal adjustments to safeguard debt sustainability, these findings suggest that the effectiveness of fiscal policy can be enhanced through more targeted policy design. Across all groups, disposable income per capita exhibits a strong and significant relationship with consumption, indicating that income effects play a key role in shaping households' consumption behavior.

Japan: Differential Consumption Response to Fiscal Shock by Household Characteristics
(in percent)

	Highly Indebted	High LTV	Old Age	Low Education
Fiscal shock*Group interaction	-1.96	-5.68	-1.38	-0.36
<i>p-value</i>	0.022	0	0.092	0.676
Disposable income per capita	22.71	22.71	22.69	22.71
<i>p-value</i>	0	0	0	0

Note: Dependent variable is log of real consumption per capita. Fiscal shocks are expressed in percent of GDP and disposable income per capita enters in log-terms as a regressor.

² The time fixed effects mitigate concerns about the potential endogeneity of the fiscal shocks to macroeconomic variables such as the debt level, but their collinearity with the fiscal shocks precludes estimation of the average impact of fiscal shocks on household consumption.

Macro Analysis

7. An autoregressive distributed lag (ARDL) model is estimated to assess the link between household consumption and various macro and policy variables. The equation below was estimated using monthly data from Japanese Family Income and Expenditure Survey covering monthly data for 2003-2025.

$$\hat{c}_{t,i} = \alpha + \beta * \widehat{relcpifood}_t + \vartheta * inf_t + \mu * polshock_t + \varphi * \hat{X}_{t,i} + \tau * \sum_{j=1}^N Z_{t-j,i} + \varepsilon_t$$

where hat superscripts denote deviations from trend;³ $c_{t,i}$ is the log real per capita consumption for time t and age-income cohort group i ; $relcpifood_t$ is relative inflation of food at time t ; inf_t is inflation at time t ; $polshock_t$ is a vector of policy shocks at time t , which includes unconventional monetary policy shocks identified for Japan by Carrière-Swallow and others (2025), and $\hat{X}_{t,i}$ is a vector of control variables at time t for cohort i .⁴ In our specification the following controls are included: employment income, bonuses, rental income, social security and pension benefits, the change in VAT rate, and deleveraging (all the indicators are real values in log, except deleveraging, which is not in log because it has negative values; $Z_{t-j,i}$ is a vector of lagged dependent and explanatory variables; ε_t is the error term).

8. Inflation appears to have limited influence on overall consumption, though younger cohorts show some sensitivity. On average, consumer spending per capita does not exhibit a statistically significant relationship with inflation. This suggests that households may smooth consumption in the face of price increases, consistent with permanent income and life-cycle hypotheses. However, younger employed cohorts—those under 34—tend to reduce spending when inflation rises, though the effect is not statistically significant. This could reflect liquidity constraints or shorter planning horizons among younger households, making them more responsive to real income erosion.

9. Debt deleveraging significantly constrains household spending, especially among wealthier and older cohorts. For employed households, reductions in debt are strongly and negatively associated with consumption per capita, driven mainly by mid- and high-income groups and households with middle-aged heads. This indicates that deleveraging episodes typically involve reallocating resources from consumption to balance sheet repair. A similar dynamic emerges among households with unemployed heads, where the effect is even stronger for the wealthiest and oldest cohorts.

³ We also have estimated the above equation in growth rates, and in per capita terms, and results are broadly consistent.

⁴ The narrative fiscal shocks used in the preceding section cannot be included in this estimation because of their lower frequency.

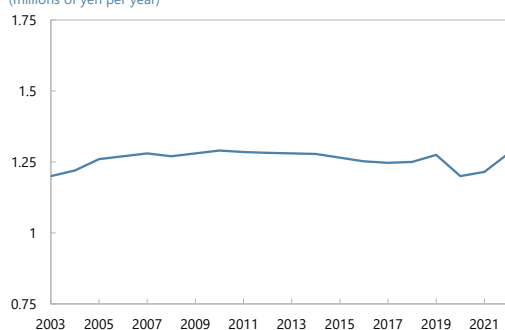
10. Employment income is the key driver of household saving behavior, with stronger effects among wealthier cohorts. The analysis shows that employment income has the most significant and broad-based association with saving rates. While this link holds across income groups, its magnitude is slightly higher for wealthy households, consistent with their greater capacity to allocate surplus income toward savings. In contrast, deleveraging does not exhibit a statistically significant relationship with saving rates on average, though for some wealthier cohorts, reducing debt appears to lower savings.

Japan: Household Consumption

Based on JHPS/KHPS data, average household expenditure has declined but remains stable in per-capita terms.

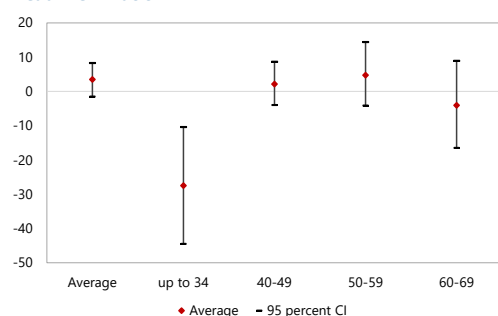
Average Real Expenditure per Capita (2000 prices)

(millions of yen per year)



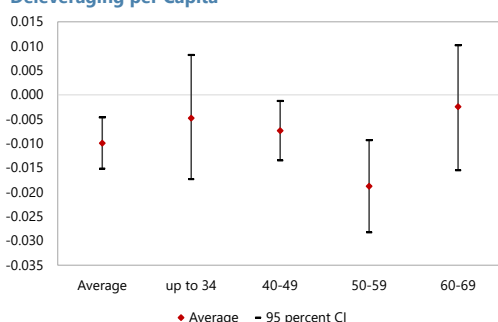
Inflation has limited influence on consumption, except among the younger cohort.

Short-Term Impact on Consumption per Capita: Headline Inflation



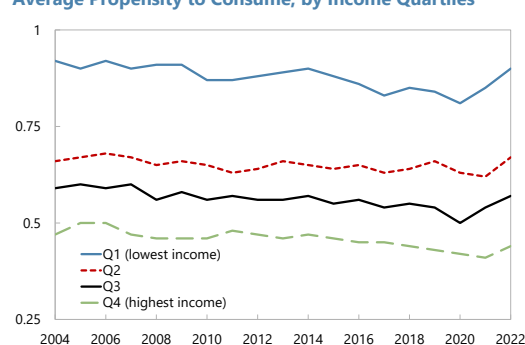
... and middle-aged cohorts.

Short-Term Impact on Consumption per Capita: Deleveraging per Capita



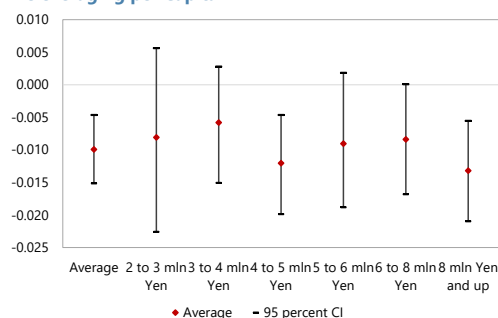
Household consumption is sensitive to income, with low-income households having the highest propensity to consume.

Average Propensity to Consume, by Income Quartiles



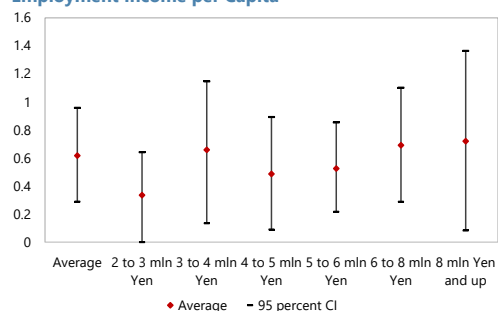
Debt deleveraging constrains household spending, especially among wealthier cohorts...

Short-Term Impact on Consumption per Capita: Deleveraging per Capita



Employment income is a key driver of household savings.

Short-Term Impact on Saving Rate: Employment Income per Capita



Conclusion

11. Consumption responses differ markedly across income, age, and leverage groups, implying that aggregate measures can obscure sizable distributional effects that are important for policy transmission. Constrained households tend to adjust more to fiscal consolidation, while income gains are not uniformly translated into higher spending when precautionary saving and deleveraging motives are strong. These findings suggest that policies aimed at supporting consumption and growth would be more effective if they are carefully targeted toward households with higher propensities to consume and complemented by measures that reduce balance-sheet constraints.

Annex X. Recent Industrial Policy Measures¹

Measure	Description	Amount/Cost ² (billion yen)
AI and Semiconductor³	Provide subsidies and financial support for development and deployment of AI, semiconductors and data centers under "Budgetary Framework for Strengthening AI and Semiconductor."	585
Clean Energy and Industry	Provide subsidies and financial support for the development and deployment of clean energy products and technologies. Examples include: - Subsidies of up to 1.3 million yen for the purchase of electric and fuel cell vehicles, depending on the model, and subsidies for purchasing and installing charging equipment for electric vehicles. - Subsidies for the upgrading of factory equipment to more energy-efficient systems and for the transition from fossil fuels to electricity.	Around 1200
Space Industry	Increase funding for the Space Strategy Fund—established in 2024 as a 10-year program—to support advanced technology development, technology demonstrations, and the commercialization of space-related innovations.	200
Drug and Advanced Medical Care	Promotion of drug discovery and advanced medical care, development of domestic production bases including through: - Establishing a new fund to provide subsidies for capital investment, restructuring, and productivity growth to enhance production base of generics - Establishing a 10-year term fund to strengthen the drug discovery foundation and infrastructure	173
Quantum Technology	Provide subsidies and financial support for developing quantum computer, promoting demonstration experiments, and fostering human resources to advance development.	169

Measure	Description	Amount/Cost (billion yen)
Shipbuilding	Establish a new fund for FY25–FY34 to provide subsidies for capital investment and R&D aimed at strengthening shipbuilding capabilities.	120
Supply Chains for Critical Minerals and Products	Provide financial support for: • Initiatives that promote a stable supply of critical minerals essential for industrial activities. • The development of production technologies and the expansion of manufacturing capacity for key materials and products such as unmanned aerial vehicles, satellites, rocket components, and permanent magnets.	140
Source: IMF staff calculations based on information from relevant authorities and the FY2025 budget. 1/ Per IMF (2024), industrial policy refers to targeted government interventions aimed at supporting specific domestic firms, industries, or narrowly defined economic activities to achieve certain national (economic or non-economic) objectives. See IMF, 2024, "Industrial Policy Coverage in IMF Surveillance— Broad Considerations." 2/ Cost estimates are based on estimated fiscal cost of the measures and do not consider other forms of support such as concessional lending. Figures may include costs associated with multiyear projects, which may not be fully disbursed in FY2025. 3/ Most public funding has been concentrated on semiconductor development and R&D, while direct support for AI development has been relatively limited. For example, the budget for the generative AI subsidy program, which issued an open call for implementing entities in March 2025, amounted to ¥10 billion.		



JAPAN

STAFF REPORT FOR THE 2026 ARTICLE IV CONSULTATION—INFORMATIONAL ANNEX

March 12, 2026

Prepared By

Asia and Pacific Department (In consultation with other
departments)

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FUND RELATIONS	2
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FUND RELATIONS

(As of January 31, 2026)

Membership Status: Joined: August 13, 1952; Article VIII

General Resources Account:

	SDR Million	Percent Quota
Quota	30,820.50	100.00
IMF's Holdings of Currency (Holdings Rate)	22,610.37	73.36
Reserve Tranche Position	8,223.59	26.68
Lending to the Fund		

SDR Department:

	SDR Million	Percent Allocation
Net cumulative allocation	41,825.03	100.00
Holdings	44,452.91	106.28

Outstanding Purchases and Loans: None

Latest Financial Arrangements:

Type	Date of Arrangement	Expiration Date	Amount Approved (SDR Millions)	Amount Drawn (SDR Millions)
Stand-By	Mar 11, 1964	Mar 10, 1965	305.00	0.00
Stand-By	Jan 19, 1962	Jan 18, 1963	305.00	0.00

Overdue Obligations and Projected Payments to Fund ¹

(SDR Million; based on existing use of resources and present holdings of SDRs):

	Forthcoming				
	2026	2027	2028	2029	2030
Principal					
Charges/Interest	0.20	0.20	0.20	0.20	0.20
Total	0.20	0.20	0.20	0.20	0.20

¹ When a member has overdue financial obligations outstanding for more than three months, the amount of such arrears will be shown in this section.

Exchange Rate Arrangements:

Japan's de jure and de facto exchange rate arrangements are classified as free-floating. Since July 2024, Japan has not conducted foreign exchange intervention. The Ministry of Finance publishes foreign exchange intervention information on its website. Japan has accepted the obligations under Article VIII, Sections 2, 3 and 4 of the IMF's Articles of Agreement, and maintains an exchange system that is free of multiple currency practices and of restrictions on the making of payments and transfers for current international transactions, with the exceptions of restrictions imposed solely for the preservation of national or international security that have been notified to the Fund pursuant to Executive Board Decision No. 144-(52/51).

Anti-Money Laundering and Combating the Financing of Terrorism (AML/CFT) Framework:

Japan underwent an assessment of its AML/CFT framework against the AML/CFT standard by the Financial Action Task Force (FATF) and the Asia/Pacific Group (APG) in 2021. The assessment found significant improvements since the 2008 evaluation, including amendments to the AML/CFT legislative framework which introduced the obligation to identify and verify beneficial ownership (BO) information of legal persons, the extension of the scope of customer due diligence (CDD) measures, including with regards to politically exposed persons (PEPs), and the adoption of enforceable guidelines for financial institutions (FIs) by financial supervisors. Nevertheless, significant deficiencies were identified, including technical gaps affecting the reporting of suspicious transactions by Designated Non-Financial Businesses and Professions (DNFBPs), the dissuasiveness of sanctions for ML offenses, and the implementation of UN-imposed targeted financial sanctions. Japan's AML/CFT regime was found to be only moderately effective in eight of the 11 areas reviewed, including ML investigation and prosecution, confiscation of proceeds of crime, AML/CFT supervision of FIs and DNFBPs, and transparency of legal persons. Three follow-up reports published by the FATF in 2022, 2023, and 2024 noted that the country had taken several actions to strengthen its AML/CFT framework further and revised upward the ratings on all the recommendations previously rated as less than "largely compliant" to satisfactory grades. The FATF follow-up reports only assess technical compliance and do not reflect progress that Japan has made to improve its effectiveness. However, some of the measures adopted to strengthen the effectiveness of the regime, notably with regards to AML/CFT supervision of FIs, implementation of adequate CDD measures, including for PEPs, by FIs and DNFBPs, and BO transparency of legal persons, have been reflected in Japan's [2024 FSAP](#) and in this Staff Report, as well as some of the remaining weaknesses. In view of its achievements since the 2021 assessment, Japan will no longer be monitored by the FATF for the current evaluation cycle. Its next assessment is scheduled for 2028.

Article IV Consultation:

The 2025 Article IV consultation discussions were held between January 23 and February 6, 2025; the Executive Board discussed the Staff Report (IMF Country Report No. 25/82) and concluded the consultation on March 26, 2025. The concluding statement, staff report, and press release were all published.

FSAP:

A mandatory financial stability assessment was conducted in time for the 2024 Article IV consultation, pursuant to Decision No. 14736-(10/92), 15495-(13/111), 16849-(20/77). The Financial System Stability Assessment (FSSA) report for the 2024 assessment has been published and is available on the IMF website.

Technical Assistance: None

Resident Representatives: None

Statement by the Staff Representative on Japan
Executive Board Meeting
March 27, 2026

This staff statement provides updates on developments since the data cut-off date of March 2, 2026 for the staff report (SM/26/59) issued to the Executive Board on March 13, 2026. The additional information does not change the thrust of the staff appraisal.

1. **Recent data releases continue to point to the resilience of the Japanese economy.**
 - *Revised national accounts data for the fourth quarter indicate slightly stronger growth in 2025, with 2025Q4 GDP growth revised up to 0.3 percent q/q (from 0.1 percent in the first statistical release). This primarily reflects stronger domestic demand, particularly business investment and private consumption. As a result, 2025 growth has been revised up to 1.2 percent (from 1.1 percent).*
 - *Balance of payments (BOP) data for January 2026 recorded a large improvement in goods and services trade balance, as the goods trade deficit narrowed materially from a year earlier, with a 20.3 percent increase in goods exports and a 7.7 percent decline in goods imports. The income balance remained the largest contributor to the current account surplus.*
2. **The conflict in the Middle East presents a significant supply shock, given Japan's reliance on imported oil and natural gas.** In 2025, oil and LNG together accounted for about 17 percent of total goods imports. While most of Japan's oil imports come from the Middle East, LNG imports are more diversified. As in other energy-importing economies, expectations of a higher import bill, rising inflationary risks, and a global risk-off environment have weighed on Japan, leading to yen depreciation (1.8 percent), equity market declines (Nikkei by -12.5 percent and Topix by -11.5 percent), and higher yields (10-year JGB yield rising by 19bps).
3. **The government has announced support measures to mitigate supply disruptions and cushion the impact on domestic prices.** On March 16, the government lowered the mandatory private petroleum stockpiles by 15 days and released one month's worth of national oil reserves. Additionally, the authorities implemented a cap of 170 yen per liter on the retail price of gasoline effective March 19. While preliminary, staff estimate that these measures could entail fiscal costs of around 0.2 percent of GDP in 2026, potentially financed using contingency funds.
4. **Amid heightened external uncertainty, the Bank of Japan (BOJ) kept its policy rate unchanged at its monetary policy meeting on March 19, 2026.** The decision was largely expected by markets. The BOJ is closely monitoring the impact of the conflict on underlying inflation and will update its assessment of the risk to its outlook at each policy meeting as more data becomes available.
5. **Under the assumption that global oil and natural gas prices normalize gradually, staff expect domestic demand and growth to remain resilient, with higher headline inflation and a narrowing current account surplus.** With global energy prices rising for a few months before moderating, relative to the pre-conflict baseline, the goods trade deficit in 2026 is

expected to widen by 0.7 percent of GDP, with the current account (CA) surplus declining by 0.8 percent to 3.8 percent of GDP, before increasing to 3.9 percent of GDP in 2027 as global prices moderate. Higher imported fuel costs will raise headline inflation relative to the pre-conflict baseline by 0.3 pp in 2026 and 0.2 pp in 2027, to 2.2 and 2.3 percent respectively, with the support measures partly reducing the pass-through to inflation. Second round effects are expected to remain modest, as medium-term inflation expectations have been realigning with the target from below, limiting the pass-through of the initial shock on headline inflation to wages and core inflation in 2026-27. The support measures announced by the government together with the higher-than-expected growth in 2025Q4, which provides additional momentum into 2026, will largely offset the drag from higher oil and gas prices. As a result, compared to the pre-conflict baseline, growth is projected to remain unchanged at 0.8 percent in 2026 and 0.6 percent in 2027. Uncertainty surrounding the conflict is elevated; staff's estimated impacts are preliminary and may be revised for the April 2026 *World Economic Outlook*. Risks to outlook include further intensification or a more protracted conflict that could exacerbate supply disruptions and keep oil and gas prices elevated for longer.

6. Under the revised baseline, staff's policy advice remains as set out in the staff report. With the shock expected to have a limited impact on underlying inflation in the baseline, gradual hikes should continue to move the policy rate toward neutral. Given heightened uncertainty stemming from the conflict, the BOJ's flexible and data dependent approach remains appropriate. Exchange rate flexibility will help to absorb the external shock and support monetary policy's focus on price stability. With the economy operating above potential, a neutral fiscal stance remains appropriate to help preserve fiscal buffers and the capacity to respond to large shocks. Moreover, measures to mitigate the effect of the shock should be budget neutral, temporary, and targeted to the most affected households and firms. As a result, the thrust of staff appraisal remains unchanged.

**Statement by Mr. Jun Mizuguchi, Executive Director for Japan
Mr. Shuntaro Hara, Alternate Executive Director
Mr. Motofumi Umemura, Senior Advisor
Mr. Genki Kimura, Advisor
Ms. Midori Nagamine, Advisor, and
Mr. Kohei Takata Advisor
March 27, 2026**

On behalf of the Japanese authorities, we welcome the constructive policy discussions with the Japan team led by Mr. Anand and thank them for their insightful report. We share the staff's overall assessment of the Japanese economy and the broad direction of their policy advice, which underscores the near-term resilience of the economy and the mid-to-long-term structural challenges. With this in mind, we would like to highlight several points below for emphasis.

Outlook and Risks

Japan is shifting from a deflationary, cost-cutting economy to a dynamic, growth-oriented one driven by bold investment and productivity gains. Real GDP growth reached 1.2 percent in 2025, supported by private consumption and corporate investment, both underpinned by economic policies. On prices, as the economy continues to improve, inflation is expected to move toward the BOJ's price stability target of 2 percent, while the impact of the recent rise in crude oil prices warrants attention.

Looking ahead, the Cabinet Office envisages growth of 1.3 percent in FY2026¹, again led by private consumption and corporate investment supported by strategic fiscal measures.

Underlying CPI inflation is expected to continue rising moderately, as the mechanism in which wages and prices rise moderately in interaction with each other is likely to be maintained. The preliminary result of the annual spring wage negotiations, announced on March 18, indicate that, as in the previous year, wage increases have remained at a high level, exceeding 5 percent. The Cabinet Office expects real wage growth to continue improving in FY2025 and to rise to around 1 percent in FY2026 as inflation gradually moderates.

While risks are balanced, downside risks, particularly from external factors, remain.

Heightened tensions in the Middle East raised concerns about rising energy prices, and the authorities have implemented emergency measures to curb sharp increases in gasoline and other fuel prices. We concur with the staff's concern that rising trade restrictions, including China's export control measures taken against Japan earlier this year, can disrupt regional and global

¹ April 2026-March 2027

supply chains and dampen business sentiment. We also agree with the staff's assessment that risks to inflation are balanced.

Monetary Policy

Since the last Article IV consultation, **the BOJ has taken steady steps toward achieving its price stability target in a sustainable and stable manner, alongside smooth and flexible balance sheet management.** The BOJ raised the policy interest rate to around 0.75 percent in December 2025, following a policy rate hike in January 2025. The policy adjustment reflects the BOJ's assessment that Japan's economic activity and prices have been developing generally in line with its outlook. The BOJ's balance sheet reduction is proceeding smoothly. In June 2025, the BOJ decided on a new reduction plan for Japanese Government Bond purchases to further improve the functioning of the JGB markets, while moderating the pace of reduction from April 2026 and retaining flexibility to support market stability. In addition, in September 2025, the BOJ decided to begin selling its ETFs and J-REITs holdings to the market in a manner that avoids inducing destabilizing effects on the financial markets as much as possible.

The BOJ will continue to conduct monetary policy in a data-dependent manner, paying close attention to various domestic and external risks and to financial market conditions, including trade policies, geopolitical risks, wage- and price-setting behavior of firms, and developments in financial and foreign exchange markets. Given that real interest rates remain significantly low levels, the BOJ will continue to raise the policy interest rate and adjust the degree of monetary accommodation if its outlook is realized. The BOJ also continues to aims for effective communication regarding the conduct of monetary policy.

External Sector

The authorities remain committed to market-determined exchange rates while reiterating that excessive volatility and disorderly movements in exchange rates can have adverse implications for households, firms, and the broader economy. We have been concerned about the one-sided and rapid pace of yen depreciation, to which speculative trading has contributed, and will continue to closely monitor market movements, including such speculative activities. As in the past, the authorities would take appropriate action against disorderly movements, in line with the agreements, including in the IMFC, G20, and G7.

Fiscal Policy

The thrust of the staff's recommendation is broadly aligned with the authorities' fiscal stance. In the near term, the budget for FY2026, which is under discussion in parliament, features the lowest Bond Dependence Ratio (24.2 percent), and the primary balance turned into a surplus for the first time in 28 years. The concept of "responsible and proactive public

finances,” which the Takaichi Cabinet is upholding, represents a proactive, forward-looking approach to fiscal policy and by no means an indiscriminate pursuit of expansion for its own sake. The authorities are pursuing fiscal reforms on both the expenditure and revenue sides by revising measures whose expected benefits are weak—for example, by reviewing tax expenditures through the newly established Office for Reviewing Tax Expenditures and Subsidies under the Minister of State for Reviewing Tax Expenditures and Subsidies—while boldly prioritizing measures that are expected to support people’s daily lives and contribute to economic growth.

As the staff notes, in order to provide targeted support for middle- and low-income households, the authorities are moving forward with discussions on comprehensively reforming our social security and taxation systems, including designing a system for refundable tax credits, in a nonpartisan National Council. As a measure until the refundable tax credit system is introduced, the authorities are considering a suspension of the consumption tax, which is limited to food and beverage items and only for a period of two years, without relying on the issuance of deficit-financing bonds.

Over the medium to long term, we note the staff’s view that rising interest rates and demographic pressures will increase sovereign stress. The authorities will steadily reduce the outstanding government debt-to-GDP ratio by keeping the rate of government debt expansion not exceeding the growth, which will bring about fiscal sustainability and ensure that we maintain the confidence of the market. The fiscal framework is being reviewed to strengthen its credibility and predictability, including by reducing reliance on routine supplementary budgets and improving multi-year expenditure planning. The authorities will continue enhancing the function of the My Number digital ID system to optimize administrative operations and secure fairer benefits and burdens in the administrative field.

Financial Sector

We view the financial system as remaining resilient, with no material change in systemic risks since the last Article IV consultation. Credit costs remain low, while the gradual rise in interest rates has supported bank profitability. At the same time, the authorities remain vigilant to potential vulnerabilities, including structural challenges facing some regional banks, valuation risks in parts of the real estate sector, and the growing interconnectedness of foreign nonbank financial institutions with the Japanese financial system. Amid the structural challenges such as aging and declining population faced by regional banks, the FSA has formulated the “Regional Financial Power Enhancement Plan,” a comprehensive strategy to ensure that regional financial institutions can play a greater role in supporting local economies. In this connection, the FSA also underscored their ongoing efforts to support the financial sector’s contribution to economic

development, including through the government's initiative to "Promote Japan as a leading asset management center". "The growth mandate" is increasingly relevant reflecting the discussions in the G20 and FSB. The authorities have continued to make progress in implementing the 2024 FSAP recommendations, including further strengthening systemic risk monitoring and supervisory oversight in areas such as fintech regulation, insurance and investment funds supervision.

Structural Reforms

Against the backdrop of current resilience, we recognize the medium-term challenges arising from population decline and an increasingly complex security environment, which necessitate measures to uplift potential growth and ensure economic resilience. In this regard, we appreciate the staff's appraisal of labor market reforms aimed at boosting labor participation and emphasize the government's continued support for childcare to prevent unwanted job losses for family reasons. Moreover, the authorities see merit in prioritizing investments that promote growth, which will unlock the full potential of cutting-edge technologies in areas such as AI, semiconductors, and shipbuilding, as well as investments that enhance resilience against potential crises and minimize various risks, including in the areas of economic security, food security, energy and resource security, health and medical care security, national resilience, and cybersecurity.

Japan places high value on multilateral cooperation and remains committed to fulfill its responsibility as a trusted and leading player in a free and open international order. We reiterate our unwavering commitment to promote open, stable, and transparent trade policies and to avoid geoeconomic fragmentation. Japan will continue to play an active role in maintaining the high standards of the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) and facilitating the strategic expansion of the network, alongside ongoing dialogue with the EU and ASEAN.